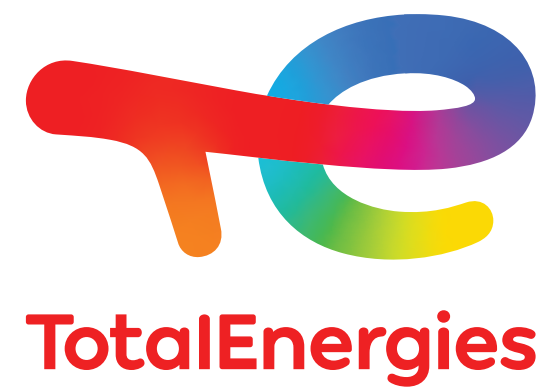




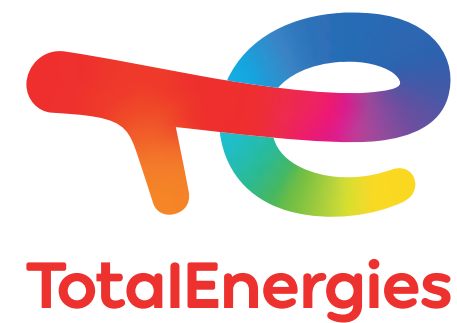
TotalEnergies Marketing Kenya PLC | Annual Report & Financial Statements 2024



TotalEnergies Marketing Kenya PLC
ANNUAL REPORT & FINANCIAL STATEMENTS 2024

Marketing & Services

TotalEnergies Marketing Kenya PLC
Regal Plaza, Limuru Road, Parklands
P.O. Box 30736 00100 Nairobi
Tel: +254 (0) 20 289 7000, 0719 027000



ABOUT US

TotalEnergies Marketing Kenya Public Limited Company (PLC) has been operating since 1955 and plays a key role in the Kenyan economy. The Company has a widespread infrastructure for efficient and effective supply of quality products and services.



Mission

The purpose of TotalEnergies Marketing Kenya PLC is to market quality products and energy solutions to its customers that are more affordable, cleaner, more reliable and that are less carbon intensive while ensuring Safety in all operations and day-to-day business.

Vision

- To be recognized as the benchmark for safety in the Kenyan industry.
- To be the trusted partner of all our customers, by listening to them and actively supporting them in their own transitions towards more responsible energies and mobility.
- To be a leader in value creation for society generating shared prosperity and return to our stakeholders.



Ambition

Become the responsible energy major.

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QUARTZ
ENGINE OIL

**Made with
Eco-Science**
for cars of the future



Quartz 9000 Xtra (0W-20) formulated with Eco-Science Technology is characterized by fluidity and exceptional fuel economy properties, making it a perfect fit with the latest engines, especially hybrid vehicles.



TotalEnergies





CORPORATE INFORMATION

NOTICE & AGENDA OF THE

ANNUAL GENERAL MEETING

TO ALL SHAREHOLDERS OF TOTALENERGIES MARKETING KENYA PLC

NOTICE is hereby given that the Seventy First (71st) Annual General Meeting of the Company shall be held via Electronic Means on Friday, 27th June 2025 at 12.00 p.m. (East Africa Time) to transact the following business: -

AGENDA

ORDINARY BUSINESS

1. To read the notice convening the meeting, table the proxies received and confirm the presence of a quorum.
2. To confirm and adopt the minutes of the 70th Annual General Meeting held on 27 June 2024.
3. To receive, consider and adopt the Audited Financial Statements for the year ended 31 December 2024 together with the Chairman's Statement and the reports of the Directors and the Auditors thereon.
4. To approve the payment of a first and final dividend of KShs. 1.92 per share in respect of the Financial Year ended 31 December 2024 (2023: Kshs. 1.92), payable on or around 31 July 2025 to the holders of Ordinary Shares and Redeemable Preference Shares on record at the close of business on 27 June 2025.
5. To approve the Directors' Remuneration Report as detailed in the Annual Report for the Financial Year ended 31 December 2024.
6. Election of Directors
 - i) Mr. Jean Philippe Torres, a Director retiring by rotation in accordance with Article 70 (1) of the Company's Articles of Association and, being eligible, offers himself for re-election.
 - ii) Mr. Maurice Odhiambo K'Anjejo, a Director retiring by rotation in accordance with Article 70 (1) of the Company's Articles of Association and, being eligible, offers himself for re-election.
 - iii) In accordance with clause 2.4.2 of the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, Mr. Joseph Karago, (an Independent Non-Executive Director), having served his full term of nine years, retires from the Board at the conclusion of the 71st Annual General Meeting of the Company.
 - iv) To appoint a Director in accordance with Article 70 (2) as shall be recommended by the directors in accordance with the provisions of Article 70 (5) (b) of the Company's Articles of Association.
7. To appoint the Board Audit Committee of the Company in accordance with the provisions of Section 769 of the Companies Act, 2015 comprising the following members:
 - a) Mr. Maurice Odhiambo K'Anjejo
 - b) Ms. Catherine Musakali
 - c) Ms. Fernanda Schröder

8. To re-appoint Messrs Ernst & Young LLP as Auditors of the Company in accordance with the provisions of Section 721(2) of the Companies Act, 2015 and to authorize the Directors to fix their remuneration for the ensuing Financial Year.

SPECIAL BUSINESS

9. In accordance with provisions of Clause 8.21 of the Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023, to approve the following policies and procedures of the Company:
 - a) Stakeholder Engagement Policy and Procedure; and
 - b) Corporate Disclosure Policy and Procedure

ANY OTHER BUSINESS

10. To discuss any other business of which due notice has been received.

BY ORDER OF THE BOARD



J L G MAONGA
COMPANY SECRETARY
28TH May 2025

NOTE

1. The Company has appointed Image Registrars Limited to specifically provide their platform and to manage this Virtual AGM.
2. Shareholders will be able to register and follow the proceedings of the meeting, vote electronically or by proxy and may ask questions in advance of the Annual General Meeting in the manner detailed below: -

- i) Shareholders wishing to participate in the meeting should register for the AGM by doing the following:
 - a) Dialling *483*816# for all networks and follow the various prompts regarding the registration process; or
 - b) Sending an email request to be registered to totalenergiesagm@image.co.ke; or
 - c) Shareholders with email addresses will receive a registration link via email through which they can use to register.

In order to complete the registration process, shareholders will be required to use their ID/Passport Numbers which were used to purchase their shares and/or their CDSC Account Number at hand. For assistance, shareholders (whether in Kenya or outside) should dial the following helpline number: **(+254) 709 170 041** from 8:00 a.m. to 5:00 p.m. (EAT) from Monday to Friday.

- ii) The registration period opens on Thursday, 29 May 2025 at 9.00 a.m. (EAT) and will close on Wednesday, 25 June 2025 at 9.00 a.m. (EAT). Shareholders will not be able to register for the AGM after 25 June 2025 at 9.00 a.m. (EAT).
- iii) The following documents are available on the Company's website, <https://totalenergies.ke/>:
 - a) The Company's Annual Report and Audited Financial Statements for the year ended 31 December 2024.
 - b) A copy of this Notice; and
 - c) The policies and procedure documents under agenda item number 9 of this Notice.

The documents may also be accessed upon request by dialling the USSD code above and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.

- iv) Shareholders wishing to raise any questions or clarifications regarding the AGM may do so:
 - a) by dialling the USSD code above and selecting the option (ask Question) on the prompts (For shareholders who will have registered to participate in the meeting)
 - b) by sending their written questions by email to totalenergiesagm@image.co.ke.
 - c) to the extent possible, physically delivering their written questions with a return physical address or email address to Image Registrars offices at 5th floor, Absa Towers (formerly Barclays Plaza), Loita Street; or
 - d) sending their written questions with a return physical address or email address by registered post to Image Registrars' address at P.O. Box 9287 – 00100 Nairobi.
- Shareholders must provide their full details (full names, ID/Passport Number/CDSC Account Number) when submitting their questions and clarifications.
- Following receipt of the questions and clarifications, the Directors of the Company shall provide written responses

to the questions received to the physical address or email address provided by the Shareholder by no later than 5.00 p.m. (EAT) on Thursday, 26 June 2025. A full list of all questions received and the answers thereto shall be published on the Company's website by not later than 12 hours before the start of the Annual General Meeting.

- v) In accordance with Section 298 of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company but if not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone. A proxy must be signed by the appointor or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such body corporate. A completed form of proxy should be emailed to totalenergiesagm@image.co.ke or delivered to Image Registrars, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, P.O. Box 9287 – 00100 GPO, Nairobi so as to be received by not later than Wednesday, 25 June 2025 at 9.00 a.m. (EAT). Any person appointed as a proxy should submit his/her mobile telephone number to the Registrars by no later than Wednesday, 25 June 2025 at 9.00 a.m. (EAT). Any proxy registration that is rejected will be communicated to the shareholder concerned by not later than Wednesday, 25 June 2025 to allow time to address any issues. A copy of the Proxy Form may be obtained from the Company's website <https://totalenergies.ke/>

- vi) The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the Annual General Meeting. Duly registered shareholders and proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent three hours ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in three hours' time and providing a link to the live stream.

- vii) Duly registered shareholders and proxies may follow the proceedings of the AGM using the live stream platform and may access the agenda.

- viii) Duly registered shareholders and proxies may vote (when prompted by the chairman) via the USSD prompts or the web link.

- ix) Results of the AGM shall be published on the Company's website, <https://totalenergies.ke/> within 24 hours following conclusion of the AGM.

- x) Shareholders are encouraged to continuously monitor the Company's website, <https://totalenergies.ke/> or update relating to the AGM. We appreciate the understanding of our shareholders for embracing technological changes in line with the changing business and environmental conditions.

TOTALENERGIES MARKETING KENYA PLC

CORPORATE INFORMATION FOR THE YEAR ENDED 31 DECEMBER 2024

PRINCIPAL PLACE OF BUSINESS, HEAD OFFICE AND REGISTERED OFFICE

Regal Plaza, Limuru Road

P.O. Box 30736-00100

Nairobi, Kenya

DIRECTORS

Elodie Luce *	Non-executive	Chairlady - Appointed on 23 August 2024
Olagoke Oluko**	Non-executive	Chairman - Resigned on 23 August 2024
Thibault Flichy *	Executive	Managing Director - Appointed on 01 September 2024
Eric Fanchini*	Executive	Managing Director - Resigned on 31 August 2024
Lawrencia Gichatha	Executive	Finance Manager (Alternate to Thibault Flichy and Fernanda Schröder)
Adele Tura	Executive	Strategy and Corporate Affairs Director (Alternate to Jean-Phillipe Torres)
Jean-Phillipe Torres*	Non-executive	Non-executive Director (Alternate to Elodie Luce)
Guillame Navez***	Non-executive	Resigned on 28 November 2024
Joseph Karago	Non-executive	
Maurice K' Anjejo	Non-executive	
Catherine Musakali	Non-executive	
Fernanda Schröder****	Non-executive	Appointed on 28 th November 2024
* French		
** British		
*** Belgian		
**** German		

PRINCIPAL ADVOCATES

Mohammed Muigai LLP MM Chambers, 4th Floor K-Rep Centre, Wood Avenue Off Lenana Road, Kilimani P.O. Box 61323-00200 Nairobi, Kenya	Waweru Gatonye & Co. Advocates Timau Plaza, 4th Floor Argwings Kodhek, Timau Road Junction P.O. Box 55207-00200 Nairobi, Kenya
Musyimi & Company Advocates M'pulla House, Arboretum Drive Off State House Road P.O. Box 12502-00400 Nairobi, Kenya	Kiarie, Kariuki & Associates Advocates Bemuda Plaza, 2nd Floor, Suite No. C3 Ngong Road P.O. Box 13808-00100 Nairobi, Kenya
Waruhiu K'owade & Ng'ang'a Advocates Flamingo Towers, 3rd Floor, Wing Mara Road P.O. Box 47122-00100 Nairobi, Kenya	Hamilton Harrison & Mathews Delta Office Suites, 1st Floor Waiyaki Way P.O. Box 30333-00100 Nairobi, Kenya

SECRETARY

J.L.G. Maonga
 Certified Public Secretary (Kenya)
 Jadala Place, 3rd Floor
 P.O. Box 73248-00200
 Nairobi, Kenya

REGISTRARS

Comprite Kenya Limited
 Crescent Business Centre, 2nd Floor
 P.O. Box 63428-00619
 Nairobi, Kenya

PRINCIPAL BANKERS

Citibank N.A. Citibank House, Upper Hill Road P.O. Box 30711-00100 Nairobi, Kenya	Standard Chartered Bank Kenya Limited 48 Westlands Road, Chiromo lane, Westlands P.O. Box 40310-00100 Nairobi, Kenya
Absa Bank Kenya Plc Absa Headquarters, 4th floor Off Waiyaki Way, Westlands P.O. Box 30120-00100 Nairobi, Kenya	Bank of Africa Kenya Limited BOA House, Karuna Close Off Waiyaki Way, Westlands P.O. Box 69562-00400 Nairobi, Kenya
Stanbic Bank Kenya Limited Stanbic Bank Center, Westlands Road, Chiromo P. O. Box 30550-00100 Nairobi, Kenya	KCB Bank Kenya Limited Regal Plaza, 1st floor, Parklands Branch P.O. Box 39036-00623 Nairobi, Kenya
The Co-operative Bank of Kenya Limited Co-operative House Haile Selassie Avenue P.O. Box 48231-00100 Nairobi, Kenya	NCBA Bank Kenya Plc NCBA Centre, Mara and Ragati Roads, Upper Hill P.O. Box 44599-00100 Nairobi, Kenya
Equity Bank (Kenya) Limited Equity Centre, Hospital Road Upper Hill P.O. Box 75104-00200 Nairobi, Kenya	Diamond Trust Bank Kenya Limited DTB Centre, Mombasa Road P.O. Box 61711-00200 Nairobi, Kenya

AUDITORS

Ernst & Young LLP
 Kenya-Re Towers, Upper Hill, Off Ragati Road
 P. O. Box 44286 - 00100
 Nairobi, Kenya

COMPANY PROFILE



POWERING A SUSTAINABLE FUTURE

Sustainable development is at the heart of our multi-energy strategy, ensuring a just and equitable energy transition that benefits all stakeholders. This aligns with our corporate purpose to provide everyone with energy, that is more reliable, more affordable and cleaner.



TOTALENERGIES CARD

The TotalEnergies Card is Kenya's number one fleet management solution for fleet owners. The micro-chip technology is SAFE, SIMPLE and SMART.



TEAM TOTALENERGIES MARKETING KENYA PLC (TMK)

TotalEnergies has a committed diverse and agile team of over 380 direct employees and over 4,500 indirect employees.



STRONG RETAIL NETWORK

TotalEnergies Marketing Kenya has over 250 stations countrywide offering oil products and services including non-fuel services.



TOTALENERGIES EXCELLIUM FUELS

TMK offers EXCELLIUM premium fuels (Petrol & Diesel) with additives that offer more KMs with each refill, engine protection and reduced emissions.



NON-FUEL OFFERINGS

TMK offers a wide range of non-fuel services at our stations including convenience shops, carwash, service bays and other third-party services like restaurants, chemists and laundries to make our service stations a one-stop customer destination.



AVIATION

TMK supplies aviation fuel in the market.



LPG

TMK is a leading LPG gas operator in the country. The company heavily invests in the safety of the gas cylinders hence the strong brand image that is trusted, safe and reliable LPG. Additionally, TMK now offers home delivery service of LPG via an online platform called EASYGAS, for customers' convenience.



B2B (BUSINESS TO BUSINESS)

TMK is a key player General Trade & Reseller markets with offerings across long-term contracts, tenders and spot sales.



LOGISTICS AND FACILITIES

TMK runs its facilities in line with international safety and quality standards. We adhere to industrial safety with the objective of zero fatalities in our operations.



RENEWABLE ENERGIES

TotalEnergies Marketing Kenya offers solar lamps and kits for sale at our stations and authorized distributor outlets. Additionally, TMK offers electric motorcycle battery swapping service in partnership with various e-mobility companies, at select stations.



LUBRICANTS

TMK is a leading supplier of lubricants in the market and through continued research and development, produces high quality products for the best vehicle performance.

CORPORATE GOVERNANCE

Corporate Governance (CG) is the system of rules, practices and processes by which companies are directed, controlled and held to account. It essentially involves balancing the interests of the company's diverse stakeholders, including shareholders, management, customers, suppliers, financiers, government, and the community. At TotalEnergies Marketing Kenya Plc, the Board of Directors is mandated to control and direct the activities, affairs, operations and property of the Company with a view to maximizing stakeholders' value, increasing profitability and guaranteeing sustainable business.

Key Principals of corporate Governance:

Governance: Good corporate governance practices are essential to the delivery of sustainable stakeholders' value. The Board of Directors of TotalEnergies Marketing Kenya Plc is committed to upholding the principles of Corporate Governance by ensuring compliance with all relevant applicable laws and regulations, notably the Kenyan Capital Markets Authority (CMA), Code of Corporate Governance Practices for the Issuers of Securities to the Public 2015 (the 2015 Code) as well as the Public Offers, Listings and Disclosures regulations, 2023.

Committees: To facilitate the discharge of its obligations, the Board has established and delegated authority to various Board Committees whose membership includes Independent Directors with appropriate skill set and expertise to deal with specific issues falling under the various committees.

Ethics and Compliance: The Company has appointed a Country Ethics Officer and a Compliance Officer with specific mandates to spearhead efforts towards sensitization and mitigation of ethical and compliance matters both internally and with third parties who deal with the Company.

Sustainability: To enhance efforts on Environmental, Social, and Governance (ESG), the Company has a Sustainable Development Manager. The Annual Report includes a section on Sustainability (Pages 33-86).

THE BOARD OF DIRECTORS

A. THE BOARD OF DIRECTORS CHARTER

TotalEnergies Marketing Kenya Plc has Charters in place that govern the operations of the Board and its Committees in the stewardship of the Company within the confines of the Memorandum and Articles of Association. Copies of these documents are available on the Company's website (<http://www.totalenergies.com/kenya>).

The Board fulfills its fiduciary obligations to the shareholders and other stakeholders by maintaining control over the strategic, financial, operational and compliance matters as guided by the Board Charter and other operating regulations.

The Board Charter explicitly defines the composition, role, scope, mandate, selection criteria for Board members and the duties of Board members. Any amendments to the Charter require the approval of the Board.

B. BOARD APPOINTMENTS, STRUCTURE AND DIVERSITY

The Board of TotalEnergies Marketing Kenya Plc has approved and adopted transparent procedures for appointing and onboarding of new Directors. In 2024, the Board appointed Ms. Elodie Luce as Chairperson of the Board, Mr. Thibault Flichy as Managing Director and Ms. Fernanda Schröder as a Non-Executive Director, in place of Mr. Olagoke Aluko, Mr. Eric Fanchini and Mr. Guillaume Navez respectively.

The Board comprises seven Directors, three of whom are Independent Non-Executive Directors. In line with governance best practices, the Independent Non-Executive Directors constitute at least one-third of the total number of Board Members, reflecting a strong level of Board independence that further enables adequate representation and protection of the rights of minority shareholders. All Non-Executive and Independent Directors are subject to periodic retirement and re-election to the Board, in accordance with the Articles of Association of the Company.

Diversity is a key priority in the Board's composition. The Board is committed to maintaining a diverse and synergistic mix of qualifications, skills, experience, and professional and industry knowledge to enable it to exercise independent judgment, free from management influence, on material Board matters. The Board determines its size and composition in accordance with the Articles of Association, the Board Charter, and applicable laws, ensuring an effective discussion and decision-making process.

C. ROLE OF THE BOARD

The Board of Directors is the ultimate authority of TotalEnergies Marketing Kenya Plc. Its role is to define TotalEnergies Kenya's strategic vision, ensure that internal controls are operating effectively and oversee the quality of the information provided to the shareholders and financial markets.

The Board has delegated authorities to three Board committees (the Audit Committee, the Risk & Governance Committee, and the Nomination and Remuneration Committee) to assist the Board in delivering its responsibilities and ensuring that there is appropriate independent oversight of internal control and risk management. Each of these committees has established terms of reference in the form of Committee Charters, which are regularly reviewed to ensure alignment with the best practices and to maintain appropriate authority for fulfilling their responsibilities without creating unnecessary duplication of roles.

D. INDEPENDENCE

Independence is critical to performing the duties of a Director, as it ensures freedom of analysis, judgment, decision-making and action. All Board members must comply with provisions of the Board Charter and declare any actual or potential conflict of interest that may arise.

Directors are expected to bring views and judgement to Board deliberations that are independent of management and free of any business relationship or circumstances that could materially interfere with the exercise of objective judgement, having regard to the best interest of the Company and its stakeholders as a whole.

All Directors of TotalEnergies Marketing Kenya Plc must avoid any situation that might give rise to a conflict between their personal interest and that of the Company. Directors are expected to make an annual disclosure to the Company Secretary in cases of actual or potential conflict of interest situations or as soon as such a situation arises. Any Director with a material personal interest in any matter being considered during a Board or Committee meeting is expected to disclose the same and will neither vote nor be present when the matter is being discussed or voted on.

The Board of Directors of TotalEnergies Marketing Kenya Plc adheres to the Conflict-of-Interest Policy, Insider Trading Guidelines, and the Code of Conduct established by the Group, which have been tailored and adopted by TotalEnergies Marketing Kenya Plc.

E. BOARD INDUCTION, TRAINING AND PROFESSIONAL DEVELOPMENT

Each Director is required to participate in an orientation program upon appointment.

In 2024, the Directors underwent training on key developments, with a particular focus on climate and energy sustainability. These in-person training sessions were designed to ensure that the Directors remain updated on the latest industry practices and trends.

F. BOARD AND DIRECTOR EVALUATION

In line with prescribed regulatory stipulations, the Board conducted an annual evaluation of its own performance, the performance of the Chairperson, individual Board members, the Managing Director and the Company Secretary.

G. CHAIRPERSON AND MANAGING DIRECTOR

The roles and responsibilities of the Chairperson and the Managing Director are separate and clearly defined. The scope of these roles is approved and regularly reviewed by the Board to ensure that no individual has unfettered decision-making powers. The Chairperson is responsible for the leadership and governance of the Board while the Managing Director is responsible for the management of the Company and implementation of the strategies and policies approved by the Board.

H. ACCESS TO INFORMATION AND INDEPENDENT ADVICE

Through the Board Chairperson and the Company Secretary, processes are in place to:

- Enable Directors to have access to all relevant information and senior management

- Assist the Directors in discharging their duties and responsibilities
- Facilitate informed decision-making processes

Directors are expected to strictly observe the provisions of the statutes applicable to the use and confidentiality of information, including the Company's Insider Trading Policy and Data Protection Regulations.

I. MEETINGS

The Board meets once every quarter but may, from time to time, organize special meetings in response to business needs. TotalEnergies Marketing Kenya Plc has an Annual Work Plan which guides the Board on areas of focus during the year. The Chairperson, in conjunction with the Managing Director and the Company Secretary, sets the agenda for each meeting.

In the ordinary course of business, Board papers are circulated in good time prior to the date of the meeting. Directors are entitled to request additional information where they consider it necessary to make an informed decision.

During the year ended 31 December 2024, the Board held four Board meetings, four Board Audit Committee meetings, two Board Risk and Governance Committee meetings and three Board Nomination and Remuneration Committee meetings. The Annual General Meeting (AGM) was held virtually on 27 June 2024, and all Directors were present either in person or virtually.

Details of Directors' attendance at Board meetings are set out as follows:

Name of Director	Eligible No. of Board meetings	No. of Board meetings attended	Overall % attendance
Chairperson			
Olagoke Aluko (Resigned on 23rd August 2024)	3	3	100%
Elodie Luce (Appointed on 23rd August 2024)	1	1	100%
Executive Director – Managing Director			
Eric Fanchini (Resigned on 31st August 2024)	3	3	100%
Thibault Flichy (Appointed on 1st September 2024)	1	1	100%
Non- Executive Directors			
Jean-Philippe Torres (Alternate to Elodie Luce)	4	-	-
Guillaume Navez (Resigned on 28th November 2024)	4	4	100%
Fernanda Schröder (Appointed on 28th November 2024)	-	-	-
Independent Directors			
Joseph Karago	4	4	100%
Maurice Odhiambo K'Anjejo	4	4	100%
Catherine Musakali	4	4	100%
Alternate Directors			
Lawrencia Gichatha (Alternate Director to Thibault Flichy and Fernanda Schröder)	4	4	100%
Adele Tura (Alternate to Jean-Philippe Torres)	4	4	100%
Company Secretary			
John Maonga	4	4	100%

Note:

- Jean-Philippe Torres was duly represented by his Alternate Directors in 4 of the 4 eligible Board meetings

J. BOARD SKILLS MIX AND EXPERTISE

It is the opinion of the Board that its membership is well composed in terms of the range and diversity of industry knowledge, skills, background, professional qualifications, experience, personal attributes and other criteria. This is reflective of the Board's commitment to ensure strong levels of Board independence in

executing their mandate, and adequate representation of the minority Shareholders.

The following is the current Board skills mix and expertise matrix of TMK: -

Skills and Experience	Relevance to the Company	Percentage (%)
Accounting / Financial Expert/ Auditing/ Taxation/ Economics/ Technical Audit	Enables robust capital management and ensures transparency and accountability in financial reporting. Also, helps the Company to monitor the taxation policies and its effect on the business operations.	100
Prior Board Experience in a Regulated Entity	Understanding of Company compliance requirements, including reporting and shareholder meeting requirements.	100
Capital Markets and the regulations in Kenya	Ensuring that the Company is compliant with the laws and regulations of the Capital Markets and the regulations in Kenya.	88.89
Commercial Experience	Enables diverse business models and nuances of financial disclosures to increase the profitability of the Company.	100
Corporate Governance	Facilitating an environment that allows for cohesiveness, prudent decision making, accountability, transparency, control and driving culture.	100
Environmental, Social and Governance skills and experience	Developing the Company's environmental and sustainability agenda for the long-term benefit of its stakeholders, including consistent shareholder returns.	100
Executive Management	Facilitating evaluation of the performance of the Managing Director and senior executive managers.	100
Human Resources/ Human Capital	Oversee strategic human resource management including workforce planning.	100
Information Technology Strategy and Governance	Development of a suitable Company ICT strategy in a pervasive digital service delivery and data intensive environment.	100
Industry Knowledge - Petroleum and Oil Industry (energy mix)	Facilitating the development, implementation, and assessment of the operating plan and business strategy. Also enables the Company to provide the customers with safe, reliable, and affordable energy.	100
Investor Relations and Marketing/ Public Relations	Promote investor confidence in the Company's operations.	100
Knowledge in Company's Policies, Programmes and Strategies	Monitor the effectiveness of the Company's operations and strategies in promoting and enhancing the growth of the Company.	100
Knowledge in Group's Policies, Programmes and Strategies	Assists the Board to align the operations of the Company to the Group's Policies, Programmes and Strategies.	100
Leadership and Strategy	Increases the ability to think strategically and identify and critically assess strategic opportunities and threats and develop effective strategies for the Company.	100
Legal Expertise and Experience	Enabling suitable interpretation of the laws and regulations, and providing advisory services to the Board in ensuring compliance thereof.	48.15
Legal and regulatory environment applicable to the oil industry in Kenya	Ensuring that the Company is compliant with the laws and regulations of the oil industry in Kenya.	100
Mergers & Acquisitions Experience	Understanding diversity of mergers and acquisitions for better decision making when such proposals arise.	100
Risk Management, Compliance Oversight and Internal Controls	Facilitating a fit for purpose risk management framework that is protective of the Company's interests and long-term objectives.	100

All the Directors possess the following key personal attributes necessary to effectively perform their duties:

- Integrity (ethics)
- Influence and negotiation
- Critical and innovative thinking
- Leadership.

In terms of gender distribution, 55.56% are male and 44.44% are female. The majority of Directors (55.56%) fall within the 41–55 age range, followed by 33.33% aged 56–70 and 11.11% aged 25–40, with no representation from those over 70. Ethnically, 55.56% of the Directors are of African origin, while 44.44% are of European origin.

A. THE BOARD AUDIT COMMITTEE

The CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015 requires that “the Company shall have an effective and properly constituted Audit Committee” and that “the Board shall establish an Audit Committee with written terms of reference.”

The Board Audit Committee assists the Board of Directors in fulfilling its Corporate Governance and oversight responsibilities for the:

- Company’s process for monitoring compliance with laws, regulations and the code of conduct and promoting ethics
- Financial reporting process
- Efficiency of business operations

- Systems of internal control
- Audit process and function

The Board Audit Committee Charter clearly spells out the composition, role, scope, mandate, requirements and the duty of the Committee and its members. Any amendments to the Charter require approval of the Board. This Committee is composed of four (4) Directors and is chaired by an Independent Director. In selecting the members of the Committee, the Board pays particular attention to their financial and accounting qualifications and experience.

The Committee meets at least quarterly or more frequently as circumstances dictate. The members of the Audit Committee are as follows:

Name of Member	Position
Joseph Karago	Independent Director – Chairman
Maurice K’Anjejo	Independent Director
Catherine Musakali	Independent Director
Guillaume Navez (Ceased to be a member on 28 November 2024)	Non-Executive Director
Fernanda Schröder (Appointed as a member on 28 November 2024)	Non-Executive Director
Charles Wambugu (Ceased to be the Secretary to the Committee on 1 September 2024)	Internal Audit Manager/ Committee Secretary
Henry Kamara (Appointed as the Secretary to the Committee on 1 September 2024)	Internal Audit Manager/ Committee Secretary
Lawrencia Gichatha (Permanent Invitee of the Committee)	Finance Manager

The Committee held four formal meetings in 2024 (see details below) and invited the external auditors when discussing the Company’s accounts. The Committee also invites the Managing Director to the

meeting as and when required, performs inspections and interviews company managers at any time deemed necessary. The BAC may consider a non- executive session with the Internal Audit Manager when necessary.

Name of Member	Eligible No. of meetings	No. of meetings attended	Overall % attendance
Joseph Karago	4	4	100%
Catherine Musakali	4	4	100%
Maurice K’Anjejo	4	4	100%
Guillaume Navez	4	4	100%
Charles Wambugu	3	3	100%
Henry Kamara	1	1	100%

Henry currently serves as the Internal Audit Manager for TotalEnergies Marketing Kenya PLC. He holds a Bachelor of Commerce degree from Kenyatta University and is a Certified Public Accountant of Kenya (CPAK).

Henry joined the company in November 2002 as Chief Accountant. He thereafter held various positions within TotalEnergies, including Finance Manager of TotalEnergies Tanzania, Finance and Administration Manager of TotalEnergies Liberia, Internal Controls Assistant within TotalEnergies Africa (AFIL), Finance and Administration Manager of TotalEnergies Ghana and General Secretary of TotalEnergies Zambia.

Prior to joining TotalEnergies, Henry worked with Ernest & Young where he rose to the position of Principal Consultant.



HENRY KAMARA
INTERNAL AUDIT MANAGER

B. THE BOARD RISK AND GOVERNANCE COMMITTEE

The Board Risk and Governance Committee (BRGC) assists the Board of Directors of TotalEnergies Marketing Kenya Plc in fulfilling its management's responsibilities regarding the uncertainties the Company may face. The Committee is mandated to provide oversight of the entity-wide risk management process and ensure integrity and effectiveness of the Company's compliance monitoring framework.

The Committee's roles and responsibilities are to:

- Ensure that the executive team has identified and assessed all the inherent risks in the Company and has established mitigating measures.
- Ensure the division of risk-related responsibilities to each Board committee as clearly as possible, performing a gap analysis and approving the Company's risk management framework.
- Assist the Board of Directors by reviewing and making recommendations on the effectiveness of the Company's governance structure and general by-laws.
- Ensure that the control procedures and systems established within the Company are designed to manage rather than eliminate the risk of failure to meet business objectives. The

risk framework requires that all of the Company's business and functions establish processes for identifying, evaluating and managing the key risks.

- Receive and review the Company's internal audit reports on the risk management function.

TotalEnergies Marketing Kenya Plc has a Risk Mapping and Management program which is refreshed in every 3 to 5 years. Under this program, Management has identified environmental, regulatory, industry and internal risk factors that can hinder the Company from achieving its overall objectives. Mitigation action plans have been developed and regular reviews are undertaken to track progress of the mitigation actions and to identify any emerging risks.

This Committee comprises two (2) Independent Directors, the Managing Director and the Finance Manager. Committee Members are appointed by the Board for a period of 3 years. The Risk Governance and Compliance Manager by invitation, makes presentations to this committee

The Committee meets at least twice in every year, or more frequently as circumstances may dictate. The members of the Risk and Governance Committee are as follows:

Name of Member	Position
Maurice K'Anjejo	Independent Director – Chairman
Catherine Musakali	Independent Director
Eric Fanchini (Ceased as a member on 31st August 2024)	Managing Director
Thibault Flichy (Appointed as a member on 1st September 2024)	Managing Director
Lawrencia Gichatha	Finance Manager
John Maonga	Company Secretary
Adele Tura (By Invitation)	Strategy and Corporate Affairs Director
David Ayilo (By Invitation)	Risk, Governance & Compliance Manager

In the year 2024, the BRGC met two times as shown here below:

Name of Member	Eligible No. of meetings	No. of meetings attended	Overall % attendance
Maurice K'Anjejo	2	2	100%
Catherine Musakali	2	2	100%
Eric Fanchini	1	1	100%
Thibault Flichy	1	1	100%
Lawrencia Gichatha	2	2	100%
John Maonga	2	2	100%



DAVID OMBONYO AYILO

RISK, GOVERNANCE AND COMPLIANCE MANAGER

David currently serves as the Risk, Governance and Compliance Manager for TotalEnergies Marketing Kenya PLC. He holds a Master's degree in Strategic Management, along with a Bachelor degree in Education - Economics and Mathematics. David joined TotalEnergies Company during the Chevron merger in 2009 and has held various positions since then including; Corporate Affairs Manager, Strategy Manager and General Trade Manager. Before joining TotalEnergies Kenya, David worked for Chevron as the Card and Customer Service Manager for East Africa, Card business upgrade project team member in South Africa and also worked for Barclays Bank as the Card Acquiring Manager for East Africa. He is also TotalEnergies Kenya's Compliance Officer.

C. THE BOARD NOMINATION & REMUNERATION COMMITTEE

The CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015 (the CMA Code) expressly require that “the Board shall appoint a Nomination committee consisting mainly of Independent and Non-Executive Board members with the responsibility of proposing new nominees for appointment to the Board and for assessing the performance and effectiveness of the Directors of the Company”. Further, the CMA Code expressly states that “the Board of Directors shall set up an Independent remuneration committee or assign a mandate to a nomination committee or such other committee executing the functions of a nomination committee, consisting mainly of Independent and Non-Executive Directors, to recommend to the Board the remuneration of the Executive and Non-Executive Directors and the structure of their compensation package”.

The Committee’s role and responsibilities are as follows:-

- Review the required skills mix and expertise that the executive Directors as well as Independent and Non-Executive Directors bring to the Board on an annual basis and make disclosure of the same in its annual report.
- Recommend candidates to the Board for consideration and appointment by the Shareholders.
- Consider qualified persons of caliber, credibility and who have the necessary skills and expertise to exercise independent judgement on issues that are necessary to promote the company’s objectives and performance in its area of business.

- Consider candidates for Directorships proposed by any of the shareholders, including the majority shareholders.
- Formulate and review the remuneration policy and procedures of the Company that attract and retain Board members.
- On an annual basis, review the remuneration package of the Board members for submission to the Board for approval.
- Review and recommend to the Board for approval the Board Remuneration Report for inclusion in the Annual Reports.

The Committee ensures that the structure of the Board comprises a number of Directors, which fairly reflects the company’s shareholding structure and is not biased towards representation by a substantial shareholder but shall reflect the company’s broad shareholding structure putting into consideration the minority shareholders without undermining the collective responsibility of the Directors. The Committee also ensures that the Board members are remunerated fairly.

The Board Nomination and Remuneration Committee Charter clearly spells out the composition, role, scope, mandate, requirements and the duty of the Committee and its members. Any amendments to the Charter require the approval of the Board. This Committee is currently composed of three (3) Directors and is chaired by an Independent Director.

The Committee meets at least once annually or more frequently as circumstances dictate. The members of the Board Nomination and Remuneration Committee are as follows:

Name of Member	Position
Joseph Karago	Independent Director - Chairman
Olagoke Aluko (Ceased as a member on 23rd August 2024)	Chairman of the Board
Elodie Luce (Appointed as a member on 23rd August 2024)	Chairperson of the Board
Jean-Philippe Torres (Ceased as a member on 28th November 2024)	Non-Executive Director
Guillaume Navez (Ceased as a member on 28th November 2024)	Non-Executive Director
Fernanda Schröder (Appointed as a member on 28th November 2024)	Non-Executive Director
John Maonga	Company Secretary
Thibault Flichy (By Invitation)	Managing Director
Lawrencia Gichatha (By Invitation)	Finance Manager

In the year 2024, the BNRC met three times, as shown below:

Name of Member	Eligible No. of meetings	No. of meetings attended	Overall % attendance
Joseph Karago	3	3	100%
Olagoke Aluko	2	2	100%
Elodie Luce	1	1	100%
Jean-Philippe Torres	-	-	-
Guillaume Navez	3	3	100%
John Maonga	3	3	100%

Our Code of Conduct:

- Is informed by our five values, including our two core values (Safety and Respect for Each Other) that guide all our actions.
- Describes the practices to maintain with respects to safety, integrity, respect for human rights and other areas.
- Lists the international Standards that TotalEnergies applies. Defines our commitments to our internal and external stakeholders.
- Explains the role of Ethics Committee and describes the steps to follow when reporting an issue that violates the Code of Conduct or to request guidance.
- Applies to our suppliers of goods and services, setting out our expectations with regard to their behaviour and ethical standards.
- Is made public to all our external stakeholders. Please feel free to circulate it to your stakeholders.
- You can also find it on the Company's website.

All of us must take responsibilities for applying the Code of Conduct. We encourage a culture of openness that allows everyone to express their concerns about Code of Conduct



TotalEnergies



POLICIES

ETHICS CHARTER AND CODE OF CONDUCT INTEGRITY COMMITTEE

TotalEnergies Marketing Kenya PLC is committed to establishing high quality long-term relationships with all stakeholders: customers and distributors, suppliers and contractors, host countries, local communities, business partners, shareholders and the civil society. The Code of Conduct is rooted in 5 core values:



Our two core values, Safety and Respect for Each Other, are ingrained in our Company's procedures and guidelines, providing practical guidance for upholding the Code of Conduct in our day-to-day actions.

All employees, suppliers, contractors and business partners are expected to understand, respect and apply standards and business principles outlined in the code of conduct.

TotalEnergies Marketing Kenya Plc adheres to the TotalEnergies Group's Compliance Program. It calls for zero-tolerance approach to corruption, fraud and anti-competitive practices and upholding the highest standards of integrity. Employees and all stakeholders are expected to prevent, identify, report and address situations that might cross the line as soon as they arise.

Furthermore, TotalEnergies Marketing Kenya Plc respects all applicable national and international laws and norms. In instances where there is a discrepancy between a legal requirement and our code of conduct, we strive to apply the higher standard.

To guide relations with suppliers, contractors and third parties, anti-corruption, anti-fraud and anti-competitive clauses are incorporated in all contracts. Additionally, a due diligence exercise is conducted before initiating any formal relations with any third parties. Both physical and online trainings are also extended to our stakeholders.

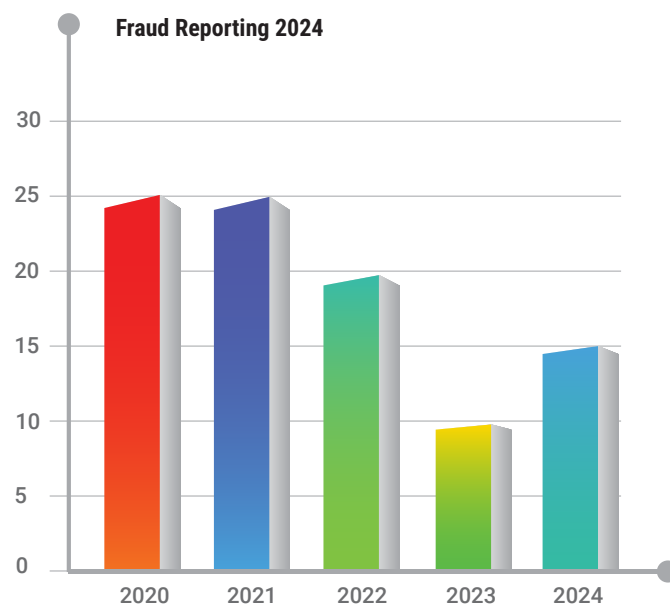
Identifying and reporting existing or potential conflicts of interest by employees allows for effective risk management. Potential conflicts of interest can be mitigated by avoiding acquiring any interest in the business of a competitor, supplier or customer without prior written approval from management. Employees are also required to declare, and in some cases seek approval for gifts, hospitality, donations and sponsorships to and from business partners, facilitated through an electronic Gift and Hospitality register.

The Company remains committed to respecting internationally recognized Human Rights standards, particularly those relating to employees' working conditions across all its diverse operations. A non-discriminatory recruitment program, solely based on our requirements and the specific capabilities of individual applicants, coupled with zero-tolerance policy towards harassment, fosters a diverse and well-motivated workforce.

Like any organization of significant size and complexity, TotalEnergies Marketing Kenya Plc is inherently vulnerable to risks of fraud and corruption. In response to these risks, the Company has implemented a range of mitigating controls including the Integrity Committee, Ethics Officer position, Compliance Officer position and an Internal Audit department.

The Integrity Committee is composed of the Managing Director, Finance Manager (Ethics Officer), Human Resources and Administration Manager, Audit Manager and the Risk Governance and Compliance Manager (Compliance Officer). They are responsible for addressing all compliance-related matters. The Integrity Committee reviews cases declared by employees, customers, suppliers or any third party, through the 'Speak-Up Campaign' and ethics email of the Group and/ or TotalEnergies Marketing Kenya Plc: ethics@totalenergies.com, or ethics.ke@totalenergies.com. If deemed necessary, the Integrity Committee initiates investigations, takes note of recommendations, and applies disciplinary actions accordingly.

The following graphical analysis provides a summary on the outcome of proactive and reactive anti-fraud and investigation work during 2020 to 2024, with majority of the cases reported coming from the TotalEnergies Service stations.



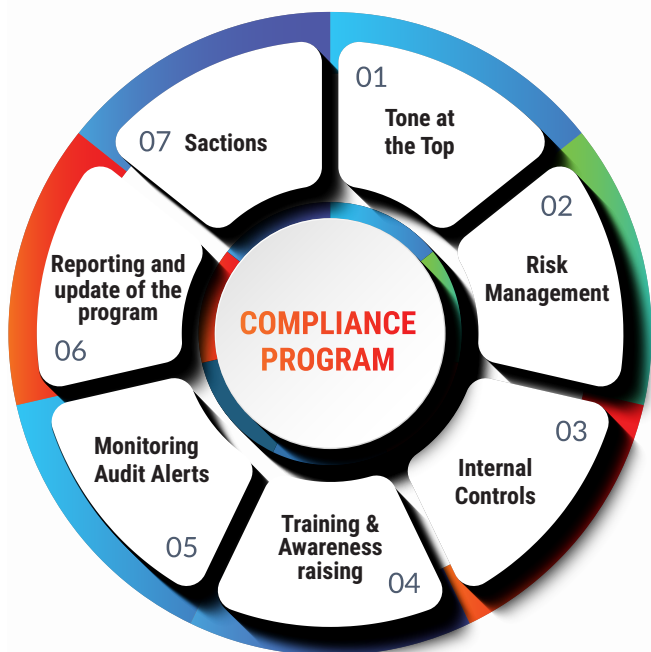
The Integrity Committee reviews cases declared by employees, customers, suppliers or any third party, through the 'Speak-Up Campaign' and ethics email of the Group and/ or TotalEnergies Marketing Kenya Plc: ethics@totalenergies.com, or ethics.ke@totalenergies.com. If deemed necessary, the Integrity Committee initiates investigations, takes note of recommendations, and applies disciplinary actions accordingly.



COMPLIANCE PROGRAM

To prevent risks of corruption, TotalEnergies has implemented a robust and regularly updated anti-corruption compliance program that has been extended to employees and third parties. The primary goal of this program is to promote a culture of compliance, transparency and dialogue. These components are essential for ensuring sustainability of the Company's operations and activities, as well as for meeting legal requirements. Being an affiliate of a multinational Company, TotalEnergies Marketing Kenya PLC is subject to both local and international anti-corruption laws, as well as Group rules.

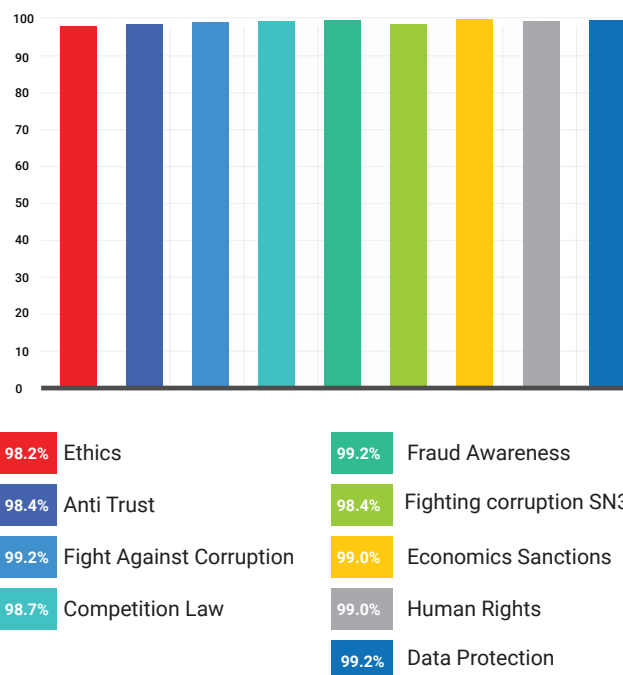
7 Pillars Of The Compliance Program



For continued awareness of the Compliance program, the Company undertakes Awareness sessions for third parties and compliance training for all staff. The graphs below show some of the Staff and third parties awareness compliance sessions and staff performance on the mandatory compliance trainings in 2024.

Awareness session	Attendees
Teamiza Forum (12th March 2024)	55
Transporters Seminar (8th May 2024) Staff + Transporters	60
Suppliers conference (11th June 2024) Staff + Contractors	238
Dealer Convention (21st August 2024) Staff + Contractors	215
Network Business Review (16th May 2024)	37
Third Party Due diligence Training (07& 08/August 2024)	148
Monthly Contractor Safety meeting(27th August 2024)	60
Monthly Contractor Safety meeting(27th November 2024)	238
Business Ethics Day (10th December 2024)	389

Compliance Training Status as at End Of 2024

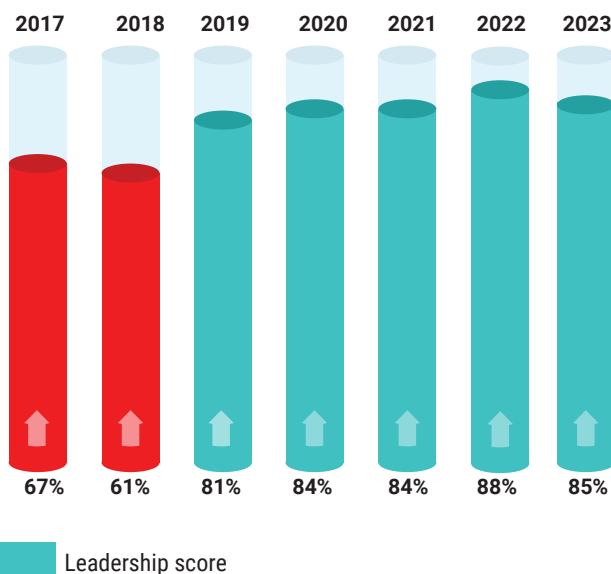


COMPLIANCE WITH CMA CODE OF CORPORATE GOVERNANCE

Corporate governance continues to be a key priority of the Board in exercising its mandate as being responsible and accountable to all stakeholders. The Board has put in place procedures, systems and controls to safeguard the Company's interests in line with the highest standards of corporate governance.

Since 2017 the Company has continued to improve on the Capital Markets Authority (CMA) code of corporate governance assessment maintaining a leadership score for 5 consecutive years from 2019 to 2023.

CMA Overall Assessment Score%



In fulfilment of the requirements of the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public (2015), the Company undertook a corporate governance audit in 2024 and the independent Governance Auditor's opinion is stated as follows.

REPORT OF THE INDEPENDENT GOVERNANCE AUDITOR TO THE SHAREHOLDERS OF TOTALENERGIES MARKETING KENYA PLC

INTRODUCTION

We have performed Governance Audit for TotalEnergies Marketing Kenya PLC covering the year ended 31 December 2024 which comprised assessment of governance practices, structures and systems put in place by the Board.

BOARD RESPONSIBILITY

The Board is responsible for putting in place governance structures and systems that support the practice of good governance in the organization. The responsibility includes planning, designing and maintaining governance structures through policy formulation necessary for efficient and effective management of the organization. The Board is responsible for ensuring its proper constitution and composition; ethical leadership and corporate citizenship; accountability, risk management and internal control; transparency and disclosure; members' rights and obligations; members' relationship; compliance with laws and regulations; and sustainability and performance management.

GOVERNANCE AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the existence and effectiveness of Governance instruments, policies, structures, systems and practices in the organization within the legal and regulatory framework and in accordance with best governance practices as envisaged under proper Board constitution and composition; ethical leadership and corporate citizenship; accountability, risk management and internal control; transparency and disclosure; members' rights and obligations; members' relationship; compliance with laws and regulations; and sustainability and performance management, based on our audits.

We conducted our audits in accordance with ICPSK Governance Audit Standards and Guidelines which conform to global Standards. These standards require that we plan and perform the governance audit to obtain reasonable assurance on the adequacy and effectiveness of the organizations policies, systems, practices and processes. We believe that our governance audit provides a reasonable basis for our opinion.

OPINION

In our opinion, the Board has put in place effective, appropriate and adequate governance structures in the Company, which are in compliance with the legal and regulatory framework and in line with good governance practices in the interest of stakeholders.



CS. Mary Reba Chabeda-Ouko, ICPSK GA. No 00048

For Umsizi LLP

March 14, 2025

**Stay cool
under pressure
with Coolelf
coolant**



**Protects your engine from
overheating and extend its life.**



TotalEnergies



A background image showing a business handshake over a wooden desk. On the desk, there is a white calculator and some papers. In the background, there are potted plants and a window. A red and orange gradient banner with a gold border is overlaid on the handshake.

MANAGEMENT

BOARD OF DIRECTORS

Great leadership brings a great future



MR JOSEPH KARAGO

MS FERNANDA SCHRÖDER

MR JEAN-PHILIPPE TORRES

MS ELODIE LUCE

MR THIBAUT FLICHY



MR ADELE TURA

FCS CATHERINE MUSAKALI, OGW

MR JOHN MAONGA

MS LAWRENCIA GICHATHA

MR MAURICE ODHIAMBO K'ANJEJO

DIRECTORS PROFILE



MS ELODIE LUCE
CHAIRLADY OF THE BOARD

Ms Elodie Luce was born in 1979 and she is a graduate of HEC business school and holds a master's degree in business law from Paris-Sud University (Paris XI). She has an illustrious career spanning over two decades in finance, law, and corporate governance. Ms. Luce brings a wealth of experience and strategic insight to her new role. She has held several high-level positions within TotalEnergies, including but not limited to Managing Director of TotalEnergies Marketing Congo, Head of Equity & Financial Governance at TotalEnergies SE, Head of Market Intelligence and Prospective, Strategy Division of TotalEnergies Marketing Services SA, and Senior Manager, Mergers & Acquisitions of the African Division, among others. Currently, she is the Executive Vice President East & Central Africa (MS Africa).



MR THIBAUT FLICHY
MANAGING DIRECTOR

Mr. Thibault Flichy was born in 1974 and he holds a master's degree in business from the NEOMA Business School bringing with him a strong educational background to complement his extensive professional experience. Mr. Flichy has over 20 years of extensive management experience and has served within TotalEnergies in various capacities. He previously served as the Vice President of Mobility, Vice President of Africa Retail Network (Marketing and Digital), Chief Executive Officer of TotalEnergies Marketing Senegal, Chief Executive Officer of TotalEnergies Marketing Burkina Faso, and Commercial Director at TotalEnergies Marketing Burkina Faso, among others. Prior to this appointment, he was the Program Director for the Electricity Start-up Accelerator at TotalEnergies.



MR JEAN-PHILIPPE TORRES
NON-EXECUTIVE DIRECTOR

Born in 1966, Mr. Jean-Philippe Torres holds a Diploma in Economics from the University of Lille (France), a Master of Finance from The ESCM School of Business and Management (France) and a Master of Science in Management from the IESEG School of Management (France). He began his career with TotalEnergies in 1992 and, over the course of his career in its downstream branch, has held various senior operational roles in countries such as Germany, France, and Senegal, as well as having served as Managing Director of TotalEnergies' downstream affiliates in the Gambia, Togo, Benin, DRC and Nigeria. After having held the positions of Director of North and Central America, Director of Central and East Africa and Director of Mediterranean-Indian Ocean, he is currently Senior Vice President Africa of TotalEnergies Marketing Services. He is also the alternate Director to the Chairperson.



MS. FERNANDA SCHRÖDER
NON-EXECUTIVE DIRECTOR

Ms. Fernanda Schröder was born in 1989 and holds a Bachelor of Science (BSc) in Mechanical Engineering from Escola Politécnica da Universidade Federal do Rio de Janeiro and a Master of Science (MSc) in General Engineering from the École Centrale Lyon. She has more than 10 years of experience in the energy industry and brings significant expertise in project management, partnership and relationship management, corporate finance, economic modelling and energy markets. Fernanda has held several senior roles within TotalEnergies, including Corporate and Project Financing Manager, Senior Economist and Financial Planning and Analysis (FP&A) Manager. Prior to joining TotalEnergies, she served as R&D Project Coordinator and PMO Engineer at TechnipFMC.

She was appointed a director of TMK on 28th November 2024 and approved by the Capital Markets Authority in March 2025.



MR JOSEPH KARAGO
INDEPENDENT DIRECTOR

Mr. Joseph Karago was born in 1962, is a registered architect and corporate governance professional with over three decades of experience in infrastructure development, urban planning, and strategic advisory. He has served as an Independent Director at TotalEnergies Marketing Kenya PLC since 2016, where he chairs the Board Audit Committee and the Nominations & Remunerations Committee, and is a member of the Risk & Governance Committee.

In addition to his role at TotalEnergies, Mr. Karago is the Managing Director of Karago & Associates Architects, an architectural and consultancy firm specializing in urban infrastructure and commercial development. He also serves as an Independent Advisor and Government Liaison at the Foreign, Commonwealth & Development Office (FCDO), where he is involved in the development and execution of the Nairobi Railway City, a major urban regeneration project.

He holds Directorship positions in Ziyanda Investments Ltd, Tanelec Zambia, and Ayanda Capital, providing governance oversight in infrastructure investment and corporate strategy.

Mr. Karago is also engaged in corporate social responsibility initiatives, serving on the Board of Governors of Thomas Barnardo's Home and as Chairman of the Adoptions Committee at Kenya Children's Home. His experience in corporate governance, risk management, and strategic planning continues to support the effective oversight and long-term sustainability of the organizations he serves.



MR MAURICE ODHIAMBO K'ANJEJO
INDEPENDENT DIRECTOR

Born in 1957, Mr. Maurice Odhiambo K'Anjejo is an Accountant and holds a Bachelor of Commerce (B.Com.) degree, Accounting Option from the University of Nairobi. He is a Certified Executive and Leadership Coach. He had previously worked for TotalEnergies Marketing Kenya PLC for 32 years in various managerial positions and also served as an alternate Director in the Board of the company for nine years by the time of his retirement from employment on 31st October 2017. He was appointed as an independent, non-executive Director of the company on 18th November 2020, and he is currently a member of the Audit Committee and Chairman of the Risk and Governance committee of the Board.



MS LAWRENCIA GICHATHA
FINANCE MANAGER

Born in 1977, Ms. Lawrencia Gichatha holds a Master's in Business Administration, Strategic Management from Moi University, Kenya and a Degree in Bachelor of Commerce (B.Com.), Accounting from the University of Nairobi, Kenya. She is a qualified and registered member of ICPAK. Lawrencia joined TotalEnergies Marketing Kenya PLC in 2002 and has served in several positions within TotalEnergies. She is currently the Finance Manager of TotalEnergies Marketing Kenya PLC and has previously served as a Corporate & Project Finance Manager, Marketing & Services (MS) Branch - Africa perimeter based in France, SAP Program Manager for MS, Africa Perimeter based in France, Controlling Manager, SAP Coordinator and Financial Accountant at TotalEnergies Marketing Kenya PLC. Lawrencia is also the Country Ethics Officer and an alternate Director to Ms. Fernanda SCHRODER as well as a member of the Risks and Governance Committee of the Board. In addition to the TotalEnergies Marketing Kenya PLC roles, she is a Director for the TotalEnergies solar companies in Kenya specifically, Isiolo Project Limited and, Isiolo PV Property Limited and also holds the role of the Treasurer of the Safe-Way- Right-Way NGO.



MR ADELE TURA
STRATEGY & CORPORATE AFFAIRS DIRECTOR

Mr. Adele Tura was born in 1967 and holds a Master of Business Administration in Strategic Management from the University of Nairobi, a Bachelor of Education (Arts) Degree from Kenyatta University and Higher National Diploma in Human Resources Management from the Institute of Human Resources Management. Mr. Tura has over 30 years of work experience. He previously served as the Human Resources & Administration Manager at TotalEnergies Marketing Kenya PLC, the Regional Human Resources Manager at TotalEnergies Africa and the Senior Talent Developer of TotalEnergies Marketing & Services (Eastern and Southern Africa countries). Currently, he is the Strategy and Corporate Affairs Director of TotalEnergies Marketing Kenya PLC and was appointed as alternate Director to Jean-Philippe Torres with effect from 21st September 2022.



FCS CATHERINE MUSAKALI, OGW
INDEPENDENT DIRECTOR

Catherine Musakali born in 1969 is an Advocate of the High Court of Kenya and a Fellow of the Institute of Certified Secretaries of Kenya. She holds a Master of Laws Degree from the University of Nairobi, a Post Graduate Diploma from Kenya School of Law, a Bachelor of Laws (LLB) Degree from the University of Nairobi and a Certificate in Securities and Investment from the Securities and Investment Institute (UK). She is also a Fellow of the Institute of Directors (Kenya) and the Institute of Certified Secretaries of Kenya. Catherine is the Founder of Dorion Associates LLP, a firm specialized in governance matters and commercial legal consultancies. Prior to founding Dorion Associates LLP, Catherine worked in the oil industry for over fifteen years in various capacities and jurisdictions.

Recognized and well respected in industry as a governance expert, Catherine has championed Corporate Governance in private and public institutions, spearheading the development of three codes of Corporate Governance in Kenya. She is a member of various Boards across private and public sectors. Catherine, who supports gender representation in corporate Kenya particularly in the boardroom, is a co-founder and Chair of 'Women on Boards Network Kenya' a non-profit which prepares and supports senior women to access board positions.



MR JOHN MAONGA
COMPANY SECRETARY

Mr. John Maonga was born in 1960 and is a holder of B. A. Degree from the University of Nairobi and is a Certified Public Secretary. He is a registered Practising Company Secretary and a fellow of the Institute of Certified Public Secretaries of Kenya. He is a Member of the Institute of Directors and an Accredited Practising Governance Auditor. He has over 30 years of experience in Company Secretarial, Share Registration and Trustee Services. He was appointed Company Secretary of TotalEnergies Marketing Kenya PLC on 1st February 1999.

Great
thinkers
bring
great
innovation

MANAGEMENT EXECUTIVES

Great leadership brings a great future



MR CHRISTOPHE WITTMANN

MR ADELE TURA

MR THIBAUT FLICHY

MS LAWRENCIA GICHATHA

MR SAMUEL MISOI



MR MARTIN MUTUMA

MR HENRY KWAME

MS ELIZABETH SOTUMINU

MR JAPHET MWATSAMA

MR SANDIP MUKHERJEE

MANAGEMENT PROFILE



MR THIBAUT FLICHY
MANAGING DIRECTOR

Mr. Thibault Flichy was born in 1974 and he holds a master's degree in business from the NEOMA Business School bringing with him a strong educational background to complement his extensive professional experience. Mr. Flichy has over 20 years of extensive management experience and has served within the TotalEnergies Group in various capacities. He previously served as the Vice President of Mobility, Vice President of Africa Retail Network (Marketing and Digital), Chief Executive Officer of TotalEnergies Marketing Senegal, Chief Executive Officer of TotalEnergies Marketing Burkina Faso, and Commercial Director at TotalEnergies Marketing Burkina Faso, among others. Prior to this appointment, he was the Program Director for the Electricity Start-up Accelerator at TotalEnergies.



MS LAWRENCIA GICHATHA
FINANCE MANAGER

Born in 1977, Ms. Lawrence Gichatha holds a Master's in Business Administration, Strategic Management from Moi University, Kenya and a Degree in Bachelor of Commerce (B.Com.), Accounting from the University of Nairobi, Kenya. She is a qualified and registered member of ICPAK. Lawrence joined TotalEnergies Marketing Kenya PLC in 2002 and has served in several positions within TotalEnergies. She is currently the Finance Manager of TotalEnergies Marketing Kenya PLC and has previously served as a Corporate & Project Finance Manager, Marketing & Services (MS) Branch - Africa perimeter based in France, SAP Program Manager for MS, Africa Perimeter based in France, Controlling Manager, SAP Coordinator and Financial Accountant at TotalEnergies Marketing Kenya PLC. Lawrence is also the Country Ethics Officer and an alternate Director to Ms. Fernanda SCHRODER as well as a member of the Risks and Governance Committee of the Board. In addition to the TotalEnergies Marketing Kenya PLC roles, she is a Director for the TotalEnergies solar companies in Kenya specifically, Isiolo Project Limited and, Isiolo PV Property Limited and also holds the role of the Treasurer of the Safe-Way- Right-Way NGO.



MR ADELE TURA
STRATEGY & CORPORATE AFFAIRS DIRECTOR

Mr. Adele Tura was born in 1967 and holds a Master of Business Administration in Strategic Management from the University of Nairobi, a Bachelor of Education (Arts) Degree from Kenyatta University and Higher National Diploma in Human Resources Management from the Institute of Human Resources Management. Mr. Tura has over 30 years of work experience. He previously served as the Human Resources & Administration Manager at TotalEnergies Marketing Kenya PLC, the Regional Human Resources Manager at TotalEnergies Africa and the Senior Talent Developer of TotalEnergies Marketing & Services (Eastern and Southern Africa countries). Currently, he is the Strategy and Corporate Affairs Director of TotalEnergies Marketing Kenya PLC and was appointed as alternate Director to Jean-Philippe Torres with effect from 21st September 2022.

Great
leadership
brings a
great
future



MR CHRISTOPHE WITTMANN
COMMERCIAL MANAGER – (NETWORK, SFS, CARD,
CUSTOMER SERVICE AND BRAND COMMUNICATION)

Mr. Christophe Wittmann holds a Degree from the NEOMA – Reims Management School. He joined TotalEnergies in 2001 and has worked in Europe and Asia serving in different positions including IT Project Manager, Pricing Manager, Network Regional Manager, Marketing & Service Strategy Officer and Vice President for Retail. He was the Shop, Food, Services & Customer Centricity Manager for Africa until August 2021 when he was appointed as TotalEnergies Marketing Kenya Commercial Manager for Retail, Cards, Customer service, Brand Communication and Shop Food and Services.



MR SAMUEL MISOI
PLANNING AND SUPPLY MANAGER

Mr. Samuel Miso holds a Master's degree in Business Administration with a specialization in Finance and a Bachelor's degree in Commerce (B.Com) with a focus on Finance from the University of Nairobi, Kenya, and is also a registered member of ICPAK. He joined TotalEnergies Marketing Kenya PLC in 2007 and has held several positions within the company. During his tenure, he has worked as the Financial Accounting Manager for 3 years, the Controlling Manager for 4 years, the Middle Officer for 2 years, the Cost Agility Coordinator, the Management Accountant, among other roles within the company. In August 2024, he was appointed as the Planning and Supply Manager. Prior to this appointment, he was serving as the Financial Accounting Manager within the Finance department.



MR HENRY KWAME
COMMERCIAL MANAGER SPECIALTIES

Henry Kwame Adzewodah holds a Commonwealth Executive Masters in Business Administration and Bachelor of Science degree in Mechanical Engineering, both from the Kwame Nkrumah University of Science and Technology, Ghana. He joined TotalEnergies Marketing Ghana PLC in 2007 and has served in various capacities; Lubricant Engineer (3 years), Mines Lubricant Engineer (4 years), Mines Technical Support Manager (2 years) and Lubricant Manager (part of affiliate's Management Committee) for 6 years driving the Sales, marketing, and technical activities of Lubricants for TotalEnergies Marketing Ghana PLC. In 2022, Henry joined TotalEnergies Lubricants, Paris as the Lubricant Pricing, Revenue & Coordination Manager responsible for the Africa Zone. Prior to joining TotalEnergies, Henry worked with Mobil Oil Ghana Limited as Mines Industrial Sales Representative for lubricants overseeing 5 gold mines.



MR MARTIN MUTUMA
HEAD OF HUMAN RESOURCES AND ADMINISTRATION

Martin Mutuma holds a Bachelor of Education Degree from the University of Nairobi, a Post Graduate Diploma in Human Resource Management from the Institute of Human Resource Management (K) and an Executive Marketing Diploma from MSK (K). He joined TotalEnergies Marketing Kenya PLC in 1999 and has held various key roles including Business Development Manager (3 Yrs.), Brand & Communications Manager (7yrs), Marketing Services Manager (3 Yrs.) and Training & Development Manager among other roles. Before joining TotalEnergies, Martin Mutuma worked for Coca-Cola, Nairobi Bottlers as a Sales & Marketing Executive. In December 2022, he was appointed as Head of Human Resources & Administration in TotalEnergies Marketing Kenya PLC. Prior to this appointment, he was a Talent Developer within the Human Resources department.



MS. ELIZABETH SOTUMINU
OPERATIONS MANAGER

Ms. Elizabeth Sotuminu holds a Masters in Structural Engineering and a Bachelor of Science in Civil Engineering from the University of Lagos. She is a member of the Institute of Engineers and the Council for Regulation of Engineering in Nigeria (COREN). She has over 28 years of experience in the Oil Industry. She has worked with TotalEnergies in Africa and Europe, serving in different positions, including Managing Director at TotalEnergies Sierra Leone, Operations and Mining Manager at TotalEnergies Ghana, Engineering Manager at TotalEnergies Nigeria, and as the Business, Logistics Engineer responsible for Central and East African countries in Paris. Before being appointed Operations Manager, she was a Group Internal Auditor based in Paris.



MR SANDIP MUKHERJEE
COMMERCIAL MANAGER B2B

Mr. Sandip Mukherjee joined TotalEnergies Marketing Kenya Plc as the Commercial Manager B2B in February 2018. He holds an MBA from the Indian Institute of Management, Calcutta (IIMC) and a Bachelor of Science in Physics. Previously he has been associated with the GAPCO Group for seventeen years in various roles in the downstream petroleum markets in East Africa. His last position was General Manager – Sales for GAPCO Kenya Ltd. He had also worked in India with MNCs like ESAB and has varied experience across petroleum downstream, engineering, management consultancy and international business development



MR JAPHET MWATSAMA
HSEQ MANAGER

Mr. Japhet Mtwana Mwatsama holds a Bachelor of Science in Mechanical Engineering from Jomo Kenyatta University of Agriculture and Technology. He brings over 18 years of operations experience in downstream oil business having worked for ExxonMobil Logistics Division and Chevron Aviation before joining TotalEnergies Marketing Kenya PLC in 2009. He has served in various positions within TotalEnergies including Aviation Superintendent, Manager LPG Operations, Terminal Logistics and Head of Lubricants Operations. In August 2024, he was appointed HSEQ Manager. Prior to his appointment he was head of Methods and Control for Africa based in Paris France.

Great
thinkers
bring
great
innovation



TotalEnergies



Sustainab'ALL



**Our 5 Levers for
a Sustainable
Change.**

We all have a role to play.



TotalEnergies

TotalEnergies

SUSTAINABILITY REPORT 2024

Abbreviations and Acronyms

CAK	Competition Authority of Kenya
CSR	Corporate Social Responsibility
DEI	Diversity, Equity & Inclusion
ESG	Environmental, Social and Governance
EV	Electric vehicle
FTC	Fixed Term Contract
GHG	Greenhouse gases
GRI	Global Reporting Initiative
HSSE	Health, Safety, Sustainability and Environment
IFRS	International Financial Reporting Standards
KCDF	Kenya Community Development Foundation
KPIs	Key Performance Indicators
KWp	Kilowatt Peak
LPG	Liquefied Petroleum Gas
MAESTRO	Management and Expectation Standards Towards Robust Operations
MANCOM	Management Committee
MWh	Megawatts hour
NEMA	National Environment Management Authority
NGOs	Non-governmental organizations
OEM	Original Equipment Manufacturer
PIEA	Petroleum Institute of East Africa
PCR	Post consumer recycled
PPE	Personal Protective Equipment
PWD	Persons With Disability
RGC	Risk and Governance Committee
SCB	Safety Critical Barrier
SDGs	Sustainable Development Goals
SFS	Shops, food, and service
SRM	Stakeholder Relationship Management
SWOD	Safe Waste Oil Disposal
SWRW	Safe Way Right Way
TMK	TotalEnergies Marketing Kenya PLC
TRIR	Total Recordable Injury rate
TOC	Twice Orators Club
VFD	Variable Frequency Drive
VPSHR	Voluntary Principles on Security and Human Rights
TCO₂e	Tonnes of CO ₂ equivalent
UNEP	United Nations Environment Programme
WEEE	Waste Electrical and Electronic Equipment
WED	World Environment Day
YGT	Young Graduate Trainee
YGP	Young Graduate Program

1. About This Report

Reporting Period

This report outlines the initiatives undertaken by TotalEnergies Marketing Kenya PLC (TMK) in 2024 to meet its ongoing commitment to environmental, social, and governance (ESG) standards. It provides insights into both past and future activities related to ESG issues, ensuring consistency, accuracy, and comparability. The report has been prepared in accordance with the GRI Standards of 2021 including the GRI 11-Oil and Gas Sector 2021, and the Nairobi Securities Exchange ESG reporting guidance considerations. The report complements the Company's Annual Report and Financial Statement for the same period, available on the company's website.

Reporting Scope and Boundary

The information and data contained in this report covers TMK operations and results for the year 2024 unless otherwise indicated. The data and narratives presented have been compiled from the official TotalEnergies Marketing Kenya PLC documents, management input and incorporates stakeholder concerns reflecting the company's ESG Strategy and priorities.

Forward-Looking Statements

Besides historical facts, any mention and description of events that may or could occur, including but not limited to conditions, targets, estimations, and business plans, are forward-looking statements. The impact of external variables may result in actual developments or trends that are different from those expressed in forward looking statements. Forward-looking statements contained in this report are made as of December 31, 2024. TMK is not obliged to or responsible for modifying any of the aforesaid forward-looking statements.

Statement of use

TotalEnergies Marketing Kenya PLC has reported in accordance with the GRI Standards for the period 1 January 2024 to 31 December 2024 and the GRI content index is provided from page 77 of this report.

Corporate Information

PRINCIPAL PLACE OF BUSINESS, HEAD OFFICE AND REGISTERED OFFICE

Regal Plaza, Limuru Road

P. O. Box 30736-00100

Nairobi, Kenya

2. Sustainability at TotalEnergies Marketing Kenya

TotalEnergies Marketing Kenya is committed to transform Kenya's energy landscape by providing reliable and sustainable energy to meet the growing needs of the rising population. We are taking a practical approach to the 'Just Transition' by investing in renewables including Biodiesel, Biomass and EV Charging supporting reliable energy delivery, lowering our emissions and meeting our customers' needs while reducing global warming in-order to achieve net-zero emissions by 2050, together with the society. Our commitment is based on the values defined in our Code of Conduct and our approach to sustainability is structured around 4 axes:

- Climate and Sustainable Energy: Our Energy Transition,
- Caring for the Environment,
- Acting for the Well-being of Employees,
- Having a Positive Impact for Stakeholders.

In 2024, TMK continued to advance its multi-energy strategy, prioritizing climate action to address the dual challenge of meeting the world's growing energy demands while reducing environmental impact. We owe our ambition and success this far to our diverse, talented workforce of over 380 direct employees and over 4,500 indirect jobs, who remain committed to advancing our vision and shaping a sustainable energy future for Kenya.

Our Products

TMK's purpose is to market quality products and energy solutions to our customers that are affordable, cleaner, more reliable and that are less and less carbon-intensive while ensuring safety in all operations and day-to-day business.

Excellium Fuels

TMK is committed to providing quality fuels that offer better environmental performance. Excellium, our premium fuel with additives, is available for both petrol and diesel engines at all our service stations countrywide. With anti-deposit, anti-wear and anti-corrosion additives, Excellium provides more Kms, engine protection and reduced emissions creating a more economical and environmentally friendly driving experience for our customers.

In addition to the Excellium fuels, kerosene fuel, used for cooking and lighting, is also offered to our customers at select stations.

Lubricants

TotalEnergies Marketing Kenya is a leader in the lubricant market, committed to delivering high-quality products that maximize engine performance. Our passion for engines, mechanics, motorsport, and all types of two and four wheelers drives our extensive research and production of a wide range of lubricants. Our flagship products: Quartz, Rubia, and Hi-Perf are specifically designed to meet the

diverse needs of the Kenyan market. Quartz lubricants are ideal for passenger vehicles, offering superior engine protection and performance. Rubia lubricants cater to heavy-duty vehicles, providing enhanced durability and efficiency. Hi-Perf lubricants are perfect for motorbikes and three-wheelers, ensuring optimal performance and longevity.

Liquefied Petroleum Gas

TotalEnergies Marketing Kenya (TMK) is a leading supplier of liquefied petroleum gas (LPG) in Kenya, delivering a cost-effective, reliable, efficient, and eco-friendly cooking solution. We offer a variety of cylinder sizes—3kg, 6kg, 13kg, 22.5kg, and 50kg—to cater to the diverse needs of households and mid-sized enterprises. The safety of our customers, employees, contractors, and distributors is

a top priority and is embedded in every aspect of our operations. We are committed to promoting LPG safety throughout the value chain, from purchase and handling to usage and storage, ensuring a secure and seamless experience for all.



TotalEnergies Card

TotalEnergies Card is Kenya's number one fleet management solution; the card offers a comprehensive package enabling fleet managers to effectively control and manage their fuel consumption through reliable safety features and accurate reporting. With the card, customers can pay for Excellium fuels, TotalEnergies lubricants, LPG, bonjour shop purchases, solar, car wash services, car care or any other products and services at our service stations.



TotalEnergies card offers a comprehensive package enabling fleet managers to effectively control and manage their fuel consumption through reliable safety features and accurate reporting.



Solar Lanterns

To provide an affordable and environmentally friendly lighting alternative for Kenyans who lack access to electricity especially from low-income households or those who have unreliable electricity supply, TMK offers the Sunshine range of solar lamps. Our product models in this range include: Pocket Sunshine, Family Sunshine, Sunshine 150, Sunshine 300, Home Sunshine kit and Sunshine torch.

To enhance accessibility, Sunshine range of solar lamps is sold through our extensive service station network, authorized reseller outlets and partner corporate organizations, non-governmental organizations (NGOs), micro- finance institutions and savings and credit co-operatives.

Our Services

Network of Stations

TMK has a vast network of over 250 service stations countrywide, availing high quality products and services closer to our customers. The company continues to accelerate the retail footprint expansion with the opening of new stations.



Bonjour Shops & Food Services

Bonjour shops at our retail stations offer a one-stop convenience experience, providing a diverse range of products and services to our customers. Our coffee and snacks offerings include Café Bonjour, Mugg & Bean, Java on the Go, Java Express, and Art Caffe' to Go, all part of our customer-centric approach to convenience shopping.



This strategy is a key pillar of our market approach, aimed at creating modern and friendly points of sale that truly make a difference to our clients. Additionally, our service stations feature a variety of other Shop, Food, and Service (SFS) options, including banks, ATMs, chemists, dry cleaners, barber shops, florists and restaurants. These services are provided in collaboration with esteemed third-party restaurant partners such as KFC, Java House, Steers & Debonairs, Artcaffe, Chicken Run, and Chop IT.

Car Wash and Care

TMK provides car wash services, including the Wash Concept with proper wash bays offering professional services and use of high-quality cleaning products.

Also available at our service stations is the TotalEnergies Car care range that takes care of both car interiors and exteriors.



Quartz Auto service

Our professional Quartz Auto Service is available at TotalEnergies service stations countrywide and is tailored to suit the needs of both old and modern vehicles. Quartz Auto Service offers professionally trained mechanics, 10-point vehicle checks to guarantee optimum performance and safety, quality TotalEnergies lubricants and service parts that meet original equipment manufacturer (OEM) specifications, and free service with each oil purchase.



Memberships

We value membership in relevant organizations providing an opportunity to network and relationships, advocacy, and access to best practices. These affiliations not only strengthen our own business but also contribute to a more collaborative and successful industry ecosystem.

- Petroleum Institute of East Africa (PIEA)
- Kenya Association of Manufacturers (KAM)
- Federation of Kenya Employers (FKE)
- International Chambers of Commerce Kenya (ICC-K)
- SupplyCor
- Nairobi Securities Exchange (NSE)
- French Chambers of Commerce Kenya (FCKK)
- British Chamber of Commerce Kenya (BCKK)

Awards and recognitions

At TMK, we are deeply committed to achieving excellence in all areas of our business, and particularly in our sustainability efforts. This year, we were honored to receive several prestigious awards and recognitions that validate the dedication and hard work of our entire team as responsible business practices. Beyond the recognition, we leverage the insights gained from these recognitions, alongside feedback from stakeholders to further strengthen our ambitious business goals

In 2024 TotalEnergies launched **Act for Impact project**, a group project whose ambition is to promote and ramp up the positive impact of our activities on our stakeholders in Africa. There were over 150 projects submitted with 32 projects being shortlisted for MS Africa. TotalEnergies Marketing Kenya submitted 10 projects with 3 projects making it to the podium finish. These were:

- **E – Star** : Silver award under the business category.
- **Plastic Waste Management** : Silver award under Climate & Environment category
- **Glug Water Purification** : Bronze award under Society category



Winners of ACT for impact projects from left to right: **Thomas Okoth**, SFS manager, **Jean-Phillip Torres**, Senior Vice President MS Africa, **Mary Gachoka**, Category Manager-Services, **Eldodie Luce**, Senior Vice President ACE. **Felix Ondieki**, Maintenance Engineer Coast Region.

Certifications

TMK leadership in the energy sector is further solidified by the below internationally recognized certifications.

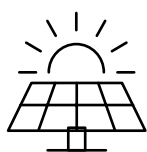
- ISO 14001:2015 CERTIFIED Blending plant environment management system
- ISO 9001:2015 CERTIFIED Quality management system for the entire company

3. 2024 ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) Highlights

ENVIRONMENTAL IMPACT

ESG highlight Area	2024	2023
Net Zero Ambition by 2050	• 1.56% decrease in Scope 1 & 2 emissions • Reduction of approximately 49 TCO₂e through the adoption of Viscosity Index Improver technology at the Blending plant • 10 new EV charging units for two-wheelers • 2 new EV charging units for four-wheelers.	• 25% decrease (2023 vs. 2024) Scope 1 & 2 emissions (577 TCO₂e) • 13 EV charging units for two-wheelers • 2 EV charging units for four-wheelers
Low carbon Products	• 93,800 liters of Biodiesel sold • Commercial rollout of Biodiesel • Rolled out LPG to over 200,000 households annually in Kenya in partnership with M-gas	• Piloted Biodiesel
Solarization	• 152 Stations powered by solar • 1 new Solar powered depot	• 148 Stations solarized • 3 Depots solarized • Head office powered by solar
Waste	Collected & recycled: • 22 tons of plastic waste • 1.75 tons of e-waste • 45 tons Post Consumer Recycled (PCR) Content in recycled lube packaging	Collected & recycled: • 35 tons of plastic waste • 0.5 tons of e-waste • 3.4 tons Post Consumer Recycled (PCR) Content in recycled lube packaging
Water	• Rainwater harvesting in 36 stations • Total water usage 28.6 million Liters	• Rainwater harvesting in 27 stations • Deployed water-savings sensor taps
Biodiversity	• Planted 30,000 trees through Eco- Challenge Program • Over 60 employees volunteered in tree planting initiatives	• Planted 30,220 trees through Eco- Challenge Program • 73 employees volunteered in the tree planting

KEY FIGURES



> 60%

Stations powered by solar



45 Tons

PCR in lubricants packaging



30,000 Trees

Planted through Eco - Challenge

SOCIAL IMPACT

ESG Highlight Area	2024	2023
Health and Safety	• 45 Joint Safety tours conducted • 4044 Life savings checks implemented • 139 Management safety tours • 252 Timiza safety Tours • 7080 SCBs Testing • Zero Total Recordable Injury Rate achieved • 10,465 Near Misses Reported	• 48 Joint Safety tours conducted • 3,397 Life savings checks implemented • Zero Total Recordable Injury Rate achieved
Diversity, Equity and Inclusion	• 36 % Women in the company workforce • 20 % Women in management • 40% Women representation on the Board • 2 PWDs • Twice Kenya held the Ladies Wellness Day, commemorated International Breast Cancer Month and the Walk and Talk event	• 37 % Women in the company workforce • 35 % Women in management • 20% Women representation on the Board • Launch of disability charter • Launch of Twice Program for Women 's Empowerment
People performance	• 95% Participation score • 95% Staff engagement score • 46.32 Average training hours per employee	• 98% Participation score • 93% Staff engagement score • 55.2 Average Training Hours per employee
Supply Chain	• Over 90 suppliers trained on sustainable supply chain	• 257 persons trained on Voluntary Principles of Security and Human Rights
Corporate Social Investment	• 235 students from Ngara Girls High School were enrolled and mentored through the Inspire Her program. • 24 women from TotalEnergies participated as mentors in the 2024 mentorship program. • Completion of a community changing kitchen at Seed of Hope Center, Kitui. • 20.1 million KSh. spent on Corporate Social Investment	• 12.8 million KSh. spent on Corporate Social Investment

ECONOMIC IMPACT

ESG Highlight Area	2024	2023
Economic Impacts	• 38.9 billion KShs. Payment of Taxes	• 37.5 billionKShs. Payment of Taxes
	• 2.0 billion KShs. Paid in salaries	• 2.0 billion KShs. Paid in salaries
	• Over 10.7 billion KShs. paid to suppliers	• 12.8 billion KShs. Paid to suppliers
	• Sustainable Sourcing with 89 % Local Content	

4. Environmental, Social & Governance

ESG governance serves as the foundation for TMK's long-term resilience, ethical decision-making, and accountability by integrating environmental, social and governance considerations into TMK's business strategy and risk management. It ensures regulatory compliance and stakeholder trust while aligning business operations with sustainability goals.

The TMK's Board of Directors is dedicated to promoting long-term value creation by the Company. It defines the Company's strategic orientations and regularly reviews opportunities and risks, such as financial, legal, operational, social and environmental risks, and the measures taken in response.

The Board ensures that the Company's strategies submitted for its consideration take account of sustainability concerns. To aid the Board in carrying out its duties, a training program on sustainability was carried out in 2024. The training included a variety of modules on the following topics: energy, climate change and environmental risks, financial risks and opportunities. The board members have also been involved in site visits, which make a very practical contribution to their training, enabling them to deepen their knowledge of the Company's specific features and its sustainability challenges.

In TMK responsibility for ESG matters starts at the top, with the Board actively overseeing our ESG strategy and progress. Our sustainability manager, along with department heads, monitors the team's ESG performance, ensures annual ESG disclosures, tracks the implementation of our ESG strategy, and regularly updates the Board on the company's ESG progress. TMK has a Risk Management framework which is a guided process and that involves all the departments with TMK. There are two sets of risk mapping reports, the first one is a comprehensive Global Risk mapping (done every 3 to 5 years) and at a global level, targeting all topics of the company's business and a second one focusing on only corruption and influence peddling (done every 3 years).

Policies and Procedures

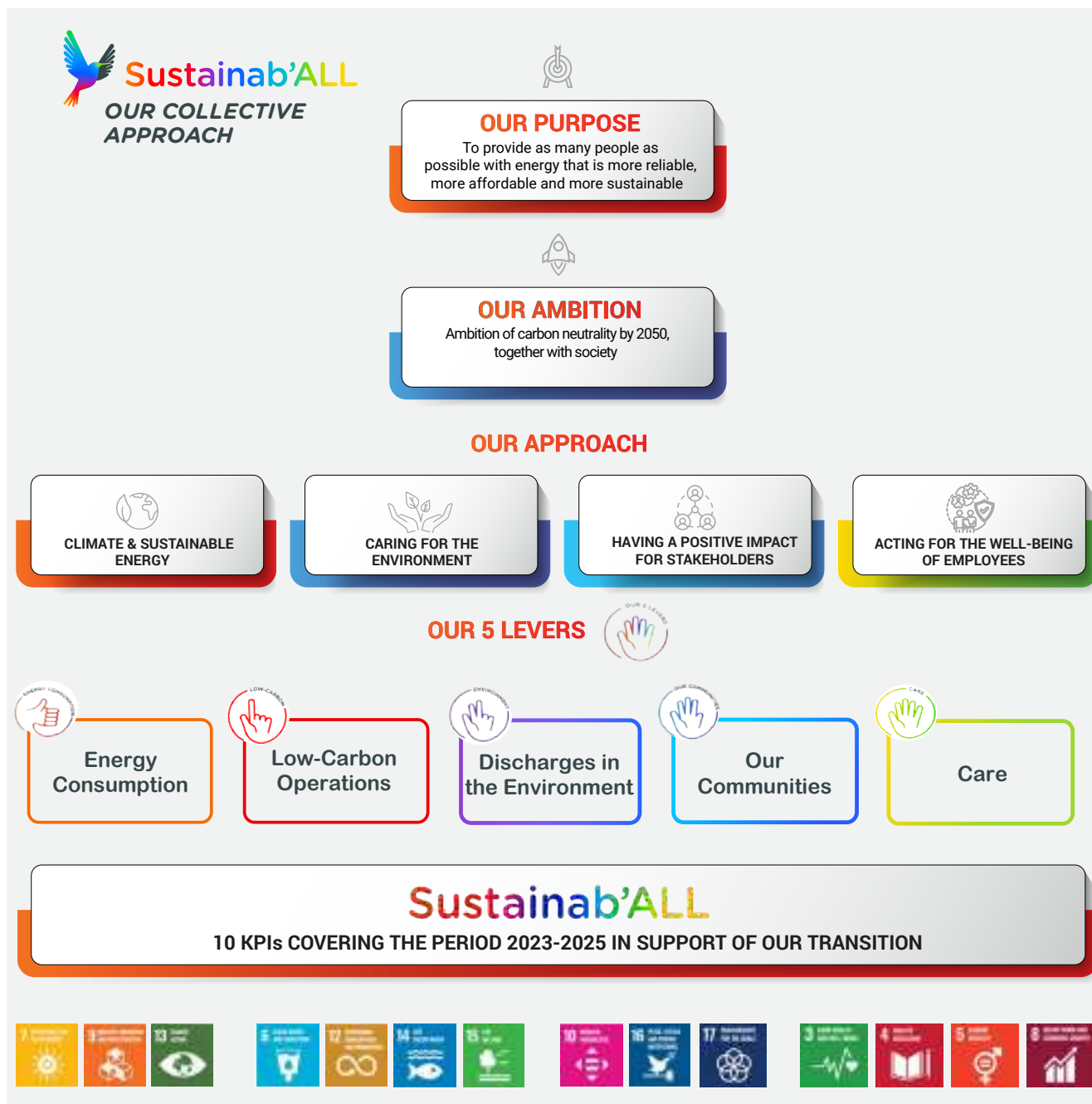
Our policies and procedures are guided by the Company and localized as appropriate. These local policies, guidelines and procedures are key to governing and delivering our sustainability agenda. They can be accessed on the company website: <http://www.totalenergies.ke/>

TMK Policies and Procedures	Summary of areas covered	Key Stakeholders
Code of Conduct - TotalEnergies Company	Informed by our two core values, Safety and Respect for Each Other, Our Code of Conduct describes: a) Practices to uphold integrity. b) Our commitments to all stakeholders. c) Role of the Ethics Committee. d) Steps taken to report violations of the Code of Conduct, alongside provides accessible reference texts.	• Host country • Shareholders • Local communities • Customers • Suppliers • Employees • Contractors
Ethics And Business Integrity Directive	Rooted in our core values, this guideline provides practical guidance for upholding the Code of Conduct in TMK's day-to-day actions. TMK demonstrates dedication to respect applicable regulation, local cultures while maintaining integrity and mutual respect with our stakeholders.	• Customers • Shareholder • Distributors • Suppliers • Contractors • Local communities • Business Partners • Civil society
Health Safety Environment and Quality Directive	TMK holds health protection, safety of operations, security of people, assets and data, respect for the environment and customer satisfaction as paramount priorities. Our HSEQ Directive states the actions to achieve continual improvement and the highest standards of operation.	• Contractors • Suppliers • Employees • Business Partners • Customers
Whistle Blowing	As a company, we believe in conducting our business in a fair and transparent manner by adopting the highest standards of integrity. TMK is committed to developing a culture where it is safe for all our stakeholders to raise concerns and grievances on any misconduct. Our Speak-Up campaign outlines the communication channels and the action taken for each reported case. Our dedicated and confidential email address: ethics.ke@totalenergies.com	• Employees • Suppliers • Customers

5. Our Approach to Sustainable Development

Energy is at the heart of the global climate challenges of the 21st century, as outlined in the United Nations Sustainable Development Goals (SDGs) for 2030. TotalEnergies is actively pursuing a transition strategy and aims to achieve carbon neutrality by 2050, together with society. In line with this ambition, the company reaffirms its commitment to expanding access to energy, ensuring it is more

reliable, more affordable, and more sustainable for as many people as possible. At TMK, we place Sustainability at the heart of our multi-energy strategy, projects and operations to contribute to the well-being of our customers and the community. In 2024, we strengthened this commitment by launching five key levers to embed sustainability into our corporate culture and drive long-term change.



TMK's Five Levers for Sustainable Change

- 1. Energy Consumption:** We continuously review and optimize energy use across operations and projects. This includes analyzing current consumption, optimizing processes, and implementing energy-efficient solutions based on cost-benefit assessments. Daily eco-conscious behaviors are actively encouraged. In projects, we prioritize energy-efficient designs by conducting comprehensive consumption reviews and evaluating advanced technical solutions to enhance sustainability.
- 2. Low-Carbon Operations:** As TotalEnergies we promote low-carbon technologies and renewable energies in our projects and operations, incorporating a CO₂ cost of \$100/t. Actions include monitoring emissions, evaluating solutions, studying electrification integrating low-carbon technologies, and favoring low-carbon transportation.
- 3. Discharges in the Environment:** Environmental management practices focus on minimizing discharges and waste using the best available technologies. Designing installations to minimize pollution and waste is also emphasized. Actions include monitoring emissions, reducing waste, and implementing avoidance measures.
- 4. Our Communities :** Engaging and maintaining a constructive dialogue with neighbors and stakeholders is crucial. In our operations we maintain open and transparent dialogues, identify and map stakeholders, communicate regularly, listen actively, and manage complaints properly. In our projects we integrate community consultations and implement means to dialogue throughout the project cycle. Actions include maintaining open dialogues, handling complaints, and integrating community consultations in projects.
- 5. Care:** Attention to colleagues' well-being is emphasized. Signs of poor well-being include physical, cognitive, emotional, and behavioral indicators. Encouraging colleagues to seek support is important.

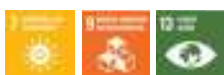


Advancing the SDGs

In June 2021, TotalEnergies reaffirmed its commitment to the SDGs by incorporating them into its ambition; part of being a responsible player in the energy industry is taking up the broader challenges of sustainable development for the planet.

TMK aims to be a benchmark for endorsement of the United Nations' Sustainable Development Goals, aligned with the world's sustainable development priorities. The SDGs are part of the Business transformation, and our business operations are in support of SDGs. Our four pillars' contributions are directly advancing to the SDGs.

Climate and sustainable energy



People's well-being



Care for the environment



Creating shared value



TMK ESG Strategy

By placing sustainability at the heart of our business strategy, sustainable development is more of an opportunity than a constraint. In 2024, we developed an ESG strategy that is not just about climate change, which is the main driver of our transformation, but also about employees' well-being, care for the environment and having a positive impact for stakeholders. TMK ESG strategy is in line with the Sustainab'ALL program. The Sustainab'ALL program is a TotalEnergies initiative

aimed at mobilizing all employees in the company's transformation and is mapped around the four pillars of the Company sustainability ambition. TMK has gone ahead and developed objectives based on ten indicators for the 2023-2025 period. The program aims to engage all employees and demonstrate that the SDGs play a part in the transformation of our company. TMK's commitment to sustainability is driven by the following objectives:



REDUCING GREENHOUSE GAS EMISSION

Implementing initiatives to achieve a 40% reduction in scope 1 & 2 emissions by 2030, transitioning to cleaner energy sources and supporting customers in their decarbonization journey



ENSURING EMPLOYEE SAFETY AND WELL BEING

Prioritizing health, safety, diversity, equity and inclusion to foster an engagement and resilient workforce. TMK is committed to zero incidents through rigorous safety training and policies



CARING FOR THE ENVIRONMENT

Promoting biodiversity, conserving water resources, managing pollution and advancing circular resources management. Initiative includes afforestation programs, waste reduction and responsible water use practices



ENGAGING STAKEHOLDERS

Building strong partnerships, fostering community development and maintaining ethical governance. TMK focuses on sustainable supply chains, anti-corruption measures and social investments that benefit local communities

Sustainab'ALL Moments

To embed a sustainable culture, we have Sustainab'ALL Moments, at the start of afternoon meetings to share on a sustainability related topics or subjects, including a highlight on actions or progress of the Company linked to the objectives of the program. The aim is to share

best practices, note improved actions, provide continuous learning, as well as proposing new projects that would enable us to achieve the 10 objectives of the Sustainab'ALL program.

Sustainab'ALL Day

On September 30, 2024, we celebrated our second Sustainab'ALL Day at TMK Headquarters in Nairobi. Throughout the month, our employees participated in a sustainability challenge, where departments submitted innovative solutions focused on TMK's five levers: Energy Consumption, Carbon Emissions, the Environment, Our Communities, and Care, all aimed at advancing our energy transition.

The winning solutions were showcased on Sustainab'ALL Day, with "Fire Fighting Water Use" emerging as the top project. This circular economy initiative focuses on recycling water from TMK's monthly fire drills, with the potential to save up to **3.25 million liters annually**. Additionally, we took the opportunity to assess our progress in implementing TMK's sustainability strategy.



TMK Staff celebrating Sustainab'ALL day at the head office



The winning solutions were showcased on Sustainab'ALL Day, with "Fire Fighting Water Use" emerging as the top project. This circular economy initiative focuses on recycling water from TMK's monthly fire drills, with the potential to save up to 3.25 million liters annually.



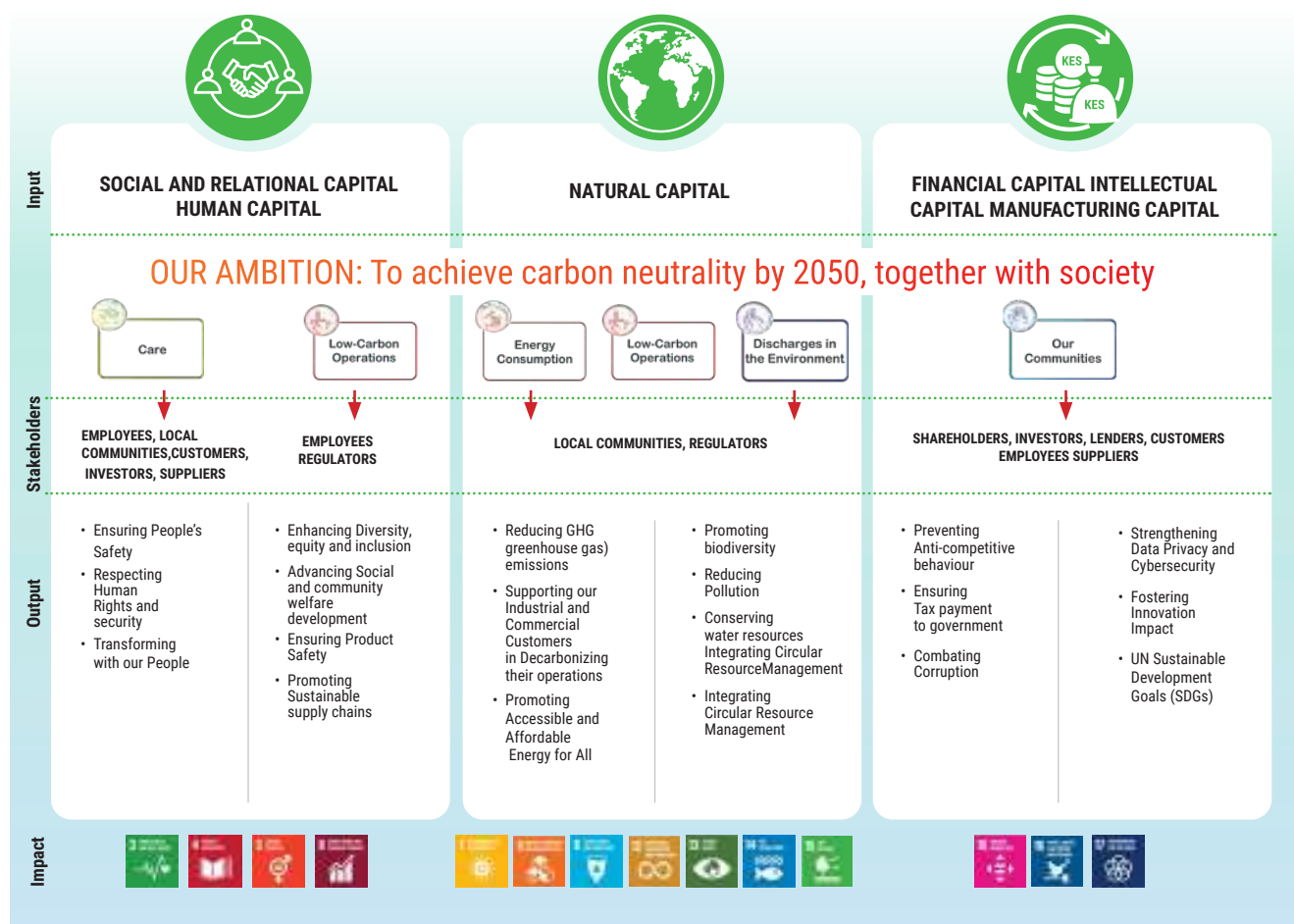
Our Value Creation Model

TMK is committed to advancing its 4 sustainability pillars to make its operations a vehicle of progress that benefits as many people as possible and to be a factor of positive change for the societies and regions present. Through this strategy and our value creation

model, TotalEnergies Marketing Kenya, a pioneer for sustainable development, is well-equipped to achieve its sustainable development objectives and to lead private sector players in contributing to Kenya's sustainable development goals.



Strategic Value Creation Model



Direct Economic Value Generated and Distribution

As a publicly listed entity, we believe that we have a fiduciary responsibility to continually deliver value to our stakeholders. This responsibility extends beyond creating value for shareholders

to include value creation for regulators, government, suppliers, community, and employees among other stakeholders. During the 2024 financial year, our **revenue decreased by 5%** and consequently our **net profit decreased by 51%**.

	2024	2023
Turnover (Billion KShs)	114	120
Profit after tax (Billion KShs)	1.5	3.0
Amount paid in taxes both direct & indirect (Billion KShs)	38.9	37.5
Amount paid to Local suppliers (Billion KShs)	16.1	12.8
Staff costs- Salaries and wages (Billion KShs)	2.0	2.0
Dividends (Billion KShs)	1.2	1.2

6. Stakeholder Engagement

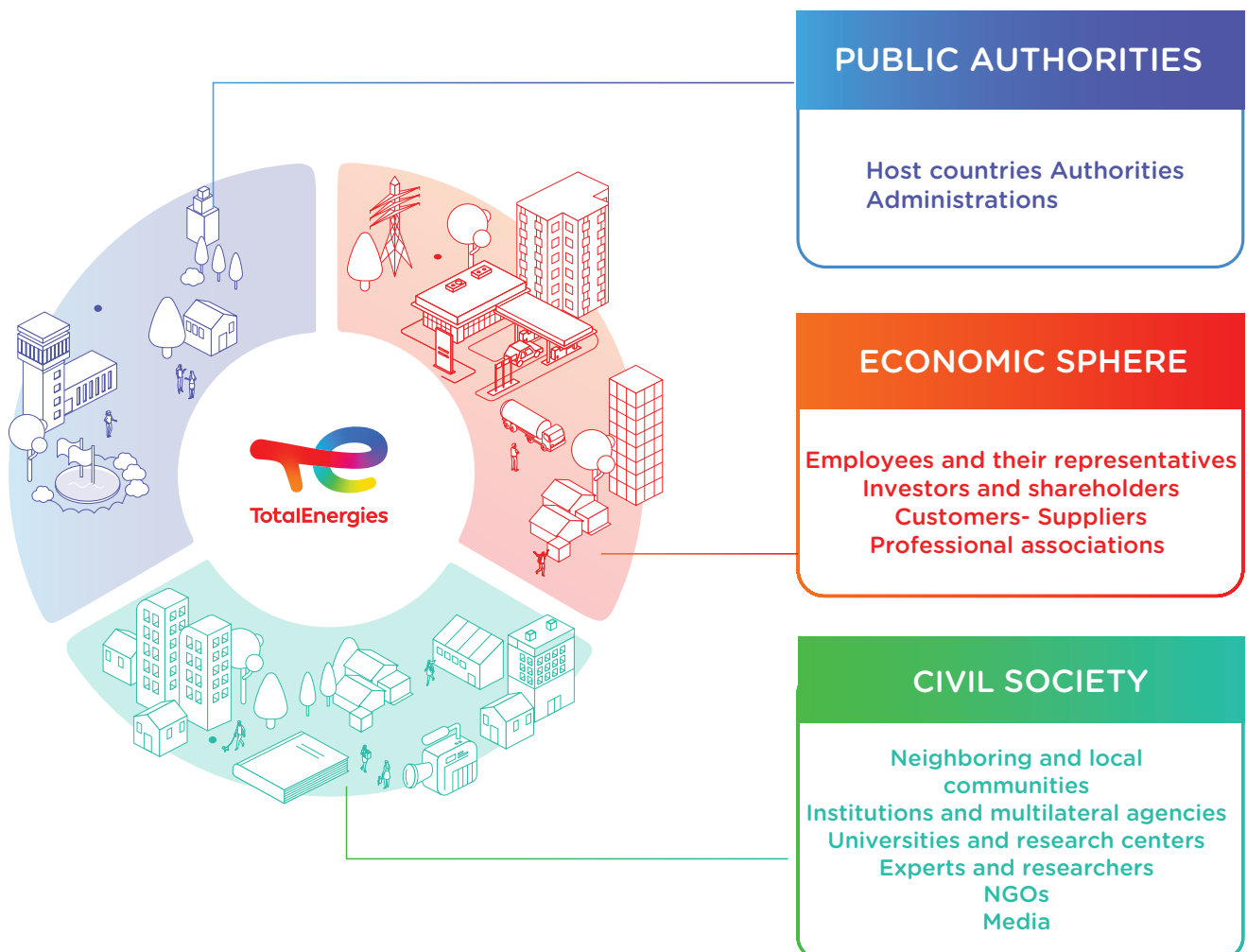
Our stakeholders

Our activities have a significant effect on society. Our stakeholder engagement approach is rooted in transparency, inclusivity, and proactive dialogue to ensure that our sustainability strategy aligns with societal expectations. Recognizing that our activities impact a wide range of stakeholders, we prioritize open communication to understand their concerns, expectations, and evolving needs. TMK engages with both internal and external stakeholders through structured dialogues, forums, and consultations to identify key risks, opportunities, and areas for value creation.

This continuous exchange not only strengthens our relationships but also helps us integrate long-term sustainability solutions into our policies and operations. By fostering trust-based interactions

founded on respect, attentiveness, and constructive dialogue, TMK ensures that stakeholder concerns are addressed promptly, grievances are managed effectively, and collaborative solutions are explored to drive meaningful impact.

Below is an illustration of our diverse stakeholders and we ensure that each group of stakeholders has a single point of contact at the corporate level who is responsible for responding to their requests, keeping them informed and maintaining an ongoing dialogue appropriate to each stakeholder and in consideration of the concern at hand. Those charged with stakeholder liaisons are also provided with advice and support within the company whenever needed.



Stakeholder Relationship Management (SRM+) Case Study

To help our depots integrate a societal approach, the Stakeholder Relationship Management (SRM+) methodology is implemented to engage stakeholders and develop structured action plans. The objective is to foster stakeholder buy-in and secure a social license to operate. Using the SRM+ approach, our depots in Nairobi, Mombasa and Kisumu conducted a comprehensive analysis of TMK's societal context and stakeholder expectations. This process involved

stakeholder mapping, internal diagnostics, direct consultations, gap analysis, and action plan development.

Each depot continued to implement its time-bound action plans, prioritizing key issues, and assigning specific teams with defined timelines and performance objectives to ensure effective implementation.

Stakeholder	Why we engage	Engagement Channels	Frequency
Customers	• Customer satisfaction • Customer experience and engagement • Quality products, services, and solutions	• Social Media • Customer Satisfaction surveys • Customer service week and events • Emails • In-person engagement • Complaint handling mechanism	Daily
Service providers (suppliers, contractors, transporters)	• Active player in local economy • Communication • Policies on health and safety, human rights, and anti-corruption • Promote sustainable and responsible sourcing practices	• Seminars & workshops • Audits • Supplier evaluations • Questionnaires & surveys • TMK code of conduct • Emails • On-boarding program	Regularly
Employees	• Job security • Equitable compensation and comprehensive benefits • Reward, recognition & appreciation for performance • Safe working conditions • Diversity, Equity, and Inclusion • Develop skillsets • Employee engagement and development	• Emails • Questionnaires • Employee satisfaction survey • Employee grievance handling procedures • Internal platforms • Performance appraisals • Regular dialogue sessions and forums with senior management • Capacity building and development	Daily

Stakeholder	Why we engage	Engagement Channels	Frequency
Government and Regulators	• Compliance with all relevant laws and regulations • Thought leadership and innovation • Partnerships and associations • Maintaining confidence in our management capacity and performance • Sustainable relationships • Management of stakeholders' concerns regarding: * HSE impacts * Environment * Health * Safety * Traffic nuisances * Other nuisances	• One-on-one engagements • Courtesy call meetings • Scheduled meetings through our membership associations • Emails • Reports • Legal forums • Compliance and Statutory reporting	Regularly
Neighboring communities (depots, industrial areas, civil societies, and business partners)	• HSSE • Economic empowerment • Local employment • Environmental Stewardship • Community development and outreach • Road safety	• Sponsorships & partnerships • Community engagement events • Seminars • Social media • CSR donations • Publication of articles in industry magazines	Regularly
Board directors	• Strategic planning • Financial performance and reporting • Risk management and mitigation strategies. • Compliance with legal and regulatory requirements • Board governance and oversight of management • Growth in revenue and profitability	• Annual general meetings (Shareholders and CMA) • Financial reports/CSR reports • Company Registrar (Comprise – Dividend payments and shares registrar etc) • Notices, emails, and presentations • Website updates • Engagements events	Quarterly

7. Materiality Assessment Process

Materiality is an important principle that we use to ensure we remain focused on the sustainability-related risks and opportunities that enhance our resilience, drive positive societal and environmental impacts and support long-term value creation for our stakeholders. We conduct our materiality assessment every three years, with the most recent one completed in 2023. Our due diligence process included working with an independent third party to conduct desk research and in-depth discussions, and surveys with both internal and external stakeholders to prioritize material topics.

In 2024, we retained our material topics under the four TotalEnergies Global Pillars. Our focus remains on reshaping our portfolio by lowering greenhouse gas emissions and expanding into low carbon solutions. TMK's materiality assessment factored in sustainability best practices within the downstream industry, emerging trends, including the impact of climate change and regulatory frameworks. The process of identifying material topics was guided by the GRI 2021 standards, with a particular consideration to the GRI 11: Oil and Gas 2021 sector standard.

Snapshot of our materiality assessment process



Identifying ESG Topics

Following the materiality assessment process conducted in 2023, we have retained the 20 identified material topics subthemes that are of utmost importance to both our company and stakeholders. These

topics have been categorized under the four TotalEnergies Global Pillars: Climate & Sustainable Energy: Our Orderly Energy Transition, Acting for the Well-Being of Employees, Care for the Environment, and Having a Positive Impact for Stakeholders as illustrated below.

01 Climate & Sustainable Energy

- Reducing GHG emissions
- Support our Industrial and Commercial Customers in Decarbonizing their operations
- Low Carbon Transition
- Accessible and Affordable Energy for All

02 Caring for the environment

- Promoting biodiversity
- Pollution
- Conserving water resources
- Circular Resource Management



03 Acting for the Well-Being of Employees

- Ensuring People's Safety
- Respecting Human Rights and security
- Transforming with our People
- Diversity, Equity and Inclusion

04 Having a Positive Impact for Stakeholders

- Social and community welfare development
- Product Safety
- Anti-competitive behavior
- Tax payment to government
- Anti-Corruption
- Data Privacy and Cybersecurity
- Sustainable supply chains
- Innovation



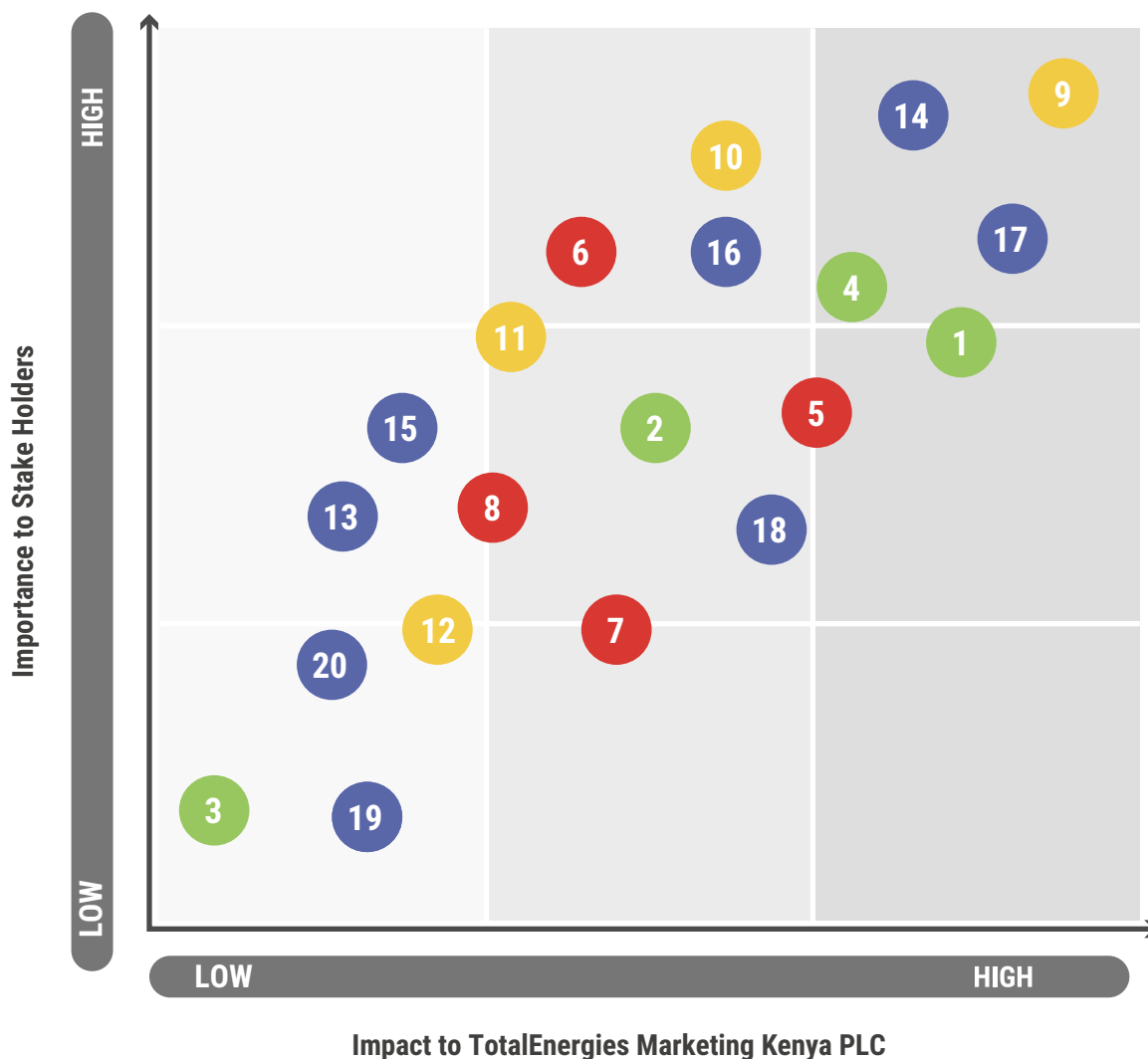
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The material topics are mapped on the materiality matrix below, reflecting their significance to stakeholders and their impact on the business from economic, environmental, and social perspectives. Through this materiality assessment, TotalEnergies Marketing Kenya remains focused on addressing the most significant topics,

ensuring a balanced approach that aligns business priorities with stakeholder expectations for a mutually beneficial outcome. This process continues to define TMK's sustainability challenges and opportunities, driving value for both the business and society.

Materiality Matrix



1. Reducing greenhouse gas emissions
2. Support our Industrial and commercial Customers in decarbonizing their operations
3. Low Carbon Transition
4. Accessible and affordable Energy for all

5. Promoting Biodiversity
6. Waste management
7. Conservative water resources
8. Circular Resources Management

9. Ensuring people's safety
10. Respecting Human Rights and Security
11. Transforming with our people
12. Diversity, equity and inclusion

13. Social and community welfare development
14. Product Safety
15. Anti-competitive behaviour
16. Tax payment to government
17. Anti-corruption
18. Sustainable Supply chains
19. Data Privacy and Cybersecurity
20. Innovation

8. Climate & Sustainable Energy: Our Energy Transition

Energy is an essential resource, everywhere indispensable for living: for food, lighting, heating and cooling, transport, healthcare, construction and trade. With the growing complexity of climate change, the need to accelerate the development of a decarbonized energy system has become more critical. At the same time maintaining a stable energy supply is essential to meet global demand and ensure a just, orderly, and equitable transition. TotalEnergies Marketing Kenya recognizes the urgency of limiting global temperature rise and is committed to balancing the energy trilemma—ensuring energy security, affordability, and sustainability in its transition strategy.

To achieve our ambition for carbon neutrality by 2050, together with society, TMK is taking action to reduce the emissions generated by its operated facilities and investing in low-carbon energies. Our aim is to have 75% of our energy mix derived from low-carbon sources by 2050, to support our clients' transition to more sustainable energy practices.

In 2024 we continued to build on our integrated multi-energy strategy built on two pillars: Oil & Gas – in particular liquefied natural gas (LNG) – and Electricity (Integrated Power), ensuring an orderly and just transition.

Identification of climate-related risks and opportunities

TotalEnergies incorporates climate change risks into its overall risk assessment, ranking them by type and severity. In alignment with the Group's approach, TMK is committed to addressing climate-related risks, enhancing resilience, and capitalizing on opportunities in the transition to a low-carbon future. Achieving our climate ambitions relies on consistent carbon footprint accounting, regular evaluation of climate risks and opportunities, and setting ambitious mitigation targets for our operations.

Following the guidelines of the Task Force on Climate-related Financial Disclosures (TCFD), The Company has mapped its climate-related risks, providing guidance to its affiliates. TMK is aiming at conducting its localized climate risk assessment in the near future. Below are TotalEnergies climate risks Assessment based on the TotalEnergies risk mapping.

TotalEnergies Risk Mapping	Transition risk				Physical risk	
	Policy and legal risks	Technology risk	Market risk	Reputation risk	Acute risk	Chronic risk
Pace of the energy transition deployment, Evolution of the demand	✓	✓	✓			
Financing of oil and gas reserve	✓		✓			
Operational risk related to the effects of climate change and extreme events	✓	✓			✓	✓
Change and extreme events						
Risk of legal project	✓					
Reputational risk				✓		
Risk related to skill management and change in jobs		✓	✓			

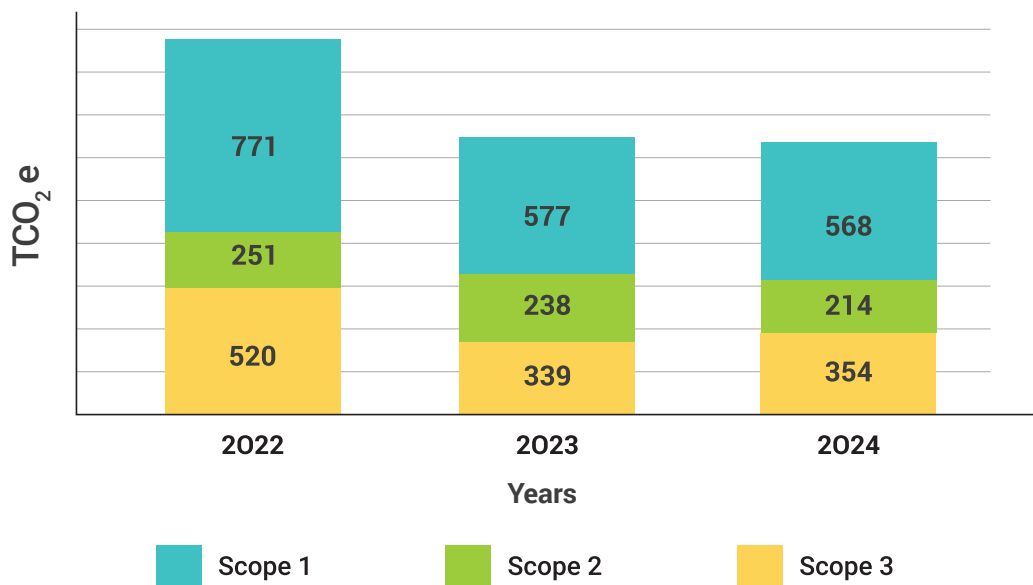
Reducing our Greenhouse Gas Emissions

There is a global call for all fossil energy producers to make reducing their direct greenhouse gas emissions a top priority. At TotalEnergies Marketing Kenya, we pursue this goal with steadfast determination as part of our commitment to a sustainable energy future. For our operated facilities (Scope 1+2), we aim to achieve carbon neutrality by 2050, with an intermediate target to reduce our net greenhouse gas emissions by **40% by 2030**. As the energy landscape evolves, we are actively implementing measures to lower our carbon footprint across our operations, supply chain, and product offerings. Through investments in cleaner energy solutions, operational efficiencies, and innovative low-carbon technologies, we are aligning with

TotalEnergies' global ambition to achieve net-zero emissions by 2050. By taking a proactive and responsible approach, we aim to balance energy demands with climate action, contributing to Kenya's transition to a low-carbon economy while supporting our customers and stakeholders in their sustainability journeys.

At TMK, we perform an annual carbon footprint assessment to monitor our progress toward emission reduction targets and identify high-emission areas across our value chain for targeted action. In 2024, our Scope 1 and 2 emissions totaled **568 TC02e**, marking a **1.56% decrease** from our emissions in 2023.

TMK CARBON EMISSIONS



Energy Efficiency: 2024 Progress

Generating energy savings in our operations is beneficial in several ways: we contribute to the collective campaign for energy efficiency, we help to reduce our carbon emissions, and we lower our costs. In September 2022, TotalEnergies Global launched a plan to accelerate energy efficiency gains at its operated sites worldwide, backed by a \$1 billion investment to further reduce energy consumption.

As part of its commitment to sustainability, TMK introduced VI Improver technology at the Lube Oils Blending Plant (LOBP), **reducing additive drum imports by 70%** and cutting approximately **49 tons**

of CO₂ emissions in 2024. This initiative led to cost savings of **KShs 53 million**, improved blending efficiency, reduced manual handling, and optimized warehouse space. In addition, TMK conducted energy audits at its various operational sites to assess energy consumption and identify areas for improvement. The company continues to implement its energy efficiency plan to minimize energy use and promote sustainable practices across its operations.

TMK's Energy Efficiency Activities

Equipment Energy Optimization

- In 2024, TMK upgraded its Nairobi LPG by replacing power intensive pumps with VFD-powered systems, which automatically regulate frequency and inrush currents.
- Additionally, TMK installed automatic domestic water equipment which automatically turns on and off at preset water levels, saving both energy and water overspills.

Renewable Energy

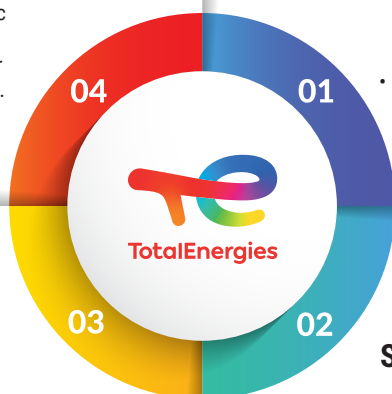
- TMK is advancing the transition to cleaner energy by accelerating the solarization of our operations. In 2024, we installed solar panels across at our NLPG depot with a total capacity of 40KWp. As a result our facilities achieved a significant reduction of 427.95 MWh in electricity consumption.

Energy Efficiency

- TMK conducts biennial energy audits to assess our consumption pattern and identify opportunities for efficiency improvements.
- We have upgraded lighting across all our facilities by replacing halogen lights with energy-efficient 150-watt LED variants.
- In 2024, we introduced smart lighting systems with occupancy sensors across our facilities, enhancing energy efficiency.

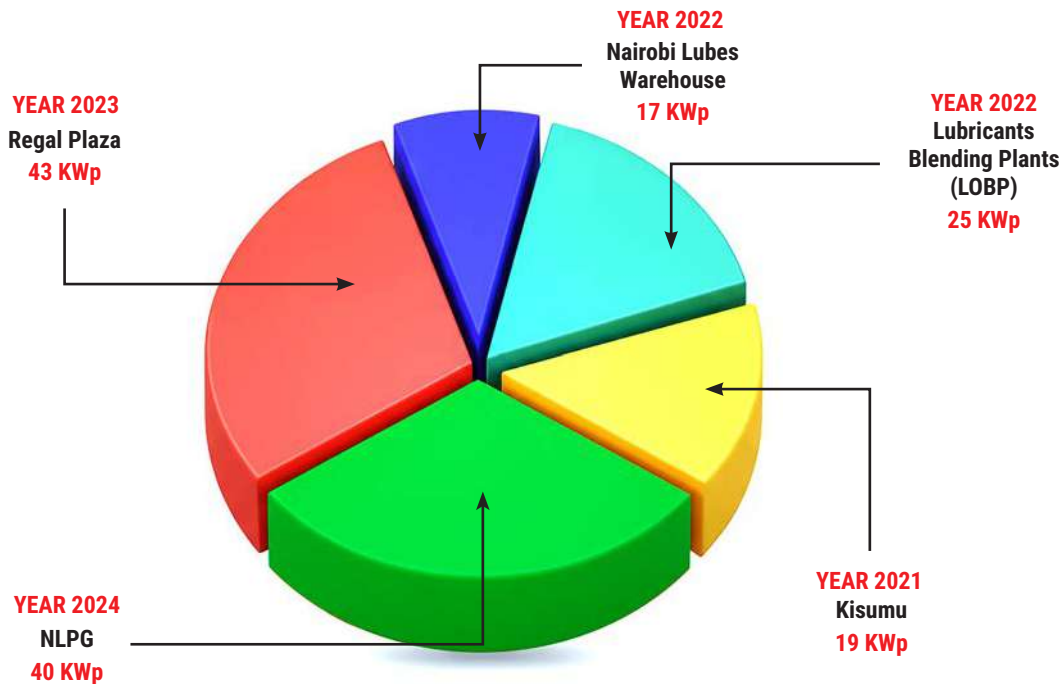
Solarization Of Our Stations

- As part of our commitment to reducing GHG emissions, we have been actively solarizing our service stations.
- TMK has successfully solarized 152 stations, moving us closer to our goal of achieving energy integration across our entire network of service stations.



Breakdown of our on-site solar power plants

Installed capacity in KWp



Our facilities achieved a significant reduction of 427.95 MWh in electricity consumption, decreasing from 2.260 GWh in 2023 to 1.832GWh in 2024. TMK remains committed to this journey and will continue to implement innovative solutions, invest in cleaner technologies, and enhance operational efficiencies to further reduce our environmental footprint.

Low carbon Energy Transition

As we work to reduce our direct emissions, we are also ambitious in helping our customers reduce their emissions through our multi-energy strategy, which makes a wider range of energies available to our customers, including low-carbon energies. TotalEnergies tracks progress through the decarbonization index of global sales (life cycle carbon intensity of energy products sold). We have been leading among our peers in terms of achieving decarbonization of the energy products sales mix since 2015.

The main challenge of the energy transition is moving from a system that relies on fossil fuels for over 80% of its energy needs to one that is fully decarbonized and sustainable. TotalEnergies is gradually reducing the proportion of its oil products while strengthening its position in gas, a transitional energy, and electricity, allowing us to continue meeting our customers current energy demands, as we advance toward a low-carbon future. TMK's focus includes developing new innovative low-carbon energy solutions such as biofuels, biomass, solar, and e-mobility, to sustainably address our customers' evolving energy requirements.

At TMK, our commitment remains unwavering, delivering the energy our customers need today while accelerating innovations and investments in low-carbon solutions that will shape the future. In 2024 we continued to navigate this transition, strategically investing in both current and emerging energy systems, to ensure a balanced and just transition as outlined below.

Case studies: Low Carbon Energy Initiatives

a) E- mobility partners

TMK is leading the charge in advancing sustainable transportation through EV mobility. As a trailblazer in the industry, we have forged strategic partnerships with three leading e-mobility players; Ampersand, Roam, and Arc Ride. Leveraging our extensive network of service stations, we expanded our EV infrastructure for two wheelers by opening **8 more EV sites** in 2024 providing electric motorbike customers with convenient battery charging and swapping options. In 2024, we facilitated an average of 62 battery swaps per day, reinforcing our commitment to accelerating e-mobility adoption and delivering exceptional service to our customers.



Ampersand EV charging unit



Roam EV charging unit

b) TMK EV charging

Today you know us as an expert in fuel distribution: tomorrow you will know us as an electric charging specialist. TMK is working to ensure that whether at the workstation or on the road, we will be there to offer you a charging service that's available and intuitive, allowing you to travel worry-free. We currently have **2 EV charging points** for four-wheeler vehicles at our Nairobi service stations. Our job is all about energy and mobility; given the climate emergency, we commit to evolving alongside our clients, by delivering practical solutions for cleaner, worry-free travel.



c) EasyGas and 'Pay As You Cook' LPG solutions

Around the world, particularly in sub-Saharan Africa, 2.3 billion people are still to this day using firewood, kerosene, or coal as their cooking fuel. In Kenya 9.1 million households (1.7 million in urban areas and 7.4 million in rural areas), rely on traditional cooking fuel options as their primary source. This ancestral practice has harmful effects on the environment, the health of the residents, and the living conditions of women and children.

In addition to releasing enormous quantities of carbon emissions, burning firewood and charcoal contributes to local deforestation and emits harmful particles into the atmosphere, which are responsible for 3.7 million premature deaths annually. Collecting firewood is a task that falls to women and children and acts as a barrier to their emancipation, since it takes time that could otherwise be spent on education, family life, or running a business.

In response, we have taken on the goal of making access to clean cooking as widely available as possible by promoting LPG as a cooking fuel. Our goal is to serve 200,000 people annually in Kenya by 2030 in line with the Government of Kenya goal of universal access to clean cooking by 2028. TMK is doing this through the EasyGas App solution, a home delivery mobile application that



provides customers with a convenient and easy-to-use platform to order LPG cylinder refills or LPG accessories for their home. This service currently operates in **30 towns across Kenya**, including recent expansions into Ahero, Bondo, Sotik, Kilgoris, Mumias, Isebania, and Maseno, extending our reach and making reliable LPG services more accessible than ever. Additionally, through our Maskani Program, we have brought LPG gas much closer to many homes in Nairobi and more recently in Bungoma. In the industrial sector, TMK has partnered with a leading aluminum manufacturer to integrate LPG into their production processes, a key step towards cleaner energy adoption in manufacturing.

Safety remains a top priority at TMK. From purchase to storage and use, we emphasize safe handling of LPG. In February, we hosted safety and offloading training sessions for key clients, each attended by over 20 participants. These sessions highlighted the importance of sourcing LPG from certified suppliers and understanding the lifespan of hosepipes, thereby fostering safer and more sustainable practices within the community.

While LPG is more energy efficient and cost-effective than charcoal, it does have a cost that dissuades some households from adopting it: the initial price of the deposit, the pressure regulator, the stove, and the refill. To remove these barriers, we introduced the **"Pay As You Cook"** model in 2024 in partnership with M-gas to accelerate the adoption of LPG in low- and medium-income households in Kenya. Through the model we rolled out LPG to over 200,000 households annually in Kenya.

“Around the world, particularly in sub-Saharan Africa, 2.3 billion people are still to this day using firewood, kerosene, or coal as their cooking fuel. In Kenya 9.1 million households (1.7 million in urban areas and 7.4 million in rural areas), rely on traditional cooking fuel options as their primary source. This ancestral practice has harmful effects on the environment, the health of the residents, and the living conditions of women and children.”



TotalEnergies Marketing Kenya Managing Director Eric Fanchini (left) and M-Gas Chief Executive Officer Martin Kimani in a cooking demonstration during the launch of their co-branded LPG cylinder in 2024.

“

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TMK Excellium Fuels

TMK is committed to providing quality fuels that offer better environmental performance. Our Excellium fuels, available at all service stations for both petrol and diesel engines, are specifically

designed to improve engine efficiency and reduce fuel consumption. By reducing polluting emissions, Excellium fuels contribute to a cleaner environment while offering car owners a more sustainable and eco-friendly driving experience.



Get more kilometers thanks to the combined action of our 3 powerful additives.

Protect your engine with an enhanced cleaning action that prevents deposits from forming.

Reduce polluting emissions by improving your engine performance.

Support our Industrial and Commercial Customers in Decarbonizing their operations

In TotalEnergies Kenya, we recognize that industrial and commercial sectors play a crucial role in the transition to a low-carbon future. We are committed to supporting our customers in reducing their carbon footprint by providing cleaner, more efficient energy solutions tailored to their operational needs.

We continue to innovate to provide an integrated energy mix to help companies reduce their carbon emissions. In 2024, we upheld our

partnerships with key trading partners to help meet the growing industrial demand for low-carbon energy solutions. Our focus remains on gradually decarbonizing high-emission sectors by providing cleaner, more efficient alternatives. By collaborating closely with our customers, we strive to accelerate their transition toward a more sustainable and resilient future while upholding our commitment to responsible energy solutions.

Case study: A Customer's Transition to Biodiesel

In May 2024, TMK initiated discussions on the supply of alternative sustainable fuels with one of its customers. Following preparatory steps, including confirmation from the OEM on the compatibility of B5 biodiesel with the customer's trucks, two vehicles were selected for a pilot study and proof of concept.

To assess the impact of B5 on engine performance, engine oil samples were collected before and after the trial and analyzed at our ANAC lab. The results confirmed that B5 had no negative effects on fuel consumption or overall engine performance.

After three months of successful testing, the customer was fully convinced of B5's suitability and decided to transition their entire delivery fleet to biodiesel. On November 12th, 2024, we completed the first commercial delivery, marking a significant step in our commitment to help our customers transition to a low carbon economy.

Having now used B5 for five months, the customer remains satisfied with its performance. We are currently exploring the possibility of increasing the blend to B10 as the next phase of this transition.



Fig. Biodiesel pump

Case study: Accessible and Affordable Energy for All

Universal access to clean energy is one of the main aims of the United Nations Sustainable Development Goals (SDG 7). TotalEnergies' mission is to deliver energy that is more available, more affordable, cleaner, and accessible to everyone.

TotalEnergies Marketing Kenya continues to run an initiative to improve the lives of people without access to the power grid by offering cost-effective lighting solutions. The focus is not just on the numbers but to develop channels especially on the 'last mile' to ensure that low-income earners, who do not have access to electricity, can benefit from this initiative.

We continue to be involved in the distribution and sales of solar lamps, torches and kits. In 2024, TotalEnergies Marketing Kenya PLC sold 18,608 lamps, torches & kits in 2024 impacting 90,000 people and bringing our total sales to-date to 541,689 impacting over 2.7 million lives.

The sale of the lamps has been made possible due to the partnership with D-Light, to provide competitively priced solar lanterns through our wide network of service stations.

In 2024, was the successful piloting, for TotalEnergies Company, of the solar torch prototype which birthed the Sunshine Torch, a first for the Company in this category. With mobile phone charging capability, the durable lightweight 800-meter beam range torch with various beam levels including an SOS option, is poised to positively impact the security personnel sector, farmers, ranchers, conservancy communities, pastoralists, campers, truckers and the general motoring public.

In line with TotalEnergies' philosophy of providing exceptional services and products to its customers, all solar lanterns sold through our network have a warranty of one year and after-sales services are available, in all TotalEnergies service stations and Maskanis, countrywide.

9. Acting for the Well-Being of Employees

Being a responsible energy company also means contributing to the well-being of those who live on our planet. This commitment starts with our employees, whose expertise and dedication are the energy that drive us forward. As we continue our transformation into a multi-energy company, we are committed to ensuring a just transition for our employees who are steadfast in TMK's vision of achieving carbon neutrality by 2050.

TMK strives to be a model employer and a responsible operator by upholding the core principles of our business model and Code of Conduct, which guides all our operations, with a strong focus on safety and respect for human rights.

Ensuring People's Safety

Safety is one of TotalEnergies' core values: it underpins our decisions and behaviors. Programs are deployed to ensure that all the Company's employees and contractors are committed to the safe return of everyone at the end of their workday, as reflected in our safety credo: **"Safety for Me, For You, For All."** Our ambition is to set a standard for safety within our industry. With this commitment, we strive to foster a strong safety culture; one where safety is embedded in every process and guides the daily actions of everyone in our organization, from managers and employees to partner companies and local stakeholders.

TMK's safety efforts are guided by The ONE Management and Expectation Standards Towards Robust Operations (MAESTRO), TotalEnergies Global HSE management system framework, our Health, Safety, Environment, our 12 Golden Rules and Quality policy. Rooted in industry best practice and our extensive experience, these guidelines serve as a blueprint for implementing robust safety measures across all our operations.

One MAESTRO, Our HSE Management System

TotalEnergies has established a Health, Safety, and Environment (HSE) reference framework, the One MAESTRO (Management and Expectation Standards Towards Robust Operations) which sets

out the HSE principles to be applied throughout the Company. This framework is built on 10 essential principles and incorporates requirements from key international standards, including (ISO 14001:2015) for environmental management and OHS (ISO 45001:2018). The One MAESTRO serves as the foundation of our safety culture.

These standards are designed to identify, address, and prevent industry-specific hazards, major industrial accidents (risks that are technological) and maintain the integrity of our facilities and workplace. They also address transportation-related risks and those associated with occupational health and consumer safety.

We have implemented the ONE MAESTRO Health, Safety, Environment and Quality (HSEQ) policies, annual objectives and KPIs, as highlighted in the figure below:

ONE MAESTRO PRINCIPLES CYCLE

ONE MAESTRO - Management And Expectation Standards Towards Robust Operations - is the Group HSE management systems framework, Demming's PDCA wheel used to promote the continual improvement of processes, procedures and/or management practices following a logical sequence of four repetitive steps:



Our workplace accident prevention policy concerns not only for our employees, but also the employees of contractors working on sites operated by the Company. In addition to the One MAESTRO reference framework, TMK implements two programs to further enhance safety at our facilities.

Our Lives First Program

"Our Lives First," a zero-fatality program, enforces three key safety actions across all company-operated sites: lifesaving checks, joint safety tours, and the safety green light. In 2024, we carried out **45 joint safety tours, 139 management safety tours** and the Timiza Team completed **264 tours**. These efforts aim at engaging employees in daily workplace safety and identify areas for continuous improvement.

TMK's line managers continue to play a crucial role in conducting lifesaving checks meetings, carefully reviewing safety checklists before commencing work, especially for tasks involving work at

height, powered systems, hot work, lifting operations, and work in confined spaces. This ensures that all work is carried out correctly and in full compliance with safety protocols. In 2024 TMK conducted **4,044 lifesaving checks** surpassing our target of **3,741 checks**.

Moreover, our team leads issue the safety green light only after confirming that all team members fully understand the risks associated with their tasks. In 2024, TMK conducted **208 safety green light checks**, a process that involves a structured review of key safety questions and the signing from work permits by each team member. This comprehensive approach reinforces has continuously helped TMK maintain a safe working environment across all operations.

We also perform an annual evaluation of our safety systems. In 2024, we conducted **7,097 tests** across all TMK facilities on Safety & Environmental critical barriers, reinforcing our commitment to maintaining robust safety protocols and continuous improvement in safeguarding our employees and environment.

The 12 Golden Rules at work

Our Golden Rules, developed from valuable safety lessons learned, are fundamental to achieving our goal of zero fatalities. The 12 Golden Rules for Safety at Work drive the effective and efficient management of daily workplace risks. We continuously refine these rules based on insights and feedback from management of past incidents, ensuring their relevance and impact.



The 12 Golden Rules for Safety at Work propel us towards efficient and effective management of daily workplace risks. We consistently update these rules based on feedback and insights gained from past incidents. The rules apply to all employees and contractors across our facilities.

Through continuous training, TMK's workforce has successfully internalized the 12 Golden Rules, reinforced by memorable iconic gestures and signage displayed across our facilities. Each one of us has a responsibility to intervene when a situation appears unsafe or when the Golden Rules are not followed. We strongly encourage

our employees to use the "Stop Card" even when in doubt, doubt and without fear of reprisal. The Stop Card empowers employees to halt work if they perceive an unsafe situation, helping to prevent accidents and protect lives.

TMK's Safety+

Safety+ is a digital platform developed by TotalEnergies Group to facilitate safety initiatives and best practices across the organization. This user-friendly tool provides easy access to key safety actions, enabling TotalEnergies Marketing Kenya (TMK) to monitor and document significant safety measures. It also allows TMK to share and promote these initiatives across its sites and subsidiaries, fostering a culture of safety at all levels of the company.

Incident Reporting and Tracking

TotalEnergies' Marketing Kenya Health, Environment, Safety, and Quality (HSEQ) committee is tasked to oversee the well-being of all personnels in their facilities and files monthly reports on accidents and incidents. These reports are logged in a dedicated system, enabling efficient tracking and analysis of accidents and incidents trends.

Safety is more than just a priority at TMK; it is a core value on which we do not compromise. We require all employees to promptly report any workplace incidents or injuries. To maintain a strong safety culture, we incorporate safety moments into daily morning meetings, and encourage employees to report near misses. Reporting of near misses as part of employee KPIs (Key Performance Indicators) further reinforces our commitment to safety.

In 2024, stakeholders including employees, contractors, and transporters, reported 9,600 near misses, providing valuable insights on accident prevention and enhance workplace safety. Additionally, to further promote safety awareness, employees take part in monthly HSE quizzes, with top performers receiving recognition and awards.

We continually measure the safety performance using the Total Recordable Incident Rate (TRIR) safety metrics. TMK is pleased to report **zero fatalities in 2024**, with a TRIR score of 0

KPI	2024 Objective	Actual TOTAL
Management Safety Tours	47	139
Joint Safety Tours	45	45
Life Saving Checks	3,741	4,044
Safety Green Light Checks	216	208
SCB's Testing	-	7,097
TIMIZA Safety Tours	264	252
Number of Near Misses Reported	9,600	10,465

Case study: World Day for safety

From April 22nd to April 26th, 2024, TotalEnergies Marketing Kenya PLC commemorated the World Day for Safety at Work with a series of debate sessions focused on Major Accidents and REX (Return of Experience). These sessions brought together staff, network dealers, contractors, and transporters, fostering open discussions on past safety incidents and best practices. By sharing real-world cases

and lessons learned, participants gained valuable insights into risk mitigation and proactive safety measures.

By fostering this awareness through such debates, we reinforce our dedication to maintaining the highest safety standards across all operations.



Truck Drivers' Session at Nairobi LPG Plant Canteen on Monday 22, April 2024

Standards And Compliance

The ONE MAESTRO and local regulations require each of our business units to conduct annual Occupational Safety and Health Administration (OSHA), Environmental, Health, and Safety (EHS), workplace risk assessment and fire safety audits. We also conducted our annual internal surveillance on ISO 9001 and ISO 14001 to ensure our processes continually meet the set-out standards. Additionally, in 2024, we conducted our annual statutory environmental audits which included air quality, environmental audits, and the quarterly Oil Water separator analysis.

In 2024, we successfully conducted over 50 safety training sessions, with 450 employees and third party staff in attendance across our facilities. We also conducted the Marine Oil Spill Emergency Response (MOSER) training and tier 2 drill, jointly organized by the Kenya Maritime Authority (KMA), Kenya Ports Authority (KPA), Oil Spill Mutual Aid Group (OSMAG) and TotalEnergies Marketing Kenya.

Additionally, we conducted our annual medical surveillance to check for occupational disease as outlined in the company's

HSEQ policy, recording zero cases of occupational diseases. As a safety measure and requirement of the Industrial Hygiene program which is responsible for health risk assessments, TMK requires our employees and contractors to wear Personal Protective Equipment (PPE) while on duty. During the year 2024, a total of completed tests totaled **7,097 tests** resulting to a safety equipment test program **performance rate of 97.7%**.

Safety on the Road

Road accidents is one of the main safety risks at the workplace for TMK. The Company has policies and rules on driver training, communication, technical vehicle specifications and vehicle inspection. To ensure road safety, TMK only uses transporters rated Green by the Inspection of Transporters committee. We also have a Transport Management System (SMT) to track our fleet. We continue to closely monitor and support the safety of our people on the road. In addition to mandatory traffic training and education, we use digital solutions aimed at improving traffic safety.

Respecting Human Rights and Security

Respect for each other is a core value at TotalEnergies, at the heart of our collective ethics and our Code of Conduct. The Code of Conduct applies to all our employees, as well as to our suppliers and contractors.

Respect for each other means respect for human rights, which are non-negotiable in our operations around the world. It is also a collective and individual requirement. Our salient risks of impacting human rights break down into;



OUR COMMITMENTS

OUR Values and Codes of Conducts

Compliance with international standards and principles:

- Universal Declaration of Human Rights
- United Nations Guiding Principles on business and Human Rights (UNGP)
- Fundamental Conventions of the ILO
- Voluntary Principles on Securities and Human Rights (VPSHR)
- The OECD guidelines for Multinational Enterprises

Human Rights in the Workplace

TMK acts against all forms of discrimination, forced labor and child labor; ensures fair, satisfactory, and safe working conditions and requires the same of our suppliers in their operations. In the field, we emphasize training to explain, anticipate and prevent human rights risks. TMK offers a mandatory E-learning course on Human Rights for all employees. In 2024, over 20 new employees completed this training. We recommend periodic refresher courses to our employees as a best practice.

Additionally, we require our suppliers to comply with the Fundamental Principles of Purchasing derived from our code of conduct. This ensures ethical practices throughout our supply chain. To maintain accountability and foster continuous improvement, our suppliers agree to undergo regular audits to assess their compliance with these principles for continuous improvement.

Human Rights and local communities

In our project development process, we conduct due diligence to identify, prevent, and remedy any negative impact of our activities on local communities, such as noise and odor pollution, among others. TMK has a grievance mechanism for registering complaints, and we maintain dialogues with local stakeholders and where necessary enlist the help of experts as needed.

Human Rights and Security

TMK is committed to the Voluntary Principles of Security and Human Rights (VPSHR) and conducts periodic VPSHR training. TMK ensures that security providers protecting our employees and facilities are adequately trained and promptly report any incident that occurs to the management. Failure to comply with these principles can result in legal and disciplinary sanctions or both. In 2024, this training engaged 275 personnel, including the senior management, station dealers and team coaches and our security firm representatives.

Transforming with our People

Our employees are at the heart of our performance, and their commitment is essential to the success of our transition. Our people's ambition Better Together brings together a set of measures to make the Company a good place to work together, and to lead a just transition. We believe that listening to our stakeholders is an essential part of the just transition, and this is achieved through social dialogue and participatory approaches with our employees.

In 2024, 95% of our employees participated in the employee satisfaction survey, providing valuable insights into their perceptions of the company across various themes, including ambition, collective performance, management, talent development, and working conditions. TMK achieved an outstanding 100% satisfaction score and an 86% care index score, reflecting our commitment to fostering a positive and supportive work environment.



2024 Highlights Visa for TotalEnergies

As part of its just transition, TotalEnergies has designed the **"Visa for TotalEnergies"** program as a global upskilling program, aimed at preparing all employees for the new challenges facing the Company and society in general, as well as supporting the development of their skills.

This multi-year training program is deployed in several seasons, each one devoted to a key aspect of the Company's transition.

Attracting and Developing Talent

Developing employee's skills is a major challenge for a just transition. Our goal is to empower all employees to take charge of their career development. TMK managers and talent developers support employees in developing personalized training plans based on regularly updated training resources. TMK has two talent developers responsible for overseeing the development of between 150-180 staff members each. We have regional talent developer overseeing managerial positions in Kenya, Tanzania, and Zimbabwe, as well as central talent developers for management committee positions across 15 African countries. As part of our commitment to employee development, we conduct annual individual career reviews and employee assessments. These reviews help us identify areas where individual skills and experience can be leveraged within the company guiding our staff mobility decisions at the end of each year.

Promoting The Manager Coach

TMK managers are responsible for sharing the collective vision, guiding employees to set individual objectives, delegating, empowering, supporting each employee, and giving and receiving feedback. We train managers throughout their careers, to help them better guide employees to unlock their potential. In 2024, 40 TMK managers undertook Emotional Intelligence and Transformative Leadership training to hone their management skills. The program's effectiveness is assessed through the evaluation of managers against the targets set at the start of each year.

Building A Good Place to Work

TMK aims to develop a culture that fosters well-being on a daily basis, we help our employees to preserve their balance in a safe working environment. Our offices feature open and collaborative spaces with facilities that contribute to employees' welfare and productivity. We continued implementing "Green Fridays" which liberates employees' calendar from any collective meetings scheduled by management every fortnight, allowing employees to organize their work. We also encourage work-life harmony by offering employees opportunities to have fun together, through family events and meaningful citizenship initiatives that contribute to the community.

The head office was successfully renovated to enhance accessibility for persons with disabilities. Our commitment to inclusivity continues as we work towards upgrading all our operational sites to create a fully accessible and supportive environment for people with disabilities.

Trainings

To help our employees develop and expand personal and professional skills, TMK offers a variety of enrichment opportunities and job-related training throughout the year, including in-house, external, and virtual seminars and workshops. Each employee is allocated five training days annually (2 days + 3 days free choice), relevant to their position and career development path.

In 2024, the average number of training hours per employee totaled **5.79 days** or **46.32 hours** exceeding the Company target of **5 days** or **40 hours**. We also conducted a Sustainability Champion Training, where we trained 22 sustainability champions, and held

Emotional Intelligence and Transformative Leadership training for 40 managers. Additionally, we conducted **Season 2 and 3** of The Visa for TotalEnergies, an upskilling program designed to equip employees for the company's transition toward a decarbonized energy future.

Visa for Total Energies Season 2 – Electricity

The Visa for TotalEnergies – Season 2 training program centered on electricity, providing employees with a strong foundation in its principles while reinforcing the TMK's multi-energy ambition. The training aimed to cultivate a shared corporate culture around electricity which is a key pillar in TotalEnergies' energy transition strategy.

The training covered critical themes essential to the company's evolving energy landscape, including:

- **Electricity all around us** – Fundamentals of electricity, electric mobility, and key safety considerations, including risks and hazards.
- **The Electricity Value Chain** – Understanding the generation, transmission, distribution, and consumption of electricity.
- **Electricity Markets** – Insights into market structures, pricing mechanisms, and the regulatory landscape shaping the electricity sector.

Visa for TotalEnergies Season 3: Digital accelerator

The Visa for TotalEnergies – Season 3 Digital Accelerator training program was designed to empower TMK employees with the knowledge and skills needed to navigate the rapidly evolving digital landscape. This session focused on Generative AI and Low-code/No-code development, enabling participants to harness emerging technologies to drive innovation and efficiency within the organization.

The training provided employees with hands-on exposure to cutting-edge digital tools, including:

- **Generative AI** – Understanding its capabilities, applications, and transformative impact on business operations.
- **Low-code/No-code Development** – Exploring how these platforms simplify software development, enabling employees to create solutions without extensive programming expertise.
- **Microsoft Copilot & Microsoft Power Platform** – Unlocking the full potential of these tools to enhance productivity, automate workflows, and streamline business processes

Totalenergies' Marketing Kenya Care Program

Care Together by TotalEnergies program lays out measures to make TMK a great place to work. Employee well-being is central to our robust performance and attractiveness as an employer. This program reinforces our social commitments, positioning us as a responsible company that upholds high standards for all employees. As a result, in 2024, our employee turnover rate was 4%, with an impressive average employee tenure of **12.2 years**.

In 2024, TMK implemented various initiatives under the Care Together three pillars: social protection, health, and the family sphere.

Highlights	Objective	Our Actions in 2024
Over 250 received the annual medical checkup	Health Preserving the physical and mental health of all our employees.	- TMK offers comprehensive medical coverage (in and outpatient) for all employees, including dental care, psychiatric support, and our mandatory biennial comprehensive wellness checkup. - In partnership with a mental health provider, TMK provides employees with access to mental assessment tools, helping to undergo stress tests, sleep tests, and pressure tests. Based on the results, employees can engage in online counseling sessions or can opt for in-person consultations with a counselor. - Organized four staff talks covering essential topics, including: Should I be concerned about my Mental Health? by Chiromo Health Group Financial Wellness talk by Standard Chartered Bank Mental Health in the Workplace by Vital Africa - TMK promotes physical wellness through various fitness and recreational programs including a Football Club in Nairobi and Mombasa, bi-weekly Aerobics and Zumba sessions at a sports club, and exclusive club memberships for middle and senior management.
100% of our employees received direct remuneration at least equal to Kenya's living wage Celebration of TotalEnergies' 100th anniversary	Social protection Ensure a living wage and quality social protection for all our employees.	- TMK's remuneration is guided by a salary structure that we continuously update based on market salary surveys and quarterly review of contracts to guarantee competitive remuneration for our staff, thus ensuring our organization remains an appealing workplace. - TMK offers a WIBA plus cover to insure employees against personal accidents, a group life cover along with an evacuation cover. The medical cover was further enhanced by increasing the limit. - We also contribute to employees' pension schemes through a local and offshore pension scheme. - TMK offers an employee shareholding plan, allowing our staff to purchase company shares at discounted rates. In celebration of TotalEnergies' 100th anniversary in 2024, we gifted each employee 100 shares.
13 employees benefited from a fully paid maternity and paternity leave	Family sphere Give our employees the opportunity to take care of their families.	- TMK offers annual leave, a minimum of 12 weeks of childcare leave for the primary parent and two weeks for the secondary parent with 100% retention of their basic salary. In 2024, 6 male and 7 female employees took parental leave and returned to work. - To support new mothers, our offices feature a fully equipped lactation room, providing a comfortable and convenient space for nursing.

Diversity, Equity, and Inclusion

Diversity, Equity, and Inclusion is our strength and one of the keys to TMK's success. We believe that diverse teams cultivate a sense of belonging, enhancing employee satisfaction and driving engagement. By creating an environment where every individual regardless of role, level, or gender feels valued and empowered to contribute, we unlock innovation and drive stronger business outcomes.

TMK Human Resources team leads Diversity Equity and Inclusion (DEI), offering policies and guidelines for all operations in Kenya. This ensures the implementation of initiatives that align with the objectives outlined in TotalEnergies' global 2021-2025 diversity strategy.

In 2024, we upheld our commitment to the one-third gender rule, with women making up 36% of our workforce and management. This achievement is driven by the successful implementation of the Promoting the Manager Coach program, which equips managers with coaching and mentorship skills to support women in advancing into leadership roles.

As part of our ongoing commitment to fostering a diverse and inclusive workplace culture, we also commemorated TotalEnergies Diversity & Inclusion Week 2024, a vibrant celebration of our differences and shared values.

TotalEnergies Diversity & Inclusion Week 2024

Total Energies Marketing Kenya PLC transformed its workplace into a vibrant celebration of diversity and inclusion from December 2nd to 6th, 2024. Under the theme "Differently the Same," employees came together to appreciate and celebrate the unique backgrounds, experiences, and perspectives that make TMK a truly inclusive workplace.

The week featured themed dress codes, offering employees a platform for self-expression, unity, and cultural appreciation. Our Viva Engage platform was buzzing with activity, as employees shared their outfits, exchanged encouraging messages, and celebrated each other's creativity.

The festivities concluded with an interactive Game Night, featuring exciting activities such as football, Jenga, mini-golf, Kahoot, and a live auction of a goat. The energy was high as employees engaged in team challenges that reinforced collaboration and inclusion in a fun, relaxed setting.

To recognize the enthusiasm and creativity displayed throughout the week, awards were presented for Best Dressed Male & Female each day, a special recognition for active employees in depots, and a grand prize for Game Night winners, during the staff forum on December 9th, 2024.

Total Number of Employees	2024		2023	
	Male	Female	Male	Female
Permanent Employees	232	131	229	135
Under 30	11	18	12	14
Age 30-50	151	88	161	97
Over 50	70	25	56	24
Total	363		364	
Temporary Employees (FTC/YGT)	8	14	7	12
Total	22		19	
New employee Hires	+5	+6	+5	+5
Total	11		10	
Executive leadership / Board	6	4	8	2
Total	10		10	
MANCOM	8	2	6	4
Total	10		10	

TMK TWICE Kenya Chapter

TotalEnergies Women's Initiative for Communication and Exchange (TWICE) Kenya is a program aimed at promoting a culture of women's empowerment and gender diversity within our workforce. In 2024, TotalEnergies Marketing Kenya successfully hosted several networking events to empower female employees, fostering connection, inspiration, and personal development. One such event, Ladies Wellness Day, was held at the TotalEnergies Staff Club, featuring engaging activities focused on relaxation and self-care. The morning session introduced participants to candle-making, a hands-on experience that encouraged personal time management, creativity, and stress relief through experimenting with soothing scents and wax crafting. For the afternoon session, a keynote speaker delivered an insightful talk on cost-effective skincare, emphasizing its role in promoting a positive self-image, slowing aging effects, and boosting confidence. The event concluded with a strong sense of camaraderie and empowerment, leaving participants motivated and inspired to integrate wellness into their daily lives.



In commemoration of International Breast Cancer Month, TWICE Kenya provided a platform for survivors to share their experiences and support those affected by the illness. On Pink Friday, observed on November 8, 2024, colleagues showed solidarity by wearing pink, while a virtual session engaged 207 staff members in discussions on breast cancer awareness. Speakers emphasized the importance of regular self-examinations, annual check-ups, early detection, and adherence to medical advice for effective disease management. The session also covered stroke survival, educating participants on recognizing warning signs and the benefits of a healthy lifestyle.



TWICE Kenya also organized a Walk and Talk event to promote workplace wellness and encourage movement in daily routines. The emphasis of the event was on self-care, fitness, nutrition, and setting objectives for 2025. Key takeaways from the events included the benefits of walking as an effective fitness strategy with recommendations for walking 10,000 steps a day which combined with healthy nutrition can aid in fat loss, muscle building, mental clarity, and social connection which will eventually increase the employee wellbeing.



A Walk and Talk event to promote workplace wellness and encourage movement in daily routines.

Gender pay parity

TMK has made notable strides in ensuring pay parity. Our salary structure provides a clear framework and is consistently updated based on market benchmarks to ensure competitive and fair compensation. We remain committed to upholding the principle of equal pay for equal work, ensuring that all employees, regardless of gender, receive fair remuneration for their contributions. Further to this, 5.8% of employees are covered under the collective bargaining agreement (CBA).

Young Graduate Trainee Programme

TMK recognizes the significant role of students and recent graduates in driving innovation, shaping our transformation, and bringing ideas to life. value their fresh perspectives, aspirations, and dedication, which keep us moving in the right direction: towards a sustainable multi-energy world. For the past 10 years, TMK has successfully run its Graduate Trainee Program, training a total of 53 graduates.

In 2024 we onboarded 10 Graduates: 7 Female 3 Male into our Young Graduate Trainee program, where they underwent induction and were assigned to various departments for their Phase 1 – Local Experience (six months). They have now progressed to Phase 2 – International Experience, with six exchanges successfully completed—five in Uganda and one in Ghana. Additionally, we have four ongoing exchanges, with one in Ghana, one in Mozambique, and two in Zimbabwe.

Case Study: TotalEnergies Professeurs Associés & Career Fair

TotalEnergies Professeurs Associés (TPA) is an independent non-profit association supported by the TotalEnergies Foundation. Its mission is to strengthen connections between the energy sector and academic institutions by offering specialized training in technical, economic, scientific, legal, and marketing fields. The program is led by professors, including both active and retired TotalEnergies professionals, who provide mentorship and knowledge sharing with local universities. TMK has established partnerships with leading public universities in Kenya, such as the University of Nairobi, Kenyatta University, and Jomo Kenyatta University of Agriculture and Technology, to facilitate knowledge transfer and foster expertise in the energy sector.

In 2024, the Professeurs delivered lectures to Kenyatta University Students and various Webinars through School of Petroleum Studies on key industry topics including:

- Health Safety Security Environment & Sustainable Development Fundamental
- Energy conference "The end of carbon"
- Hydrogen: its place in the energy and ecological transition
- Geoscience for renewables
- Health, Safety and Working Conditions – Institutional, Legislative and Regulatory Approaches

During the year we also partnered with various universities for talks on climate change and energy including:

- Kenyatta University: - Career Fair in January 2024,
- University of Nairobi: - African Summer School in Climate Change Adaptation forum in July 2024.
- University of Nairobi: - Participated in various sessions of the Company Series Edition

Through these engagements, TMK continues to foster academic-industry collaboration, equipping future professionals with the expertise needed to navigate the evolving energy landscape.

TotalEnergies Young Dealer Program

The TotalEnergies Young Dealer Program was established in Africa over 60 years ago to empower young entrepreneurs by providing financial support to help them become service station managers. Today, more than 1,800 young dealers across Africa successfully operate service stations with the backing of TotalEnergies, which includes both financial assistance and workforce support.

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Case Study: Young Dealer Program



Beatrice Nkatha- Young Dealer at TotalEnergies Uthiru 87 Service Station

Beatrice Nkatha's career in the petroleum industry is a testament to dedication and growth. Beginning as a pump attendant, she developed a passion for business that led her to TotalEnergies' Young Dealers' Program. In 2017, she became a Young Dealer (YD) and took on the challenge of managing the Uthiru 87 Service Station. As a young female dealer, she has encountered challenges, including instances where customers challenge her, but she asserts her leadership with confidence. Overseeing a team of 17 employees, Beatrice cultivates a supportive work environment, ensuring her staff feel appreciated and actively involved in the business.

Operating a service station along a busy highway, Beatrice prioritizes safety, maintaining strict measures to prevent accidents and ensure smooth operations. Her proactive leadership has helped her overcome industry challenges, and she remains focused on future growth. Over the next five years, she aims to expand her business by managing more stations and increasing her financial capacity. Beatrice's success through the Young Dealers' Program highlights the opportunities available to young entrepreneurs and serves as an inspiration to others looking to build their careers in the industry.

10. Care for the Environment

To address present and future energy needs responsibly, we strive to minimize our environmental impact while balancing energy development with biodiversity conservation. Acknowledging the effects of our operations on ecosystems and communities, TMK is

committed to sustainable practices that protect natural resources. Our approach follows the mitigation hierarchy: avoidance, reduction, restoration, and compensation, ensuring thorough environmental impact assessments for all projects and operations.

Offsetting Emissions with Nature Carbon Sinks

Recognizing the key role of natural carbon sinks in mitigating climate change, TMK is committed to leveraging nature-based solutions to offset residual emissions. By preserving and restoring ecosystems, we contribute to carbon sequestration while enhancing biodiversity and ecosystem resilience. Through the Eco-Challenge program, we

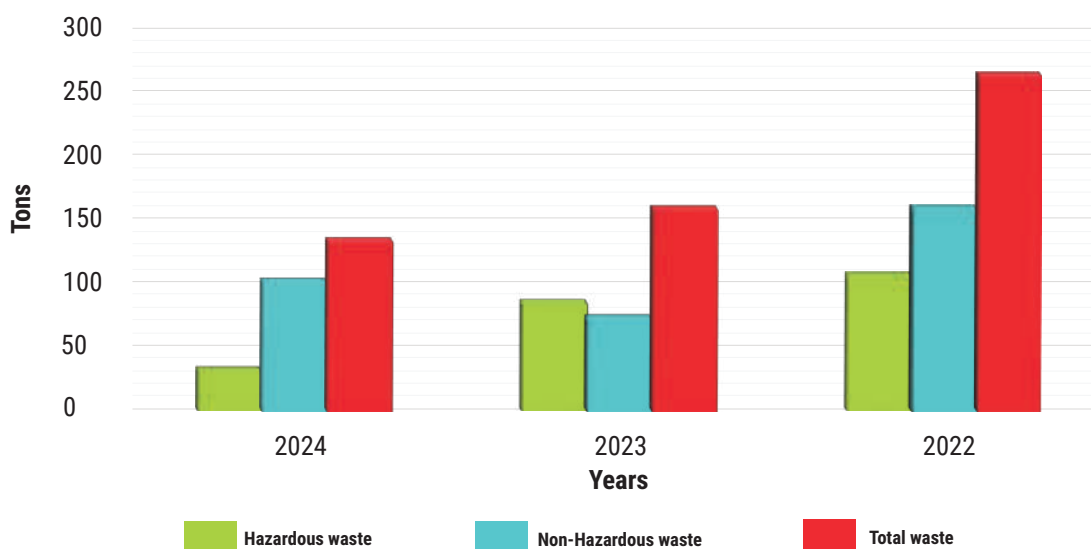
support global and national climate goals, aligning with the Kenya Government's target to increase forest cover to 30% by 2032 for long-term carbon capture and biodiversity protection. Our partnerships with conservation organizations ensure we actively track and care for planted trees, strengthening our dedication to sustainable environmental management.

Areas	2024	2023
Mau Forest- Kenya Water Towers Agency	20,000	20,000
Karura Forest- Friends of Karura Community Forest Association	-	1,500
Majoreni Kwale County- Majoreni (Che Cha Kale) Community, Kenya Forest Services	7,000	7,000
Muthaiga Golf Club- UNEP	-	220
Kiambu Township Primary School	-	1,500
Seedlings planted at various events & ceremonies	-	-
Gicoco Primary School	1,500	-
Ngegu Primary School	1,500	-
Total	30,000	30,220

Pollution

Reducing the environmental risks associated with liquid, gaseous, and solid discharges into the environment is our top priority in controlling the environmental impact of our operations. At TMK, we implement pollution prevention measures, focusing on spill prevention, thorough safety risk assessments, and proactive maintenance to minimize the release of harmful substances. In the

event of an incident, our comprehensive emergency response plans ensure rapid containment, clean-up, and remediation. In 2024, we reported zero accidental spills, reflecting our strong safety culture and operational diligence. Through NEMA-licensed agents, TMK ensures responsible waste management, complying with local regulations and environmental best practices.



Case study: Sustainab'all Lubes

At TotalEnergies Marketing Kenya PLC, we are committed to integrating sustainability into every aspect of our operations. Our initiatives aim to reduce environmental impact while supporting local communities and the economy. Through these practices, we are helping build a more sustainable future in Kenya.

One of our primary sustainability practices is recommending high-grade lubricants to our customers across all channels. These premium lubricants last longer and enhance engine performance, which reduces the frequency of oil changes and minimizes waste. Additionally, they help improve fuel efficiency and lower harmful emissions, contributing to a cleaner environment.

We are proud to offer a range of eco-friendly lubricant formulations. These lubricants are designed to reduce harmful emissions and are more biodegradable, helping to protect both soil and water from long-term contamination. A standout product in this line is Nevastane Food Grade, a high-quality grease used by our B2B clients in the food processing industry.

For B2B clients, our client CFAO implemented a substantial change. In our continuous practices of providing cost-effective solutions that are environmentally friendly, CFAO Motors transitioned from 5L and 1L SKU (Packaged in plastic) for Quartz INEO MC3 to drum packaging, we offered an alternative packaging solution to this customer considering their consumption had increased for the product. This reduced plastic consumption, by extension less plastic waste. The transition to drums also minimizes packaging costs and costs related to storage, handling, and waste disposal and this has helped the business optimize costs. Overall, this reduces the carbon footprint associated with plastic production, transport, and disposal.

We have engaged a local recycling company that collects used lubricant packages within our service stations for recycling purposes. With this initiative, we help reduce the demand for raw materials needed for new packaging and keep harmful waste out of landfills. This initiative supports a circular economy and ensures that used oil cans are processed responsibly.

Safe Waste Oil Disposal (SWOD)

Environmental protection remains a key pillar of our sustainability strategy, and responsible waste oil management is essential in preventing environmental contamination. We take great care in ensuring that used oil is collected responsibly and sent for recycling or safe treatment. This prevents contamination of water sources and soil. To achieve these, TMK has partnered with a local certified waste management company that collects used oil from our service stations and our B2B clients. This company ensures that oil waste is managed in the most environmentally responsible manner possible.

Through the Safe Waste Oil Disposal (SWOD) initiative, TMK has strengthened its collaboration with Bamburi Cement's waste management division, Geocycle, a NEMA-approved hazardous waste handler, to ensure the safe collection and disposal of used oil from our service stations. In 2024, a total of 86,990 liters of waste oil was collected and safely processed, supporting a circular economy approach in hazardous waste management. TMK's continued participation in SWOD reinforces our commitment to environmental stewardship and sustainable operations.

Circular Resource Management

At TMK, circular resource management is a core component of our operations, ensuring that materials are continuously repurposed, recycled, or efficiently utilized to minimize environmental impact. By identifying key waste streams within TMK's operations and adopting innovative waste reduction techniques, we strive to close the loop in resource use. Our initiatives include sustainable packaging, enhanced material recovery, and strategic partnerships

that support responsible waste management. Through these efforts, TMK has achieved notable reductions in waste generation, increased recycling rates for plastic and electronic waste, and enhanced water conservation measures, reinforcing our commitment to a more sustainable and resource-efficient future.

Plastic Recycling

In 2024, our commitment to plastic recycling saw significant progress through our partnership with Mr. Green Africa, expanding our plastic waste collection points to **10 strategically located stations**. This expansion enabled us to collect and recycle **22 tons of plastic waste**. A quarterly incentive program was introduced to motivate station staff to actively participate in consumer behavior change and encourage segregation of plastic waste within their stations and surrounding neighborhoods. By scaling up our collection infrastructure, TMK is actively reducing plastic pollution and supporting responsible waste management in alignment with the extended producer responsibility (EPR) regulations set by NEMA. Going forward, we remain focused on further increasing our collection network, ensuring greater community participation, and driving long-term impact in plastic waste reduction.

Electrics & Electronic Waste Recycling

Our commitment to sustainable electronic waste management is reinforced through our partnership with the Waste Electrical and Electronic Equipment (WEEE) Centre in Kenya. In 2024, we successfully collected **1.75 tons of e-waste** across our designated collection points, which include three service stations—Gigiri, Nyali, and Ngong Road as well as our Head Office. By expanding the number of electronic waste collection points at our service stations, we aim to enhance responsible e-waste disposal and reduce environmental impact. This initiative aligns with our broader sustainability strategy, fostering a circular economy and ensuring compliance with best practices in waste management.



Electrical & Electronics waste collection point at Head office

Sustainable Packaging

TotalEnergies Marketing Kenya (TMK) advanced our sustainability efforts by introducing 20L lubricant packaging made from Post-Consumer Recycled (PCR) plastic, developed with Mr. Green Africa and Blowplast Limited. This initiative supports TMK's goal of

achieving 50% recycled plastic usage by 2030, promoting a circular economy and reducing reliance on virgin plastic. With 45 tons sold in 2024, TMK reinforces its commitment to lowering its carbon footprint and driving sustainable growth.

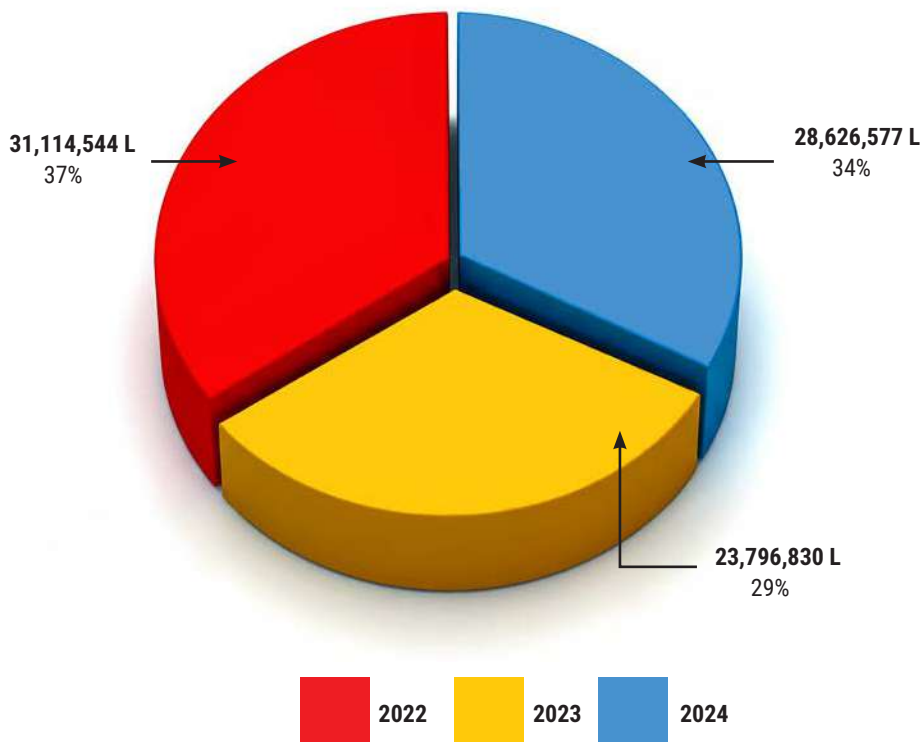


Conserving Water Resources

As we strive to meet the escalating demand for energy across our market, water is a key resource that is used at our operated sites and

TMK has made deliberate effort to focus on water conservation. We champion efficient and responsible water management prioritizing environmental stewardship alongside business needs, for a sustainable future.

Total water withdrawn (liters)



Enhancing Water Efficiency Through Rainwater Harvesting and Automation

Rainwater harvesting is a key component of TMK's sustainability efforts, with **36 stations** across our operations actively participating in this initiative. By harvesting and utilizing rainwater for non-potable applications such as vehicle washing and general cleaning, we significantly reduce reliance on municipal water sources. This approach not only optimizes water consumption but also contributes to our broader water conservation strategy, minimizing our overall water footprint. At the head office washrooms, TMK has installed automated water taps, significantly reducing water use. Through continuous investment in sustainable water management practices, TMK is reinforcing its commitment to environmental stewardship and resource efficiency.

Case Study: Glug Water Enhancing Community Access to Clean Water-Ukunda in Kwale County

Ukunda in Kwale County, on Kenya's southern coast, and is one of Kenya's tourist towns with a severe shortage of clean, affordable drinking water. Our partnership with Glug Limited - a Kenyan company focused on water treatment is aimed at providing quality drinking water through a water treatment set up at Ukunda Service Station. The benefit of the project includes saving on distribution costs which are transferred to customers by having a lower price point as the water purification is done on site. The project uses renewable sources of energy as it uses solar power as from our stations. In addition, the project does not promote production of plastics as they encourage customers to come with their existing bottles/containers. Originating from our 2023 Innovation Challenge and evolving into the 2024 Act for Impact Challenge, this project exemplifies our commitment to scalable, community-driven sustainability solutions.

Case study: Sustainab'all LPG

At TotalEnergies Marketing Kenya PLC, we are committed to integrating sustainability into every aspect of our operations. Our initiatives aim to reduce environmental impact while supporting local communities and the economy. Through these practices, we are helping build a more sustainable future in Kenya.

In the month of February 2024, the Bulk LPG team successfully conducted bulk safety and offloading training sessions for two key clients. Each session was attended by over 20 participants, and the training proved to be an eye-opener for many. A significant takeaway for several attendees was the lifespan of their hose pipes, many of whom were unaware that these components typically last for five years before requiring replacement.

Additionally, the importance of purchasing gas from certified suppliers—ensuring that the gas undergoes rigorous safety checks—was a revelation to some. These insights underscore our commitment not only to safety but to promoting sustainable practices within the community. Through this training, we aim to empower individuals and businesses with the knowledge necessary to make informed decisions that align with long-term safety and environmental stewardship.

One notable development during this period was the partnership with a bulk customer who recently expanded their operations into Kenya. This customer, a leading aluminum manufacturer, has integrated LPG into their production process, specifically for the casting of aluminum bars and ingots. Their decision to utilize LPG is a clear indication of the growing adoption of cleaner, more efficient energy sources within industrial processes, reflecting a shift toward sustainable energy solutions that help reduce environmental impact.

Another significant achievement was the provision of LPG to mothers of children with disabilities in Mbale. A customer made a bulk purchase of 250 cylinders, and in response, we conducted a comprehensive training session to ensure safe and effective usage. This initiative not only provides vital support to a vulnerable community but also resulted in a record-breaking sale for the Network LPG sales manager at the beginning of the year, marking an important milestone in our business.

Through these initiatives, TotalEnergies Marketing Kenya PLC continues to demonstrate its commitment to sustainability. We are proud to lead the way in fostering a cleaner, greener future for Kenya. Our focus on sustainability not only supports the environment but also helps our customers and communities build a better, more sustainable tomorrow. Together, we can make a lasting impact—one sustainable practice at a time.

11. Having a Positive Impact for Stakeholders

In the oil and gas sector, fostering a positive impact for stakeholders is essential to driving long-term value and sustainable growth. As the industry navigates evolving environmental, social, and governance (ESG) expectations, our commitment remains steadfast in creating shared benefits for employees, communities, investors, and partners. Through responsible operations, ethical business practices, and meaningful stakeholder engagement, we strive to enhance local economies, support workforce development, and implement innovative solutions that minimize environmental impact.

Product Safety

Product safety is a fundamental responsibility that ensures the well-being of our consumers, employees, and the environment. At TMK, we are committed to upholding the highest standards to ensure the safe marketing and use of petroleum products. TotalEnergies has established global requirements that involve identifying and assessing potential risks and providing consumers with essential information through our website. Key sources of this information include material safety data sheets accompanying our petroleum products and product labels. Locally, TMK ensures compliance by regularly updating safety data sheets and maintaining accurate records. By prioritizing product safety, TMK not only safeguards public health and the environment but also strengthens trust in our brand within the petroleum industry and beyond.

Anti- competitive Behavior

TMK maintains a strong commitment to ethical business practices and regulatory compliance, demonstrating a solid track record in Kenya's petroleum industry. In 2024, the company recorded **no legal incidents** related to anti-competitive behavior or monopoly regulations, as reported by consumers, the Competition Authority of Kenya (CAK), the public, or the Capital Markets Authority. TotalEnergies Marketing Kenya continues to collaborate with CAK and other regulators to promote fair market practices, support sustainable growth, and create value for customers and communities.

Tax Payment to Government

At TMK, we remain committed to transparent tax compliance and strict adherence to all applicable tax laws and regulations. As part of our responsible business practices, we ensure that our tax obligations are effectively managed in alignment with our commercial activities, reinforcing our long-term business strategy. In 2024, TMK contributed **38.9 billion KShs** in tax payments, underscoring our role

in supporting Kenya's economic growth and development. By fulfilling our tax commitments, we continue contributing to the advancement of sustainable national development

Anti- Corruption

Corruption presents a major compliance risk, hindering social and economic development while disrupting the stability of the business environment.

At TMK, our anti-corruption initiatives go beyond compliance, reflecting our commitment to responsible business conduct and ethical practices. We uphold a zero-tolerance policy toward all forms of fraud, particularly bribery and corruption. To reinforce this, TMK has implemented the following measures:

- **Clear Communication of the Code of Conduct:** Ensuring that all business partners, including suppliers, transporters, and dealers, are aware of and adhere to our ethical standards.
- **Regular Anti-Corruption Training:** Employees are required to complete training through multiple channels, including e-learning courses, in-person and online sessions, staff forums, and leadership messages.
- **Encouraging a "Speak Up!" Culture:** Employees are empowered to report integrity concerns through an open-door policy, compliance hotline, and a dedicated email address.
- **Strict Zero-Tolerance Policy:** Applicable to both employees and suppliers, reinforcing our core value of "Respect for Each Other" as outlined in our Code of Conduct.

Aligned with our Code of Conduct and legal responsibilities, TMK investigates all corruption incidents and enforces appropriate disciplinary actions.

Data privacy and cyber security

Ensuring data privacy and security is fundamental to maintaining trust and integrity in TMK's operations. We are committed to safeguarding personal data through a robust Data Protection Framework that aligns with the industry's best practices and regulatory standards. Our approach emphasizes data minimization, collecting only necessary information for specific purposes with clear consent while maintaining transparency in data processing. To prevent unauthorized access, TMK implements strict security measures, employs advanced cybersecurity tools, and follows established protocols.

Case study: Enhancing Cybersecurity at TMK

TMK employees undergo annual mandatory training on data protection and cybersecurity, reinforcing awareness and compliance. Reaffirming TMK's IT charter each year and conducting regular data audits strengthens our commitment to privacy, helping us proactively identify and mitigate potential risks in data management.

To enhance our data protection efforts, TotalEnergies has adopted a robust cybersecurity strategy to safeguard its digital assets and ensure operational safety. This strategy, anchored in risk management and compliance with global regulations, is overseen by the Chief Information Security Officer (CISO). TMK employs a centralized cybersecurity governance model, conducts regular audits, and implements technical, organizational, and human security measures to detect and respond to cyber threats promptly.

Key initiatives include the establishment of a Security Operations Center (SOC) for monitoring cybersecurity events and a Computer Emergency Response Team (CERT) for incident response and audits. In 2025, TMK will mark the third consecutive year of running a cybersecurity drill, demonstrating its commitment to continuous improvement and preparedness. Additionally, TMK has designated

October as the Cybersecurity Month, during which various activities are organized to raise awareness among staff about the importance of vigilance in cybersecurity matters.

In the event of a cyber crisis, TotalEnergies has a comprehensive crisis management plan that outlines best practices and procedures to ensure an effective response. These measures underscore TotalEnergies' commitment to maintaining a high level of cybersecurity and adapting to the evolving threat landscape, thereby protecting shareholder interests and ensuring the company's resilience in the face of cyber challenges.

Sustainable supply chains

TMK integrates sustainability across its value chain, particularly in procurement, by collaborating with responsible suppliers and subcontractors.

Priority 1: Training our buyers

TMK conducted sustainable procurement training for the entire purchasing team to align with corporate sustainability goals. This fosters an integrated approach to decision-making, enhancing TMK's overall sustainability performance.

Priority 2: Raising awareness and mobilizing suppliers

In 2024, the supplier conference brought together suppliers and TMK staff to exchange best practices in key areas such as health, safety, environment, and quality (HSEQ), compliance, purchasing, engineering, and finance.

Priority 3: Integration of our sustainability requirements into our purchasing process

TMK collaborates with suppliers and subcontractors committed to socially, environmentally, and economically responsible practices. Suppliers are expected to uphold fundamental human rights, fair labor conditions, health and safety, non-discrimination, and ethical business conduct, in line with TotalEnergies Fundamental Purchasing Principles and international guidelines such as the Universal Declaration of Human Rights and ILO conventions.

Priority 4: Evaluating our suppliers

TMK conducts technical, human rights, and sustainability audits through independent third-party assessments to evaluate suppliers' sustainability practices, focusing on compliance with human rights, environmental, and climate management standards. The audits include facility tours, employee interviews, and document reviews, with findings shared during closure meetings. Suppliers receive a Corrective Action Plan or a Declaration of Passed Audit and must provide evidence of corrective action implementation if non-conformities are identified.

Priority 5: Support for continuous improvement of suppliers

To drive long-term improvements, TMK follows up on audits and supports suppliers in implementing corrective actions. This ensures continuous enhancement of sustainability practices across the supply chain.

Social and Community Welfare Development

We recognize that our business success is closely tied to the well-being of the communities we operate in. Our CSR efforts follow the TotalEnergies Foundation's key pillars—Inclusion and Education, Road Safety, Climate, Coastal Areas and Oceans, and Cultural Dialogue and Heritage. TMK's CSR guidelines ensure investments in sustainable initiatives that benefit host communities, reinforce our accountability in managing social and environmental impacts, and promote access to energy.

In 2024, we implemented 14 projects focused on environmental conservation, community development, and youth empowerment



Through strategic partnerships, our employees actively contributed to these initiatives, with over 60 team members participating in tree-planting activities and motorcycle maintenance training. Our commitment remains steadfast in fostering positive societal change and delivering long-term benefits to the communities we serve.

TMK 2024 Donations and Sponsorships

Corporate Social Investments Categories	Amount (KShs) in 2024	Amount (KShs) in 2023
Biodiversity	9,949,643	11,347,214
Youth Education and Inclusion	6,954,112	1,215,712
Health	3,224,700	318,000
TOTAL	20,128,455	12,880,926

Community Changing Kitchen at Seed of Hope Center, Kitui

The Community Changing Kitchen at Seed of Hope Centre, Kitui, was successfully completed through a collaborative effort between TotalEnergies Marketing Kenya PLC, KCDF, Raising Futures Kenya, the Seed of Hope Centers IGAS, and the Kangweni Community. The project commenced with groundbreaking on 6th March 2024, followed by the completion of slab work by May, and full kitchen outfitting



State of the Old Kitchen at Seed of Hope Centre in Kitui

by September. The energy-efficient kitchen became operational in January 2025, serving hot lunches to students while supporting the upcoming Catering and Hospitality course. This initiative highlights TMK's impact of strategic partnerships in advancing community-driven sustainability and skills development.



Internal View of the Completed Kitchen

Start Upper of the Year by TotalEnergies 2024 Edition

TotalEnergies Kenya reaffirmed its commitment to innovation and sustainable entrepreneurship through the Startupper of the Year Challenge, an initiative that empowers young African entrepreneurs to develop impactful solutions. This year's event was particularly significant as it coincided with TotalEnergies' 100th anniversary, underscoring a century-long legacy of innovation and impact. The award gala brought together key stakeholders to honor startups making a difference in their communities and the environment. The top three winners were awarded financial support, media exposure, and coaching to accelerate their entrepreneurial growth. Through this challenge, TotalEnergies continues to nurture the next generation of changemakers, reinforcing its dedication to sustainability and social impact.

Road Safety

TMK is committed to road safety for our operations and our customers, to make the roads safer for all users, particularly the youngest users, for whom this is the leading cause of death.

Helmet4Life Initiative

In 2023, TotalEnergies kicked off the "Helmet 4 Life" initiative through local affiliates and the TotalEnergies Foundation program, with the aim of providing 100,000 motorcycle helmets, compliant with the most stringent safety standards, in 40 countries across Africa, Asia Pacific and America. The campaign was focused on two-wheelers and involved helmet distribution accompanied road safety awareness training sessions.

TMK continued with the initiative in 2024, holding over 10 motorcycle safety training awareness sessions and equipping **2,392 boda boda** riders in Nairobi, Machakos, Nakuru, Kiambu, Meru, Kwale, Kajiado, Mombasa counties with high quality helmets and reflective vests. Some of the trainings were held in partnership with our B2B customers Base Titanium, Flamingo Ibis, Magadi and DHL. 54 additional helmets were provided to Safe Way Right Way NGO (SWRW) for use in rider safety training in 2025.

HELMET 4LIFE

2024 Key Highlights

Launch of the National Road Safety Action Plan 2024-2028

On April 9, 2024, Kenya launched the National Road Safety Action Plan 2024-2028, aiming to **reduce road traffic fatalities by 50%**. The plan focuses on infrastructure improvements, stricter enforcement of traffic laws, and expanded driver training. It also encourages partnerships with local authorities and the private sector, emphasizing regular evaluation and community involvement.

Research Initiative: "A Fare Price"

SWRW, Multimedia University, and Transaid launched the research project "A Fare Price" to assess helmet usage and the socio-economic costs of motorcycle injuries in Nairobi. Findings showed low helmet usage and high head injury rates at major hospitals. Recommendations included stricter helmet laws, quality testing, and awareness campaigns.

Rider Capacity Building Program

A total of **569 motorcycle riders** from Kangemi, Kibera, Kawangware, and Githurai received NTSA-certified training. The sessions covered road safety, insurance, first aid, and gender-based violence prevention. Riders also underwent eye tests and engaged with Traffic Police to discuss traffic laws.

Public Awareness and Communication Campaigns

SWRW collaborated with Buni Media to produce motorcycle safety public service announcements (PSAs) promoting helmet use and safer riding practices. These PSAs were shared with 23,000 boda boda riders via WhatsApp and aired on Akili Kids Network, reaching 8 million viewers by June 2024.

Kenya's road safety landscape in 2024 was marked by a critical need for strategic intervention, as evidenced by the rising number of road traffic fatalities. Continued enforcement, education, and investment in road safety initiatives, along with TMK's efforts, will be crucial in achieving the plan's goal of reducing fatalities by 50% over the next four years.

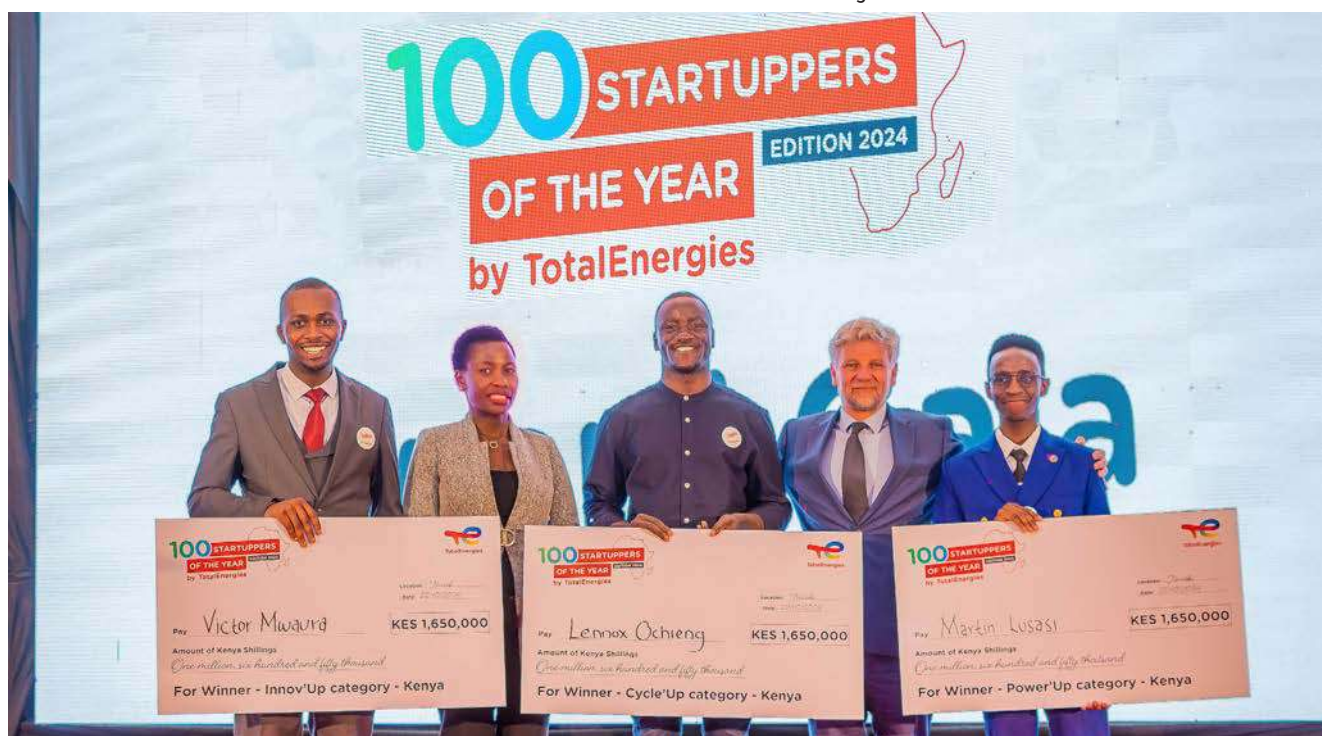


Innovation

To mark the 2024 Inno Day, TotalEnergies showcased their innovation journey from 1970s to 2020s while highlighting the progress the company is making in an ever-changing innovation world under theme "Together as pioneers, lets Innovate!- Lets Unleash Our Inner Hero".

Held on December 5, 2024, the event brought together employees, partners, and young entrepreneurs to celebrate sustainable innovation. Featuring keynotes and showcases, the event highlighted the winners of the TotalEnergies Kenya 100 Years Startupper of the Year Challenge,

recognizing Victor Mwaura for **Midas City**, which transforms metal into 3D art pieces; Lennox Ochieng for **Ecobana Limited**, producing biodegradable sanitary towels from banana fibers; and Martin Lusasi for **Boder, Tech** a platform facilitating electric bike purchases and ride-hailing for eco-friendly transportation. TotalEnergies Marketing Kenya remains committed to fostering a culture of innovation that drives environmental sustainability, economic growth and social impact, demonstrating the power of collective creativity in addressing today's and future challenges



12. GRI Content Index

GRI content index				
Statement of use	TotalEnergies Marketing Kenya has reported in accordance with the GRI Standards for the period 1st January 2024 and end 31st December 2024			
GRI 1 used	GRI 1: Foundation 2021			
Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
General disclosures				
GRI 2: General Disclosures 2021	2-1 Organizational details	Page 10, 36	A gray cell indicates that reasons for omission are not permitted for the disclosure or that a GRI Sector Standard reference number is not available	
	2-2 Entities included in the organization's sustainability reporting	Page 10, 36		
	2-3 Reporting period, frequency and contact point	Page 35		
	2-4 Restatements of information	Page 35		
	2-5 External assurance	Page 35		
	2-6 Activities, value chain and other business relationships	Page 36-38		
	2-7 Employees	Page 58-68		
	2-8 Workers who are not employees	Page 66		
	2-9 Governance structure and composition	Page 12,15-17		
	2-10 Nomination and selection of the highest governance body	Page 17		
	2-11 Chair of the highest governance body	Page 12		
	2-12 Role of the highest governance body in overseeing the management of impacts	Page 12		
	2-13 Delegation of responsibility for managing impacts	Page 15		

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Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
	2-14 Role of the highest governance body in sustainability reporting	Page 12		
	2-15 Conflicts of interest	Page 12		
	2-16 Communication of critical concerns	Page 13		
	2-17 Collective knowledge of the highest governance body	Page 14		
	2-18 Evaluation of the performance of the highest governance body	Page 13		
	2-19 Remuneration policies	Page 17		
	2-20 Process to determine remuneration	Page 17		
	2-21 Annual total compensation ratio	Page 17		
	2-22 Statement on sustainable development strategy	Page 42		
	2-23 Policy commitments	Page 19, 41		
	2-24 Embedding policy commitments	Page 19		
	2-25 Processes to remediate negative impacts	Page 19		
	2-26 Mechanisms for seeking advice and raising concerns	Page 72		
	2-27 Compliance with laws and regulations	Page 19		
	2-28 Membership associations	Page 38		
	2-29 Approach to stakeholder engagement	Page 47-49		
	2-30 Collective bargaining agreements	Page 66		

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GRI 1 used				
Applicable GRI Sector Standard(s)				
	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO. 11
Material topics				
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Page 50	A gray cell indicates that reasons for omission are not permitted for the disclosure or that a GRI Sector Standard reference number is not available	
	3-2 List of material topics	Page 51,52		
Economic Performance performance				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 51		
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	Page 46		
	201-2 Financial implications and other risks and opportunities due to climate change	Page 53		
	201-3 Defined benefit plan obligations and other retirement plans	Page 65		
	201-4 Financial assistance received from government	N/A		
Market presence				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 51		
GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	Page 67		
	202-2 Proportion of senior management hired from the local community	Page 66		
Indirect economic impacts				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 75		
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	Page 75		
	203-2 Significant indirect economic impacts	Page 75		

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Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
Procurement practices				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73		
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Page 73		
Anti-corruption				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73		
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	Page 73		
	205-2 Communication and training about anti-corruption policies and procedures	Page 73		
	205-3 Confirmed incidents of corruption and actions taken	Page 73		
Anti-competitive behavior				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 72		
GRI 206: Anti-competitive Behavior 2016	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	Page 72		
Tax				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 72-73		
GRI 207: Tax 2019	207-1 Approach to tax	Page 72-73		
	207-2 Tax governance, control, and risk management	Page 72-73		
	207-3 Stakeholder engagement and management of concerns related to tax	Page 72-73		
	207-4 Country-by-country reporting	N/A		

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Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
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Materials				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 70		
GRI 301: Materials 2016	301-1 Materials used by weight or volume	Page 60		
	301-2 Recycled input materials used	Page 70		
	301-3 Reclaimed products and their packaging materials	Page 71		
Energy				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53-58		
GRI 302: Energy 2016	302-1 Energy consumption within the organization	Page 53-54		
	302-2 Energy consumption outside of the organization	Page 53-54		
	302-3 Energy intensity	Page 55		
	302-4 Reduction of energy consumption	Page 55		
	302-5 Reductions in energy requirements of products and services	Page 55-58		
Water and effluents				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 72		
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	Page 72		
	303-2 Management of water discharge-related impacts	Page 72		
	303-3 Water withdrawal	Page 71		
	303-4 Water discharge	Page 72		
	303-5 Water consumption	Page 71		

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Applicable GRI Sector Standard(s)				
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Biodiversity				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 69		
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Page 69		
	304-2 Significant impacts of activities, products, and services on biodiversity	Page 69		
	304-3 Habitats protected or restored	Page 69		
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	N/A		
Emissions				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53-54		
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	Page 53-54		
	305-2 Energy indirect (Scope 2) GHG emissions	Page 53-54		
	305-3 Other indirect (Scope 3) GHG emissions	Page 53-54		
	305-4 GHG emissions intensity	Page 53-54		
	305-5 Reduction of GHG emissions	Page 53-54		
Waste				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 69-79		
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	Page 69-79		
	306-2 Management of significant waste-related impacts	Page 70		
	306-3 Waste generated	Page 69		
	306-4 Waste diverted from disposal	Page 70		
	306-5 Waste directed to disposal	Page 70		

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Applicable GRI Sector Standard(s)				
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
Supplier environmental assessment				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73		
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	Page 73		
	308-2 Negative environmental impacts in the supply chain and actions taken	Page 73		
Employment				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 66		
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	Page 66		
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Page 65		
	401-3 Parental leave	Page 65		
Occupational health and safety				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 59-62		
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	Page 59		
	403-2 Hazard identification, risk assessment, and incident investigation	Page 60		
	403-3 Occupational health services	Page 60		
	403-4 Worker participation, consultation, and communication on occupational health and safety	Page 60-61		
	403-5 Worker training on occupational health and safety	Page 59-61		
	403-6 Promotion of worker health	Page 61		
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Page 60-61		
	403-8 Workers covered by an occupational health and safety management system	Page 59		
	403-9 Work-related injuries	Page 60		
	403-10 Work-related ill health	Page 60		

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Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
Training and education				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 64		
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	Page 64		
	404-2 Programs for upgrading employee skills and transition assistance programs	Page 64		
	404-3 Percentage of employees receiving regular performance and career development reviews	Page 64		
Diversity and equal opportunity				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 66		
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	Page 66		
	405-2 Ratio of basic salary and remuneration of women to men	Page 67		
Non-discrimination				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 66		
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Page 66		
Freedom of association and collective bargaining				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 63		
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Page 63		
Child labor				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 62-63		
GRI 408: Child Labor 2016	408-1 Operations and suppliers at significant risk for incidents of child labor	Page 63		

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Applicable GRI Sector Standard(s)	GRI 11: Oil and Gas Sector 2021			
GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
Forced or compulsory labor				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 63		
GRI 409: Forced or Compulsory Labor 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labor	Page 63		
Security practices				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 62-63		
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	Page 62-63		
Rights of indigenous peoples				
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A		
GRI 411: Rights of Indigenous Peoples 2016	411-1 Incidents of violations involving rights of indigenous peoples	N/A		
Local communities				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73-75		
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	Page 74		
Supplier social assessment				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73		
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	Page 73		
	414-2 Negative social impacts in the supply chain and actions taken	Page 73		

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GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION	GRI SECTOR STANDARD REF. NO.11
Public policy				
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A		
GRI 415: Public Policy 2016	415-1 Political contributions	N/A		
Customer health and safety				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 62-63		
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	Page 62-63		
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Page 62-63		
Marketing and labeling				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 72		
GRI 417: Marketing and Labeling 2016	417-1 Requirements for product and service information and labeling	Page 72		
	417-2 Incidents of non-compliance concerning products and service information and labelling	Page 72		
	417-3 Incidents of non-compliance concerning marketing communications	Page 72		
Customer privacy				
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 73		
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Page 72		
Topics in the applicable GRI Sector Standards determined as not material				
TOPIC	EXPLANATION			
Title of GRI Sector Standard				
Topic 11.7 Closure and rehabilitation	Not Applicable we do not have any oil fields in Kenya.			
Topic 11.16 Land and resource rights	Not Applicable			
Topic 11.17 Rights of indigenous people	Not Applicable as this is not a material issue in TMK			

RUBiA
ENGINE OIL

Mzito wa Barabara



200+
APPROVALS
FROM
HEAVY VEHICLE
MANUFACTURERS*

*For RUBiA Range in its entirety

Mbele iko sawa na RUBiA



TotalEnergies



CHAIRLADY STATEMENT

FOR THE YEAR 2024 ANNUAL REPORT



TotalEnergies remains steadfast in its ambition to be a major player in the energy transition and to achieve carbon neutrality by 2050, together with society. The company is already positioning itself to meet future energy demands by diversifying its energy production portfolio. It is strengthening its position in gas as a transitional energy, and electricity to meet current energy requirements while accelerating the transition to a low-carbon energy supply as part of its multi-energy strategy.

MESSAGE FROM CHAIRLADY

It is my absolute honour and privilege to welcome you, distinguished shareholders, to the 71st Annual General Meeting of TotalEnergies Marketing Kenya PLC. I am pleased to present the Annual Report and Financial Statements of the Company for the year ended 31st December 2024. First and foremost, I would like to express my gratitude to the outgoing Chairman, Mr. Olagoke Aluko, for his immense contribution to the success of our company. Additionally, I extend a warm welcome to Ms. Fernanda Schröder, who has succeeded Mr. Guillaume Navez as a non-executive director.

Distinguished shareholders, the year 2024 presented a challenging business environment characterized by high interest rates that led to increased finance costs. This notwithstanding, positive effects were realized from currency appreciation, decreased inflation and lower petroleum prices (attributable to the drop in international fuel prices compared to 2023).

Despite these challenges, the Company remains focused on ensuring safety, achieving operational excellence, driving profitable growth, and maintaining positive cash flow generation. TotalEnergies Marketing Kenya PLC is confident that the initiatives implemented by Management to manage costs and grow sales will yield improved performance in 2025. Our core values of Safety, Respect for each other, Pioneer spirit, Stand together, and Performance-minded continue to be our driving force. Once again, I thank you, Shareholders, for attending this Annual General Meeting.

Our Ambition

TotalEnergies remains steadfast in its ambition to be a major player in the energy transition and to achieve carbon neutrality by 2050, together with society. The company is already positioning itself to meet future energy demands by diversifying its energy production portfolio. It is strengthening its position in gas as a transitional energy, and electricity to meet current energy requirements while accelerating the transition to a low-carbon energy supply as part of its multi-energy strategy.

TotalEnergies has rolled out various initiatives in Kenya to reduce its carbon footprint. These include solarization of essential sites, which entails 152 service stations with a total installed capacity of 1,470kWp, 4 depots with a combined capacity of 100kWp and the head office with an installed capacity of 43kWp. Additionally, the company has signed strategic partnerships with three leading e-mobility firms; Ampersand, Roam, and Arc Ride. Through these partnerships, a total of 21 EV sites were operational by the end of 2024, offering convenient access to battery charging and swapping points for electric motorbikes customers. Other actions involve implementation of energy efficiency initiatives that have helped to lower the company's energy consumption at various facilities.

Our clean cooking ambition aims to provide access to clean cooking to 100 million people in Africa and India by 2030. TotalEnergies has prioritized transitioning the population to shift from using wood and charcoal to Liquefied Petroleum Gas (LPG). Consequently, TMK intends to impact households by providing cylinders through our partnership with M-Gas using 'Pay As You Cook' model. LPG is a cleaner cooking solution that offers significant benefits for health, environment, and the economy. The company has equally formed business partnerships to avail biodiesel to customers as part of our strategy in supporting their sustainable energy objectives.

Petroleum Environment

The petroleum sector faced continuous geopolitical tensions throughout the year that led to uncertainties causing disruptions in supply and contributing to volatile crude oil prices. Consequently, this scenario highlights the continuous need to diversify energy sources to ensure supply security by advancing towards renewable

energy alternatives. During the year, the Kenya shilling appreciated against the dollar, strengthening from KSh 159.69/USD in January 2024 to KSh 129.36/USD in December 2024. This appreciation helped mitigate inflationary pressures and partially shielded the country from the elevated costs associated with importing petroleum products.

The Government-to-Government (G2G) import arrangements commenced in April 2023 and through this arrangement, the government secured supplies of AGO, PMS, and Jet A-1 from International Oil Companies (IOCs) such as ENOC, ADNOC, and Aramco. This G2G supply model, which temporarily replaced the Open Tender System (OTS), is expected to continue easing pressure on the local currency as product payments are made in Kenya shillings.

The Energy and Petroleum Regulatory Authority (EPRA) equally completed its second comprehensive Cost-of-Service Study in Supply of Petroleum Products (COSSOP). The aim of the study was to evaluate the supply chain of petroleum products, including importation, storage, and delivery costs for fuels and LPG. We anticipate full implementation of the study's recommendations, which will ensure that the company recovers all prudently incurred costs within the supply chain.

Distinguished shareholders, significant progress has been achieved concerning the issue highlighted by the external auditor, Ernst & Young, regarding the recovery of fuel inventories at the Kenya Petroleum Refinery (KPRL). The oil industry and the Ministry of Energy and Petroleum (MoEP) are at an advanced stage of finalizing compensation and we remain optimistic about fully recovering the value of our inventories.

Economic Environment

The Kenyan economy demonstrated remarkable resilience in 2024 despite the challenging macroeconomic conditions. According to the Central Bank of Kenya, the GDP withstood these challenges and grew by 4.7%. Looking forward to 2025, the economic outlook remains positive, with a projected growth rate of 5.4%. This optimistic outlook will be driven by the robust performance of the services sector and the continued recovery in agriculture. However, global risks due to geopolitical tensions continue to introduce uncertainties in the supply chain.

Performance

The Company's performance remained resilient with positive profit after tax of KShs 1,487 million (2023: KShs 3,023 million) in a challenging environment characterized by rising interest rates that led to increased borrowing costs. The Company's statement of financial position remained strong with total assets of KShs 67.93 billion (2023: KShs 75.32 billion). The Company continued to invest in line with the business strategy to enhance its logistics, network and continue to build a profitable and sustainable multi-energy company.

Sustainability and Corporate Social Responsibility

Global energy demand has increased over the past two decades and is expected to continue due to demographic growth. TotalEnergies is committed to providing affordable, available, and sustainable energy while lowering emissions at industrial sites and projects. We aim to achieve carbon neutrality by 2050, together with society through investments in low carbon energy systems and innovative clean energy technologies, positioning us as a leader in sustainability within the energy sector.

We have actively contributed to the Oil & Gas Decarbonization Charter since 2023, sharing technologies and best practices. TotalEnergies launched "Our 5 Levers for Sustainable Change" in 2024, focusing

on minimizing energy consumption, promoting renewables and low-carbon technologies, reducing environmental discharges, engaging with stakeholders, and paying attention to colleagues. Through our Sustainab'ALL program, we monitor operational performance to align with UN Sustainable Development Goals.

Our commitment includes reducing CO₂ emissions, considering environmental impact, and supporting stakeholders during the energy transition. By 2030, we aim to provide 100 million people in Africa and India with access to clean cooking, enhancing health and ecosystems. This Sustainability Report highlights TotalEnergies Marketing Kenya's responsible operations, thanks to dedicated employees. We continue to uphold our core values plus prioritizing "Our Lives First," "Better Together," and "Care Together". I express my gratitude to customers, employees, and partners for their collaboration towards a sustainable future.

Social programmes: The Company continues to be a key partner and contributor to Safe Way Right Way (SWRW), an NGO formed in 2011 dedicated to promoting road safety in Kenya. SWRW focuses on resource mobilization, advocacy, communication, and road safety training to improve road safety based on global best practices. In 2024, SWRW achieved the following:

- **Boda Boda Rider Capacity Building:** 569 boda boda riders from low-income areas were trained and certified by the National Transport and Safety Authority (NTSA).
- **Resource Mobilization:** Received KShs 0.7M from Transaid UK and the FIA Foundation to create public announcements for motorcycle safety awareness. Additionally, Akili Network donated airtime valued at KShs 1.1M to broadcast the safety announcements.
- **Helmet4Life - Network CSR:** Supported the implementation of the Helmet4Life initiative by conducting 13 awareness sessions for 2,392 commercial motorcycle taxi riders across 8 counties in Kenya.
- **Advocacy:** Collaborated with other road safety stakeholders to launch Kenya's National Road Safety Action Plan 2024-2028 on 9th April 2024.

Ecochallenge Program: Established in 2003, the program has continued to inspire Kenyans to plant more trees outside the existing forest cover. In 2024 TotalEnergies Ecochallenge coordinated planting of 30,000 trees in various parts of the country together with staff and the society.

To further support environmental conservation, TMK donated KShs 1.3M worth of fuel sponsorship to the Rhino Charge event of 2024. This is an off-road driving challenge organized by Rhino Ark Charity Trust, an NGO that works towards the conservation and protection of Kenya's mountain ecosystems, the Water Towers.

Other CSR Initiatives: In 2024, TMK donated 1,000 solar lanterns worth KShs 2.9M to the Kenya Red Cross Society, as support to families affected by heavy floods experienced in the country earlier in the year. Further to this, the affiliate made the following donations amongst other initiatives:

- Donated KShs 2.5M to Kipketii Primary School in Bomet County for construction of two classrooms.
- Sponsored the 2024 Rhino Cup Cricket Tournament organized by Ol Pejeta Conservancy with KShs 2.0M as part of our collaboration towards biodiversity conservation efforts.
- In partnership with Kenya Community Development Foundation (KCDF) we donated KShs 0.72M for construction of a kitchen facility in Kitui for training youth in hospitality, sponsored the Art for Koch Sake, a program to support youth at Korogocho informal settlement to develop their fine art talent with KShs 0.964M and supported a

6-month mentorship program for high school students at Jamhuri High & Ngara Girls High schools with KShs 1.5M.

Outlook for 2025

International oil prices have been on a gradual downward trend in 2025 amid significant market uncertainties notably, changes in trade policies and further escalation of geopolitical tensions particularly the conflict in the Middle East and the Russia-Ukraine war. Despite these challenges, the Kenyan shilling is expected to remain stable against major international and regional currencies.

The company will continue its focus on providing access to clean energy, particularly for cooking, as it is essential for economic and social development in emerging countries. TotalEnergies is enhancing its efforts in Kenya by investing in LPG for clean cooking. This investment will primarily focus on LPG in cylinders, along with storage and filling facilities, with the aim of significantly growing LPG consumption in Kenya.

The Board will offer unwavering support to the management team in implementing the diverse initiatives planned for the year. These include executing our climate strategy aimed at achieving carbon neutrality by 2050 together with Society, adhering to the sustainable development goals and implementing the multi-energy strategy alongside sustainable business growth. I am certain that these concerted efforts will significantly increase the shareholder value in 2025.

Dividends

The Board is pleased to recommend at this Annual General Meeting, for your approval the payment of a first and final dividend of KShs 1.92 per share. Dividend will be payable to shareholders on the register of members at the close of business on 27th June 2025, subject to withholding tax where applicable.

Acknowledgements

Throughout 2024, Management consistently implemented strategies and actions to transition our company towards the goal of achieving carbon neutrality by 2050, together with society. It has also taken measures to adapt to the challenging environment caused by oil supply disruptions, forex pressures, geopolitical conflicts, and the resulting sanctions that have impacted crude oil prices. As a Board, we commend Management for their unwavering commitment and focus on leading the company towards Carbon Neutrality and adapting to global economic pressures while ensuring business continuity.

We would like to acknowledge the dedication and hard work of all employees who have continued to provide exceptional service to our customers and stakeholders despite the difficult conditions. We also extend our gratitude to our Customers, Dealers, Transporters, and other key Stakeholders for their ongoing support, which has been mutually beneficial.

To our Shareholders, we thank you for the confidence you have shown by choosing to invest in TotalEnergies Marketing Kenya PLC. In conclusion, we also express our appreciation to the Board of Directors for their dedication and support, which has been instrumental in helping the company remain a significant player in our economy.

Elodie Luce

Chairlady

Kauli ya Mwenyekiti

Ni furaha kwangu na heshima kuu kabisa kuwakaribisha nyinyi, wanahisa waheshimika, kwenye Mkutano Mkuu wa 71 wa Mwaka wa TotalEnergies Marketing Kenya PLC. Niko na furaha kuwasilisha kwenu Ripoti ya Mwaka na Taarifa za Fedha za Kampuni hii za mwaka uliomalizika tarehe 31 Desemba 2024. Kwanza kabisa, ningependa kutoa shukrani zangu kwa Mwenyekiti anayeondoka, Bw. Olagoke Aluko, kwa mchango wake mkubwa katika mafanikio ya kampuni hii yetu. Zaidi ya hayo, nina furaha kumkaribisha Bi. Fernanda Schröder, ambaye anachukua nafasi ya Bw. Guillaume Navez kama mkurugenzi asiye mtendaji.

Waheshimiwa wanahisa, mwaka wa 2024 ulikuwa wenye mazingira magumu ya kibiashara yaliyokumbwa na viwango vya juu vya riba vilivyosababisha kuongezeka kwa gharama za kifedha. Licha ya hayo, kulikuwa na athari zilizoletwa na kuongezeka thamani kwa sarafu, kupungua kwa mfumuko wa bei na kushuka kwa bei ya mafuta ya petroli (kutokana na kupungua kwa bei ya mafuta katika nyanja ya kimataifa ikilinganishwa na 2023).

Licha ya kuwepo changamoto hizi, Kampuni ingali inazingatia malengo yake ya kuhakikisha usalama, kufikia ubora wa kiutendaji, kuendelea ukuaji wa faida, na kudumisha uzalishaji mzuri wa mtiririko wa pesa. TotalEnergies Marketing Kenya PLC ina matumaini kwamba mipango inayotekelezwa na Menejimenti inayouuiya kudhibiti gharama na kukuza mauzo kuwa italetia natija nzuri ya utendakazi ulioboreshwa katika mwaka wa 2025. Maadili yetu ya kimsingi ya Usalama, Kuheshimiana, Moyo wa kujitolea, Kusimama pamoja, na Kuzingatia Ufanisi katika Utendaji, yote haya yanaendelea kuwa nguvu inayotuendesha. Kwa mara nyingine tena, ninawashukuru nyinyi, Wanahisa, kwa kuhudhuria Mkutano Mkuu huu wa Mwaka.

Azma Yetu

TotalEnergies inasisitiza msimamo wake thabiti katika azma yake ya kuwa mdau mkuu katika mpito wa nishati na kufikia hali ya kutoegemeza kaboni ifikapo mwaka wa 2050, kwa ushirikiano na jamii. Kampuni tayari imejiweka katika nafasi nzuri ili kukidhi mahitaji ya nishati ya siku zijazo kwa kubadilisha jalada lake la uzalishaji wa nishati. Inaimarisha nafasi yake katika gesi kama nishati ya mpito, na umeme ili kukidhi mahitaji ya sasa ya nishati huku ikiharakisha mpito hadi usambazaji wa nishati ya kaboni ya chini kama sehemu ya mkakati wake wa nishati nyingi.

TotalEnergies imezindua mipango mbali mbali hapa nchini Kenya ili kupunguza alama yake ya kaboni. Hii ni pamoja na uwekaji wa nishati ya Sola katika vituo vyake muhimu, ambavyo vinajumuisha vituo 152 vya utoaji huduma na jumla ya usindikaji uwezo wa 1,470kwp, depo 4 zilizo na uwezo wa pamoja wa 100kwp na ofisi ya makao makuu na uwezo uliowekwa wa 43kwp. Kwa kuongeza, kampuni imetia saina ushirikiano wa kimkakati na mashirika matatu ya kuongoza ya uhamaji wa kimtandao; Ampersand, Roam, na Arc Ride. Kupitia ushirikiano huu, jumla ya tovuti 21 za EV zilikuwa zinafanya kazi mwishoni mwa 2024, ikitoa huduma kwa bei nafuu ya malipo ya kuchaji betri na vituo vya ujazaji umeme kwa wateja wa pikipiki za umeme. Mambo mengine yaliyofanyika ni pamoja na utekelezaji wa mipango ya ufanisi wa nishati ambayo imesaidia kupunguza matumizi ya nishati ya kampuni katika vituo mbali mbali.

Matarajio yetu ya nishati safi ya kupikia yanalenga kuwezesha ufikiwaji nishati ya safi ya kupikia na watu milioni 100 barani Afrika na India ifikapo mwaka wa 2030. TotalEnergies imeweka kipaumbele dhamira ya kubadilisha idadi ya watu kuhama kutoka matumizi ya kuni na makaa kuanza kutumia gesi ya mafuta ya petroli (LPG). Kwa hivyo, TMK inakusudia kuathiri jumuiya kwa kutoa mitungi kupitia ushirika wetu na M-GAS kupitia mfumo wa “pay-as-you-cook” (Lipa dhidi unavyopika). Gesi ya LPG ni suluhisho la nishati safi ya kupikia ambalo hutoa faida kubwa kiafya, mazingira, na uchumi. Kampuni hii pia imeunda ushirika wa kibiashara kuleta dizeli ya mimea kwa wateja kama sehemu ya mkakati wetu wa kuunga mkono malengo yao endelevu ya nishati safi.

Mazingira ya Petroli

Kwa mwaka mzima sekta ya petroli iliathiriwa na migogoro ya kisiasa baina ya mataifa iliyoepokea hali ya kutokuwa na uhakika, kuvuruga usambazaji na kuchangia upandaji bei ya mafuta ghafi. Kwa hivyo, hali hii inadhihirisha hitaji la kuendelea kutafuta vyanzo vya nishati mbadala ili kuhakikisha usalama wa usambazaji kwa kuendelea njia mbadala za nishati. Katika mwaka huo, shilingi ya Kenya iliimarika dhidi ya dola, kutoka KSh 159.69/USD mwezi wa Januari 2024 hadi KSh 129.36/USD mwezi wa Desemba 2024. Kuboreka huku kwa thamani kulisaidia kupunguza shinikizo la mfumuko wa bei na kwa kiasi na kuikinga nchi dhidi ya gharama za juu zinazohusiana na uagizaji wa mafuta ya petroli.

Maelewano ya uagizaji kutoka Serikali hadi Serikali nyingine (G2G) yalianza mwezi wa Aprili 2023 na kupitia mpango huu, serikali ilipata ugavi wa AGO, PMS, na Jet A-1 kutoka kwa Kampuni za Kimataifa za Mafuta (IOCs) kama vile ENOC, ADNOC na Aramco. Mfumo huu wa ugavi wa G2G, ambao ulichukua nafasi ya Mfumo wa Uwazi wa Zabuni (OTS) kwa muda, unatarajiwa kuendelea kupunguza shinikizo kwa sarafu ya nchi hii huku malipo ya bidhaa yakitekelezwa kwa shilingi za Kenya.

Mamlaka ya Udhhibiti wa Nishati na Petroli (EPRA) pia nayo ilikamilisha Utafiti wake wa pili wa kina wa Gharama ya Huduma katika Ugavi wa Bidhaa za Petroli (COSSOP). Madhumuni ya utafiti huo yalikuwa kutathmini ugavi wa bidhaa za petroli, ikiwa ni pamoja na uagizaji, uhifadhi, na gharama za utoaji wa mafuta na LPG. Tunatarajia utekelezaji kamili wa mapendekezo ya utafiti huo, ambao utahakikisha kuwa kampuni hii inarejesha gharama zote zifaazo zilizotumika kwenye msururu wa usambazaji.

Wanahisa wapendwa, maendeleo makubwa yamepatikana kuhusu suala lililosisitizwa na mkaguzi huru wa nje, Ernst & Young, kuhusu mchakato wa kurejesha hifadhi ya mafuta hadi viwango vinavyohitajika baada ya muda wa kupungua katika Kiwanda cha Kusafisha Mafuta cha Kenya (KPRL). Sekta ya mafuta na Wizara ya Nishati na Petroli (MoEP) zimepiga hatua kubwa ya kukamilisha fidia na tungali na matumaini ya kurejesha kikamilifu thamani ya bidhaa zisizouzwa za kampuni.

Mazingira ya Kiuchumi

Uchumi wa Kenya ulionyesha uthabiti wa kuridhisha mwaka wa 2024 licha ya changamoto za hali ya uchumi mkuu. Kulingana na Benki Kuu ya Kenya, Pato la Taifa lilistahimili changamoto hizi na kukua kwa kiasi cha 4.6%. Tukiangalia mbele katika 2025, mtazamo wa kiuchumi bado unasalia kuwa mzuri, na makadirio ya ukuaji wa uchumi wa 5.4%. Mtazamo huu wa matumaini utachochewa na utendaji thabiti wa sekta ya huduma na kuendelea kuimarika kwa kilimo. Hata hivyo, mashaka ya kimataifa kutokana na migogoro ya kijiografia na kisiasa zinaendelea kuleta hali isiyothibitika katika nyanja ugavi.

Utendaji

Utendaji wa Kampuni katika kufikia malengo yake uliendelea kuwa thabiti kupatikana faida chanya, baada ya ushuru, ya KShs 1,487 milioni (2023: KShs 3,023 milioni) ndani ya mazingira magumu ya viwango vya juu vya riba vilivyosababisha kuongezeka kwa gharama za mikopo. Taarifa ya Kampuni ya hali ya kifedha ilisalia imara ikiwa na jumla ya mali ya KShs 67.93 bilioni (2023: KShs 75.32 bilioni). Kampuni iliendelea kuwekeza kulingana na mkakati wa biashara ili kuimarisha mtandao wake wa ugavi na kuendelea kujenga kampuni inayoleta faida na nishati anuwai endelevu.

Uendelevu na Kuwajibika kwa Shirika katika Jamii

Mahitaji ya nishati duniani yameongezeka katika kipindi cha miongo miwili iliyopita na hali hii inatarajiwa kuendelea sababu ya ukuaji wa idadi ya watu. TotalEnergies imejitolea kutoa nishati iliyo nafuu, inayopatikana, na endelevu huku ikipunguza uzalishaji wa hewa chafu katika maeneo ya viwanda na miradi. Tunalenga kufikia hali ya kutoegemeza kaboni ifikapo 2050, pamoja na jamii kupitia uwekezaji

katika mifumo ya nishati ya kaboni ya viwango vya chini na teknolojia ya ubunifu ya nishati safi, na kutuweka katika nafasi ya uongozi katika mikakati endelevu kwenye sekta ya nishati.

Tumechangia kikamilifu katika Mkataba wa Uondoaji kaboni ya Mafuta na Gesi tangu 2023, tukipeana teknolojia na mbinu bora zaidi. TotalEnergies ilizindua "Njia Zetu 5 za Mabadiliko Endelevu" (Our 5 Levers for Sustainable Change) mnamo 2024, ikilenga kupunguza matumizi ya nishati, kukuza teknolojia zinazoweza kurejeshwa kutumika upya na zenye kaboni duni, kupunguza uchafuzi wa mazingira, kushirikiana na wadau, na kuzingatia wafanyikazi wenza. Kupitia mpango wetu wa Sustainab'ALL, tunatazama kwa makini utendaji kazi ili kuambatanisha na Malengo ya Maendeleo Endelevu ya Umoja wa Mataifa (UN Sustainable Development Goals.).

Ahadi yetu ni pamoja na kupunguza uzalishaji wa gesi ya kaboni (CO₂), kuzingatia athari kwa mazingira, na kusaidia washikadau wakati wa mpito wa nishati. Kufikia 2030, tunalenga kuwapa watu milioni 100 barani Afrika na India nafasi ya kufikia nishati safi ya kupikia, kuimarisha afya na mifumo ya ikolojia. Ripoti hii ya Uendelevu inaangazia shughuli zinazowajibika za utendakazi wa TotalEnergies Marketing Kenya, shukrani ziwaendee wafanyikazi waliojitolea. Tunaendelea kushikilia maadili yetu ya msingi pamoja na kuweka kipaumbele "Maisha Yetu Kwanza," (Our Lives First) na "Bora Pamoja," (Better Together) na "Tunza Pamoja" (Care Together). Ninatoa shukrani zangu kwa wateja, wafanyakazi, na washirika wetu kwa ushirikiano wao kufanikisha mustakabali endelevu.

Mipango ya kijamii: Kampuni inaendelea kuwa mshirika mkuu na mchangiaji wa Safe Way Right Way (SWRW), Shirika Lisilo la Serikali lililoanzishwa mwaka wa 2011 la kujitolea kuhamasisha kuwepo usalama barabarani nchini Kenya. SWRW huangazia uhamasishaji mchango wa rasilimali, utetezi, mawasiliano, na mafunzo ya usalama barabarani ili kuboresha usalama barabarani kwa kuzingatia mbinu bora za kimataifa. Katika mwaka wa 2024, SWRW ilifaulu kwa yafuatayo:

- **Kuwapa Uwezo Waendesha Boda Boda:** Waendesha bodaboda 569 kutoka maeneo ya watu wa kipato cha chini walipewa mafunzo na kupata cheti kutoka Mamlaka ya Kitaifa ya Usafiri na Usalama (NTSA).
- **Uhamasishaji Mchango wa Rasilimali:** Kupokea KShs 0.7 Milioni kutoka Transaid UK na FIA Foundation ili kutayarisha matangazo kwa umma ya kuhamasisha usalama wa pikipiki. Zaidi ya hayo, Akili Network walitoa Airtime ya thamani ya KShs 1.1M kwa minajili ya kueneza matangazo ya usalama.
- **Helmet4Life - Network CSR:** Walisaidia katika utekelezaji wa mpango wa Helmet4Life kwa kuendesha vikao 13 vya uhamasishaji kwa wanaofanya biashara ya uendeshaji bodaboda 2,392 katika kaunti 8 nchini Kenya.
- **Utetezi:** Ushirikiano na wadau wengine wa usalama barabarani kuzindua Mpango wa Kitaifa wa Usalama Barabarani wa Kenya 2024-2028 mnamo tarehe 9 Aprili 2024.

Programu ya Ecochallenge: Iliyoanzishwa mwaka wa 2003, inaendelea kuhamasisha Wakenya kupanda miti zaidi nje ya misitu iliopo hivi sasa. Mnamo 2024 TotalEnergies Ecochallenge iliratibu upandaji wa miti 30,000 katika maeneo mbalimbali nchini pamoja kwa ushirikiano na wafanyakazi pamoja na jamii.

Katika kusaidia zaidi uhifadhi wa mazingira, TMK walitoa mchango wa thamani ya KShs 1.3 Milioni kufadhili mafuta kwa hafla ya Rhino Charge ya 2024. Haya ni mashindano ya kuendesha magari nje ya barabara za kawaida yaliyoandaliwa na Rhino Ark Charity Trust, shirika la NGO ambalo hufanya kazi kubwa ya uhifadhi na ulinzi wa mazingira ya milimani nchini Kenya, ambako ndio Vyanzo vya Maji.

Juhudi Nyingine za Kuwajibika katika Jamii: Mnamo 2024, TMK ilitoa taa 1,000 za kutumia nishati ya miale ya jua zenye thamani ya KShs 2.9M kwa Shirika la Msalaba Mwekundu la Kenya, ili kusaidia familia zilizoathiriwa na mafuriko makubwa yaliyotokea nchini mapema mwaka huu. Zaidi ya hayo, tulitoa michango ifuatayo miongoni mwa mipango mingine:

- Tulitoa mchango wa KShs 2.5M kwa Shule ya Msingi ya Kipketii katika Kaunti ya Bomet kwa ajili ya ujenzi wa madarasa mawili.

- Tulifadhili Mashindano ya Kriketi ya Rhino Cup 2024 yaliyoandaliwa na Ol Pejeta Conservancy kwa KShs 2.0 M kama sehemu ya ushirikiano wetu katika juhudi za uhifadhi wa bioanuwai.

- Kwa ushirikiano na Kenya Community Development Foundation (KCDF) tulitoa KSh 0.72 Milioni kwa ajili ya ujenzi wa jengo la jiko huko Kitui kwa ajili ya kuwafunza vijana kwenye sekta ya ukarimu, tukafadhili mpango wa Art for Koch Sake, wa kusaidia vijana katika makazi yasiyo rasmi ya Korogochi ili kukuza talanta yao ya sanaa kwa ufadhili wa KSh 0.964 Milioni na kufadhili programu ya miezi 6 ya shule ya upili ya Jamhuri High na ya Ngara Girls High school na kiasi cha KSh 1.5 Milioni.

Matarajio ya 2025

Bei za mafuta za kimataifa zimekuwa zikichukua mwelekeo wa kushuka taratibu katika mwaka wa 2025 huku kukiwa na hali isiyothibitika katika soko, hasa mabadiliko katika sera za biashara na kuongezeka zaidi kwa migorogoro na mivutano ya kisiasa baina ya mataifa hasa mzozo wa Mashariki ya Kati na vita vya Urusi na Ukraine. Licha ya changamoto hizi, shilingi ya Kenya inatarajiwa kuendelea kutulia dhidi ya sarafu kuu za kimataifa na za kikanda.

Kampuni hii itaendelea kuzingatia utoaji fursa ya ufikaji wa nishati safi, haswa ya kupikia, kwani ni muhimu kwa maendeleo ya kiuchumi na kijamii katika nchi zinazoibuka. TotalEnergies inaongeza juhudi zake nchini Kenya kwa kuwekeza katika gesi ya LPG iliyo safi kwa kupikia. Uwekezaji huu utalenga hasa LPG katika mitungi, pamoja na vifaa vya kuhifadhi na kujaza, kwa lengo la kukuza kwa kiasi kikubwa matumizi ya LPG hapa nchini Kenya.

Bodi itatoa usaidizi usioyumba kwa timu ya usimamizi katika kutekeleza mipango mbalimbali iliyoopangwa kutekelezwa mwakani. Hii ni pamoja na kutekelezwa kwa mkakati wetu wa hali ya hewa unaolenga kufikia alama sifuri ya kaboni ifikapo mwaka wa 2050, pamoja na Jamii kwa kuzingatia malengo ya maendeleo endelevu na kutekeleza mkakati wa nishati anuwai pamoja na ukuaji endelevu wa biashara. Nina hakika kwamba juhudi hizi za pamoja zitaongeza thamani ya wanahisa kwa kiasi kikubwa katika mwaka wa 2025.

Mgao

Bodi hii inafuraha kupendekeza katika Mkutano huu Mkuu wa Mwaka, kwa idhini yenu, malipo ya mgao wa kwanza na wa mwisho wa KShs 1.92 kwa kila hisa. Mgao huu utalipwa kwa wenyehisa waliyo kwenye sajili ya wanachama muda wa kufunga siku ya biashara mnamo tarehe 27 Juni 2025, kwa kuzingatia kodi ya zuio pale inapohitajika.

Shukrani

Katika mwaka wote wa 2024, Wasimamizi walitekeleza mikakati na vitendo mbali mbali katika mchakato wa kugeuza kampuni yetu ili kufikia lengo la kuwa katika hali ya kutoegemeza kaboni ifikapo mwaka wa 2050, kwa ushirikiano na jamii. Pia wamechukua hatua za kukabiliana na mazingira magumu yanayosababishwa na kukatizwa kwa usambazaji wa mafuta, Shinikizo la soko la ubadilishaji fedha, migogoro ya kisiasa baina ya mataifa, na vikwazo vya kifedha ambavyo vimeathiri bei ya mafuta yasiyosafishwa. Sisi kama Bodi, tunawapongeza Wasimamizi kwa kujitolea kwao kusiyoymbayumba na dhamira yao ya kuongoza kampuni kuelekea Kutoegemea kwa Kaboni na kukabiliana na shinikizo la kiuchumi duniani huku wakihakikisha biashara inazidi kuendelea.

Tunapenda kutambua ari na bidii ya wafanyakazi wetu wote ambao wameendelea kutoa huduma ya kipekee kwa wateja na wadau wetu licha ya kuwepo hali ngumu. Vile vile tunatoa shukrani zetu kwa Wateja, Wafanyabiashara, Wasafirishaji, na Washikadau wengine wakuu kwa usaidizi wao unaoendelea, ambao umekuwa wa manufaa kwa pande zote mbili.

Kwa Wanahisa wetu, tunawashukuru kwa imani yenu kwetu ambayo mmeonyesha kwa kuchagua kuwekeza katika TotalEnergies Marketing Kenya PLC. Kwa kumaliza, pia shukrani zetu za dhati ni kwa Bodi ya Wakurugenzi kwa kujitolea pamoja na usaidizi wao, ambao umekuwa muhimu katika kusaidia kampuni hii kuendelea kuwa mhusika mkuu katika uchumi wetu.

Elodie Luce

Mwenyekiti

MANAGING DIRECTOR STATEMENT

FOR THE YEAR 2024 ANNUAL REPORT



This year, TotalEnergies Marketing Kenya PLC will commemorate a significant milestone, celebrating its 70th anniversary of operations in Kenya. This significant achievement highlights the company's unwavering commitment to supporting and developing the Kenyan oil industry by consistently delivering high-quality products and services. Over the years, this accomplishment has been driven by our core values of safety, respect for each other, pioneering spirit, standing together, and performance minded.

MANAGING DIRECTOR'S REPORT

Overview

In 2024, Kenya's economy experienced significant growth due to a strong service industry and a recovery in agriculture following favourable rainfall. Despite high interest rates, fiscal tightening, and inflation, the country maintained economic stability. The political climate in the country remained stable despite protests about the 2024 Finance Bill.

This year, TotalEnergies Marketing Kenya PLC will commemorate a significant milestone, celebrating its 70th anniversary of operations in Kenya. This significant achievement highlights the company's unwavering commitment to supporting and developing the Kenyan oil industry by consistently delivering high-quality products and services. Over the years, this accomplishment has been driven by our core values of safety, respect for each other, pioneering spirit, standing together, and performance minded. TotalEnergies' code of conduct equally guides our business activities, ensuring we reliably meet the growing demand for energy and services.

The company remains steadfast in its commitment to its multi-energy strategy, targeting to achieve carbon neutrality by 2050, together with society. Over the past year, we have undertaken numerous initiatives to advance this objective. These efforts include commissioning two electric vehicle charging stations and installing eight EV motorcycle battery swapping sites at our service stations, increasing the total number of operational EV sites to 21. Additionally, we continue to deploy solar power systems at our retail outlets and depot facilities to foster the use of renewable energy.

In terms of biodiesel development, considerable progress has been achieved within the country by successfully piloting the product and 5 customers are already being supplied by TMK. Consequently, we are laying a robust foundation to support our customers in their transition to sustainable energy. These initiatives are in alignment with the integration of Sustainable Development Goals (SDGs) across our operations, focusing on four key axes: Climate and Sustainable Energy, Environmental Stewardship, Positive Stakeholder Impact, and Employee Well-being.

The company focuses on strategic investments to enhance operations. Last year, we opened thirteen new service stations and upgraded several others to maintain high standards of service and safety. Our retail sites offer diverse products and services for customer convenience, including petroleum products, bonjour shops, car wash services, Quartz auto centers, and LPG delivery through the EasyGas App. Partnering with third parties, we have expanded our offerings to include car service bays, tyre centres, restaurants, chemists, laundries, and plastic waste management, making our stations a one-stop destination.

TotalEnergies Card remains the top choice for fleet management, providing secure payment solutions at our outlets. It integrates with digital services and allows real-time mobile top-up providing convenience to customers. Our commitment to delivering high-quality products and services enhances customer satisfaction. This year, we plan to expand LPG sales points, improve digital solutions, enhance fuel storage and logistics, optimize working capital, strengthen controls, launch marketing campaigns, and manage costs effectively.

Highlights of Financial Performance

The Company demonstrated resilience by achieving a profit after tax of KShs 1,487 million (2023: KShs 3,023 million) despite the challenging environment. The Company's gross margins decreased to KShs 8,994 million (2023: KShs 12,836 million), primarily impacted by reduced sales compared to the previous year, aggressive price competition and increased costs not fully covered in the margins.

Other income increased to KShs 2,797 million (2023: KShs 2,071 million), mainly attributable to investment activities, increased revenues from diversified investments in Shops, Food and Services (SFS), and income from partnerships with third parties which saw an increase compared to the previous year.

The reduction in operating expenses was due to the Company's commitment to robust cost control measures and discipline. However, finance costs rose to KShs 3,830 million (2023: KShs 2,319 million), reflecting the increased cost of borrowing.

The foreign exchange gains amounted to KShs 2,073 million (2023: loss of KShs 385 million), driven by the appreciation of the local currency during the year. Investments of KShs 2,475 million (2023: KShs 2,259 million) were made in line with the business strategy.

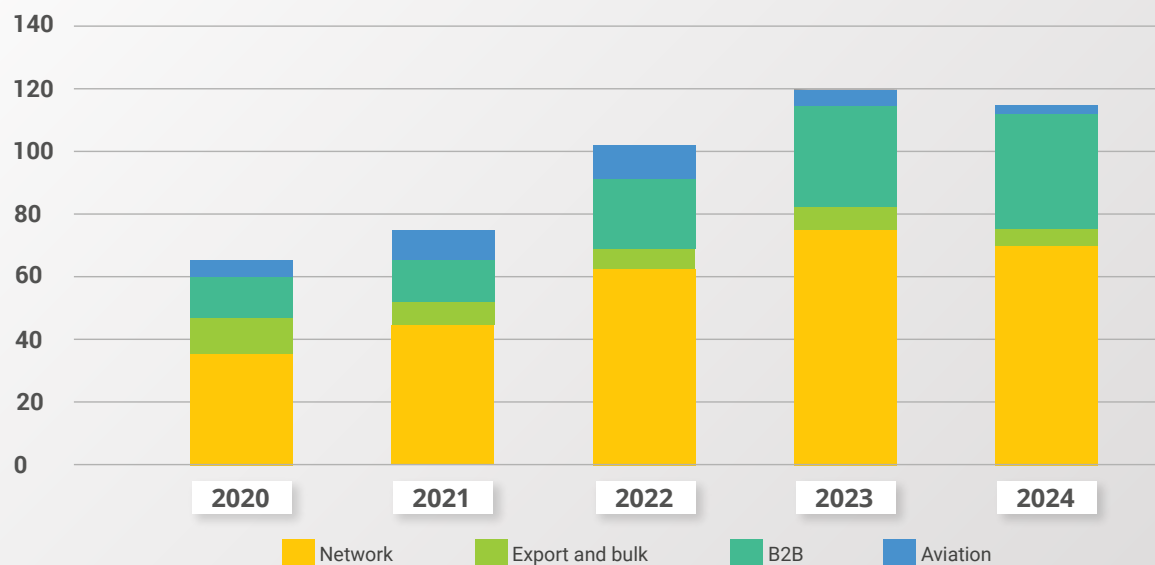
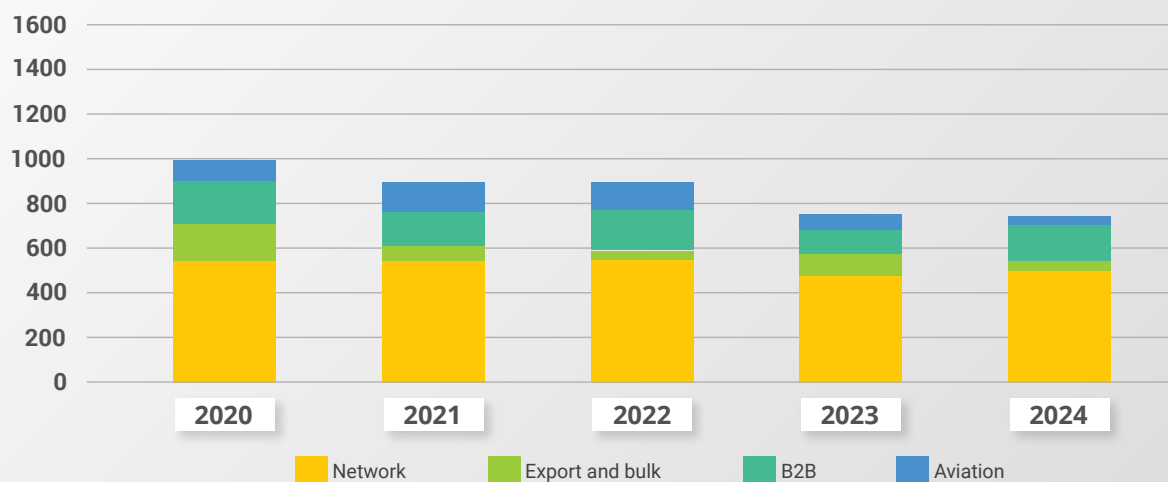
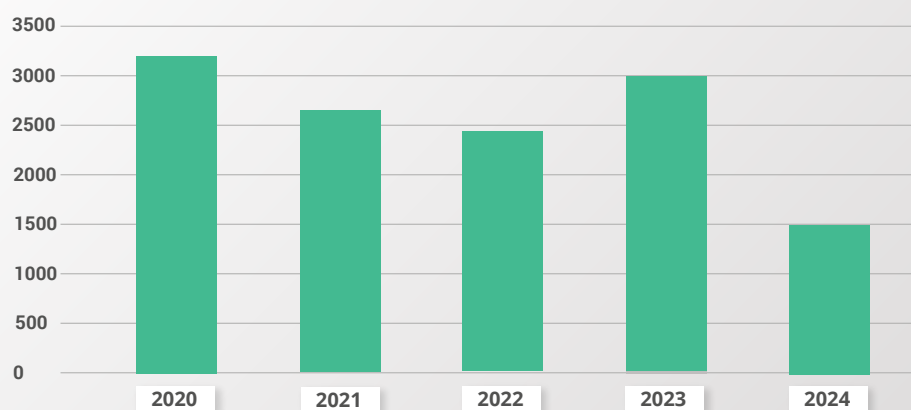
Risk Management

TMK risk management policy allows Management to identify, measure, manage and monitor risks across all the business functions. It provides a clear framework of risk mitigation processes in the Company's ever-changing environment. The Board Risk and Governance Committee (BRGC) headed by an independent Director, reviews the effectiveness of the process at regular intervals. This committee also reviews matters regarding compliance as well as prevention and detection of corruption and fraud. In 2023 the Company had a global risk mapping exercise where 20 risks were identified for effective monitoring. Additionally, in early 2024 the company conducted a specific risk mapping on corruption and influence peddling. The risks identified from the two risk mapping initiatives were mainly on Safety, Business and General Environment plus Ethics and Compliance.

Safety risks: Safety is essential to our operations and sustainability. The Company does not compromise on safety, and we are mindful of our rules regarding safety which we strictly observe at all times. Training and sensitization of our staff, contractors and transporters is prioritized to enforce a strong safety culture. Near-miss reporting is encouraged to mitigate operational and personal safety risks experienced in our day-to-day activities.

Business and General Environment risks: These include the dynamic foreign exchange market, supply constraints and price risk that could adversely impact the Company sales margins through lag effect on stocks. The Company continues to make use of price risk management model to closely monitor the market and manage the pricing offers to our customers, hence minimizing the price lag effect through effective supply planning.

Ethics and Compliance risks: The Company has invested heavily in continuous sensitization of staff and stakeholders on ethics and compliance matters. A zero-tolerance policy towards fraud and corruption has been implemented and it's regularly reviewed for its effectiveness. The Company equally conducts periodic training and awareness sessions on various topics annually on Compliance and Ethics for both staff and third parties. Additionally, to ensure openness and avoid any potential conflicts of interest, employees are required to disclose any gifts or hospitality received from or given to third parties that exceed certain stated thresholds. This policy aims to maintain ethical standards and transparency. As part of strengthening our controls and relations with suppliers, contractors and third parties, clauses covering anticorruption, antifraud, competition law, Economic sanctions & Export Controls, and data protection are now part of our contractual terms. Our code of conduct is posted on the Company website accessible to all third parties and the public.

Net sales per business channel (B KShs)**Sales per business channel ('000 Tonnes)****Profits (MKShs)**

Human Capital

Employee growth, development, and engagement are crucial to TMK's performance. Our values of Respect for Each Other, Safety, Standing Together, Performance minded and Pioneer Spirit guide this approach. Working at TotalEnergies is a mutual commitment between the employee and the Company that starts from the first job and continues throughout one's career. We aim to attract and develop diverse talent by fostering an inclusive management style and a supportive work environment.

Training and development are essential to the Company's strategy for attracting, developing, and retaining talent. TMK provides a variety of job-related training throughout the year, including E-learning plus virtual and classroom sessions. Each employee is allocated 5 training days annually, tailored to their position and career development path. In 2024, the average number of training days per employee was 5.79 days (46.32 hours). Notably, we also continued with the "Visa for TotalEnergies" program, with a focus on electricity. This is an upskilling initiative designed to prepare all employees for the company's transformation towards our carbon neutrality by 2050, together with society ambition.

The talent development program whose aim is to ensure employees career growth has been a central pillar to our people ambition. The program continues to achieve tremendous results with more than 83% of our entire workforce having had a role change in the last 5 years under the internal mobility process. This ensures our staff become multi-skilled and also injecting new life into their careers. On average, more than 30 employees had career reviews with their respective Talent Developers to help in exploring and realigning their individual career goals.

At TotalEnergies Marketing Kenya PLC, we are convinced that a diverse workforce and management of teams drives our competitiveness, ability to innovate, attractiveness and social license to operate. Employees are enabled to develop their professional skills and advance in their careers without discrimination of any kind including ethnic origin, gender, age, disability, political or religious affiliation, union membership or minority status. Diversity is encouraged to ensure that each employee feels welcome and is treated as an integral part of the Company.

The Young Graduate program is a TotalEnergies' initiative for Africa that seeks to develop young talent through training and capacity building. The program runs for a period of 18 months and in 2024 the Company celebrated the 10th anniversary of the Young Graduate Program since its inception. To date approximately 700 young people across the continent have benefited with professional experiences and international opportunities. Over the last 10 years TMK has developed over 50 young graduates including 10 (7 Female & 3 Male) recruited in 2024.



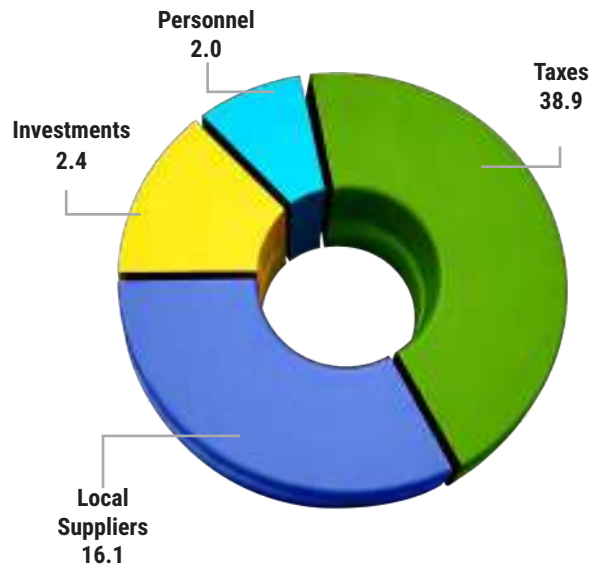
At TotalEnergies Marketing Kenya PLC, we are convinced that a diverse workforce and management of teams drives our competitiveness, ability to innovate, attractiveness and social license to operate. Employees are enabled to develop their professional skills and advance in their careers without discrimination of any Kind.



Contribution to the Kenyan economy

Over the years, TotalEnergies Marketing Kenya PLC has consistently been a major contributor to the Kenyan economy. In 2024, the company paid KShs 38.9 billion in direct and indirect taxes. Additionally, KShs 16.1 billion was disbursed to local suppliers for investments and procurement of goods and services. Employee remuneration for the year amounted to KShs 2.0 billion.

Contribution to the Kenyan economy 2024 (B KShs)



Sustainability and Social Responsibility

Energy is a central issue in the 21st century because of its effect on climate change. It is therefore imperative that we approach our operations with a steadfast commitment to sustainability and environmental stewardship. As industry leaders, we are committed to executing our transition strategy, tackling the challenges of sustainable development to achieve our ambition of carbon neutrality by 2050, together with society. Our operational success is driven by our sustainability strategy, which is built on four pillars to create environmental and social benefits for our company and society. The four pillars encompass Energy & Climate, acting for the Well-Being of Employees, Caring for the Environment and having a positive Impact for Stakeholders. We have implemented various sustainable actions, backed by a solid ESG strategy, as highlighted in this report.

Our TMK Strategy focuses on fostering a diverse and inclusive workplace to attract and retain top talent. We are committed to improving employee well-being, which leads to a more engaged and productive workforce. Employee and contractor safety is embedded in our culture through the "Our Lives First" program. Last year the Company launched five strategic levers for sustainable change namely:

- 1) Energy Consumption
- 2) Low Carbon
- 3) Discharges in the Environment
- 4) Our Communities
- 5) Care

These strategic levers guide the development of our sustainable culture to evolve step by step. In 2024, we continued with our journey of solarization for our service stations as well as the Nairobi LPG Plant. Together with other projects they resulted in a 19% reduction in energy consumption compared to the year 2023. We also reduced emissions from our operations by converting generators at the Head Office and TotalEnergies Academy to biodiesel (B5), replacing 65% of diesel-powered forklifts with LPG and electric-powered forklifts in our facilities, among other initiatives. Our ongoing biodiversity Ecochallenge program mitigates our carbon footprint by planting over 30,000 trees annually.

We are proud of our active role in offering clean energy solutions and are committed to supporting our stakeholders in their decarbonization journeys. This is in line with our multi-energy roadmap and the sustainability objectives. As a result of our pioneer spirit, TMK was the first Oil Marketing Company to launch electric bike solutions with E-mobility partners and began development of 2 EV charge points in Nairobi stations. Additionally, over 18,000 units of solar lamps, torches & kits have been sold under the Access to Energy Program,

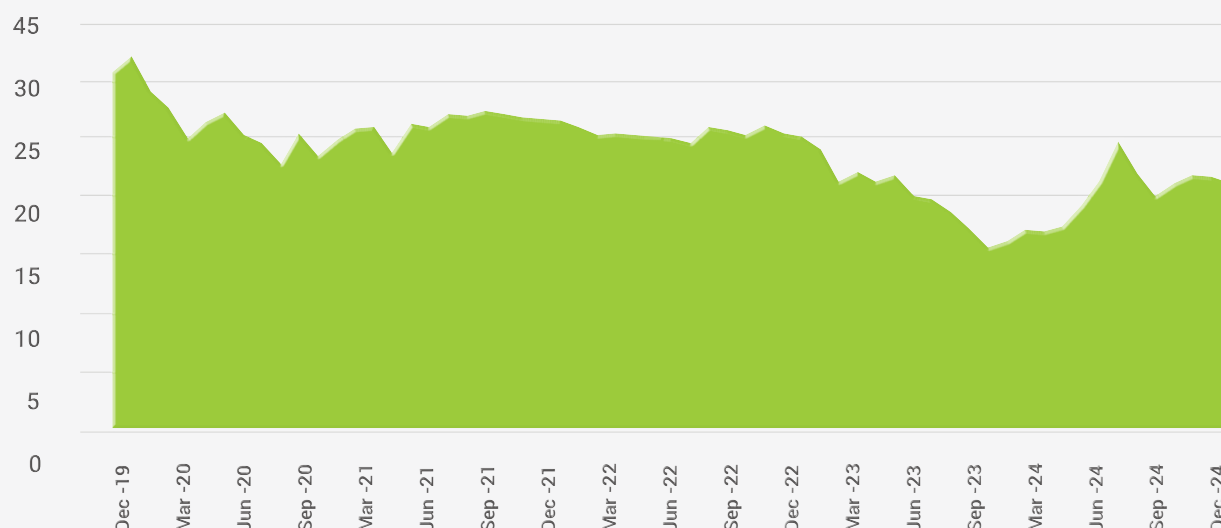
impacting approximately 90,000 people in Kenya. TMK equally took a significant step towards environmental responsibility by introducing innovative lubricant packages manufactured from Post-Consumer Recycled (PCR) plastic. This initiative marked a crucial milestone in the company's commitment to reducing plastic waste and promoting a more sustainable future. TotalEnergies Marketing Kenya is progressing towards transitioning approximately 200,000 households annually to LPG by supplying LPG cylinders to replace wood and charcoal. During 2024, we distributed cylinders under the **"Pay As You Cook"** program, serving thousands of households within the country.

As trailblazers and key influencers in the industry, we affirm our continued dedication to integrating sustainable practices into every aspect of our operations. Balancing the need for energy availability with environmental conservation and ultimately contributing to a sustainable future for our planet will remain our priority. Together, we can build a sustainable future that respects our ecosystems, promotes inclusive economic growth, and enhances the living standards of all Kenyans.

Share Price

In 2024, TotalEnergies Marketing Kenya PLC's share price closed at an average of KShs 20.50 per share as compared to KShs 18.00 per share at end of December 2023.

TotalEnergies Marketing Kenya PLC Share Price (KShs)



TOTALENERGIES MARKETING KENYA PLC

SHAREHOLDERS ANALYSIS

TOP 10 SHAREHOLDERS (Including redeemable preference shares)			
RANK	NAME	NO. OF SHARES HELD	PERCENT
1	TOTALENERGIES MARKETING AFRIQUE	580,804,822	92.26%
2	TOTALENERGIES MARKETING HOLDINGS AFRICA	10,732,950	1.70%
3	BID PLANTATIONS LTD	4,170,000	0.66%
4	LANDON,SUSAN ALEXIS	2,506,400	0.40%
5	SHAH, RAJESH DHARAMSHI D	2,138,686	0.34%
6	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE004630	1,630,000	0.26%
7	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE000954	1,370,000	0.22%
8	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE002670	864,400	0.14%
9	STANDARD CHARTERED KENYA NOMINEES LTD A/C 131550500013	810,100	0.13%
10	NJIHIA,WAITHAKA NGANG'A	630,000	0.10%
	TOTAL	605,657,358	96.21%

Share Distribution schedule

1. By number of Share Ranges

RANGE	NO. OF MEMBERS	NO. OF SHARES HELD	PERCENT
By number of Share Range			
1-500	3,117	606,864	0.10%
501-1,000	918	786,194	0.12%
1,001-5,000	1,354	3,401,774	0.54%
5,001-10,000	357	2,677,647	0.43%
10,001-50,000	308	6,575,064	1.04%
50,001-100,000	42	3,001,808	0.48%
100,001-500,000	33	6,334,389	1.01%
500,001-1,000,000	4	2,805,860	0.45%
1,000,001-999,999,999,999	7	603,352,858	95.84%
TOTAL	6,068	629,542,458	100%

2. By Category of Shareholders

GROUP	NO. OF MEMBERS	NO. OF SHARES HELD	PERCENT
Foreign Investors	82	598,227,894	95.03%
E.A.P.S. Individuals	5,693	23,003,093	3.65%
E.A.P.S. Institutions	365	8,311,471	1.32%
TOTAL	6,140	629,542,458	100.00%

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2024

The directors submit their annual report together with the audited financial statements for the year ended 31 December 2024, which show the state of the affairs of TotalEnergies Marketing Kenya Public Limited Company ("the Company").

1. INCORPORATION

The Company is domiciled in Kenya where it is incorporated as a public company limited by shares under the Kenyan Companies Act, 2015. The address of the registered office is set out on page 8.

2. PRINCIPAL ACTIVITY

The principal activity of the Company is the marketing and sale of petroleum products.

3. FINANCIAL RESULTS

The results for the year are as follows:

	2024	2023
	KShs '000	KShs '000
Profit before tax	2,063,131	4,619,420
Tax charge	(575,698)	(1,596,496)
Profit for the year	1,487,433	3,022,924
Other comprehensive income	203,649	(203,649)
Total comprehensive income	1,691,082	2,819,275

4. DIVIDENDS

Subject to the approval of the shareholders at the Annual General Meeting, the directors recommend payment of a first and final dividend of KShs 1.92 (2023: KShs 1.92) per share equivalent to a total amount of KShs 1,209 million (2023: KShs 1,209 million).

5. DIRECTORS

The directors who served during the year and to the date of this report are set out on page 8.

6. BUSINESS REVIEW

In 2024, the business environment was volatile. The company faced rising interest rates due to tighter monetary policy, which led to higher borrowing costs. Socio-economic and political unrest mid-year also impacted the Company's sales. Despite these challenges, currency appreciation, the availability of dollars, payments for petroleum products in KES, a decrease in inflation, and lower petroleum prices (due to a drop in international fuel prices compared to 2023) had positive effects.

The Company continuously prioritizes understanding customer needs to provide products and services that meet their requirements. It remains dedicated to maintaining a close connection with its customers, driven by the ambition to help them reduce their carbon footprint.

The Company is focused on delivering exceptional value to its customers through continuous improvement initiatives. It has put emphasis on essential business development strategies, which include increasing the service stations outreach, upgrading existing stations, deploying mobility shops, developing food and service offerings, solarizing service stations, developing electric mobility infrastructure, deploying lubricants marketing campaigns, expanding LPG retail points, implementing digital solutions for product and

service delivery, optimizing working capital, enhancing internal controls, and practicing prudent cost management.

Driven by its core values of safety, respect for each other, pioneering spirit, standing together, and performance minded, the Company has consistently upheld its commitment to meeting the increasing demand for energy and services as required by customers. These core values, along with the Company's Code of Conduct, form the foundation for conducting business.

Growth and Investments

To expand its business, the Company is actively developing retail locations in strategic areas nationwide. These locations are equipped with state-of-the-art facilities, offering a diverse range of products and services. Throughout the past year, the Company grew its network by opening thirteen new service stations across the country. Furthermore, several existing stations were revamped to maintain high standards of service and safety.

To support the growth, the Company continued to avail resources for investment in key projects including construction of service stations, the Mobility shop concept, car wash facilities, Quartz Auto service centers, and upgrading a number of depot facilities. In addition, it continues to develop strategic partnerships with third parties to enhance the customer experience at service stations.

A Culture of Diversity

People are key to the performance of the Company therefore a diverse workforce and management team is a crucial driver for progress within the Company, as it enhances competitiveness, innovation, and attractiveness. The Company values all talents within its teams and acknowledges their importance. This diversity significantly contributes to the Company's dedicated transition efforts, ensuring that no one is left behind.

The Better Together initiative implemented by the Company has introduced various measures to foster a positive workplace environment. By prioritizing everyone's professional development, the Company has been able to address the challenges of the energy transition effectively. This initiative has also contributed to building a common culture as a multi-energy company in a positive and inclusive environment.

Deployment of Multi Energy Strategy

Leveraging on the Multi-Energy Strategy, the Company is leading the way in the energy transition with an ambition for carbon neutrality by 2050 together with society. The multi-energy strategy offers diverse energy options to meeting the ever-growing energy demand while reducing the greenhouse gas emissions associated with energy production. The development of decarbonized energy system, while maintaining the current energy system at a high enough level ensures that there is a just, orderly and equitable transition of energy systems. The Company continues to advance its multi-energy strategy through four key pillars: establishing itself as an independent energy provider,

developing low-carbon solutions, adapting sales to evolving demand, and implementing energy efficiency initiatives.

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2024

Business Risks

The Company has implemented a thorough risk management system, which is crucial for executing its strategy. This process involves identifying key business operations, evaluating the significant risks to these operations, and establishing suitable control measures. The risk management process is aligned with the Company's long-term goals, aiming to pinpoint factors that could affect the achievement of its operational objectives.

This approach is a continuous process that takes consideration of contributions from all business segments.

The Company's Board has the responsibility of oversight on key business risks and analyzing internal and external risks that could impact the achievement of the Company's objectives. For this purpose, it has put in place the Board Risk and Governance Committee which ensures that the Company has mapped the risks to which it is exposed to and that efficient risk management systems are suitable.

The major risks include:

Safety is a core value for the Company and as such, the Company implements various preventive and detective measures to avoid accidents. The Company continues to train and sensitize its staff, as well as all its stakeholders including dealers, contractors, and transporters to enforce the safety culture and encourage reporting of near misses. The Company does not compromise on safety.

Ethics and Compliance is another key area where the Company invests heavily in sensitization of staff and stakeholders. The Company has implemented a zero-tolerance policy towards fraud and corruption.

Awareness sessions on ethics and compliance are conducted in course of year during staff forums and third party organized seminars and conferences.

Operational risks: These include supply chain constraints, risks related to change management and general environmental risks. In addition, the Company has a price risk management model which enables it to closely monitor the market and to adapt its pricing offers to its customers minimizing the price lag effect through effective supply planning.

Growth in revenues and profitability

During the year, the business environment remained challenging due to volatile macro-economic conditions. The international oil and gas prices declined as a result of global shifts in macro-economic and geopolitical situations.

The Company demonstrated resilience by achieving a positive profit after tax of KShs 1,487 million (2023: KShs 3,023 million) despite the challenging environment.

The Company's gross margins decreased to KShs 8,994 million (2023: KShs 12,836 million), primarily impacted by reduced sales compared to the previous year, aggressive competition in the Network and Reseller business, and increased costs not fully covered in the margins. Other income increased to KShs 2,797 million (2023: KShs 2,071 million), mainly attributable to investment activities, increased revenues from diversified investments in Shops, Food and Services (SFS), and income from partnerships with third parties which saw an increase compared to the previous year.

The reduction in operating expenses was due to the Company's commitment to robust cost control measures and discipline. However, finance costs rose to KShs 3,830 million (2023: KShs 2,319 million), reflecting the increased cost of borrowing.

The foreign exchange gains amounted to KShs 2,073 million (2023: loss of KShs 385 million), driven by the appreciation of the local currency during the year.

The Company's statement of financial position remained strong with total assets amounting to KShs 67.93 billion (2023: KShs 75.32 billion). Investments of KShs 2,475 million (2023: KShs 2,259 million) were made in line with the business strategy to enhance logistics, expand the network, and continue developing a profitable and sustainable multi-energy company.

Sustainability

Kenya is advancing to be a regional leader in integrating Environmental, Social, and Governance (ESG) principles into its economic and corporate landscape. This shift is driven by regulatory mandates, investor demands and growing societal awareness of sustainability issues. The ESG landscape, guided by frameworks such as the ESG Guidance Manual, standardizes ESG disclosures and reporting, ensuring that entities align their strategies with global sustainability standards.

By integrating ESG principles, the Company's sustainability strategy perfectly aligns with Kenya's national goals, contributing to the country's Vision 2030 development roadmap. Sustainability is at the heart of the Company's multi-energy strategy, projects, and operations, making tangible progress on its pathway to achieving carbon neutrality by 2050, together with society.

The Company's operational excellence relies on its sustainability strategy, which is anchored in four strategic pillars designed to deliver environmental and social impact for the Company and the broader society. The four pillars encompass Energy & Climate, Acting for the Well-Being of Employees, Caring for the Environment and Having a Positive Impact for Stakeholders – wholistically tailored around the United Nations Sustainable Development Goals and supported by investments in low carbon energy systems and cutting-edge clean energy solutions.

As the Company continues with its commitment to more energy and less emissions in line with its multi-energy roadmap, the Company has made remarkable strides not only in reducing greenhouse gas emissions within operating sites and project, but also in helping its stakeholders through their decarbonization journey.

In 2024, the Company continued with its journey on solarization of its service stations as well as the Nairobi LPG Plant. These together with other projects resulted in a 19% reduction in energy consumption compared to the year 2023.

In addition, the Company reduced the emissions from its operations by converting its generators at the Head Office and Total Academy to biodiesel B5 and by replacing 65% of its diesel-powered forklifts with LPG and electric alternatives in its facilities, among other initiatives. The Company's ongoing biodiversity eco-challenge program offsets its carbon footprint by achieving its annual target of planting 30,000 trees.

Regarding its stakeholders, the Company has bolstered its efforts to lower its carbon emissions by adding eight additional battery swapping points for two-wheelers, which complement the existing two electric vehicle charging points for four-wheelers at its service stations. This achievement highlights the Company's dedication to promoting e-mobility and providing excellent service to its customers.

Outlook for 2025

Despite facing a challenging and volatile business environment, the Company remains dedicated to ensuring safety, achieving operational excellence, driving profitable growth, and maintaining positive cash flow. The Company plans to continue expanding its business in the country, leveraging its extensive experience in the energy industry and a broad range of products and services.

The Company will also increase its focus on renewable energy sources and sustainable solutions to meet the growing demand for clean energy in Kenya. These initiatives are crucial for enhancing value and shareholders returns while maintaining a strong financial position.

7. STATEMENT AS TO DISCLOSURE TO THE COMPANY'S AUDITOR

With respect to each director at the time this report was approved:

- a. there is, so far as the director is aware, no relevant audit information of which the Company's auditor is unaware; and,
- b. the director has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

8. TERMS OF APPOINTMENT OF THE AUDITOR

Ernst & Young LLP continues in office in accordance with the Company's Articles of Association and Section 719 of the Kenyan Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees. The agreed auditor's remuneration has been charged to profit or loss in the year.

By Order of the Board



J L G Maonga

Secretary

29th April 2025

STATEMENT OF DIRECTORS' RESPONSIBILITIES ON THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the Company keeps proper accounting records that: (a) show and explain the transactions of the Company; (b) disclose, with reasonable accuracy, the financial position of the Company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Kenyan Companies Act, 2015.

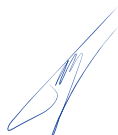
The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- (i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error
- (ii) selecting suitable accounting policies and applying them consistently; and,
- (iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the Board of Directors on 29th April 2025 and signed on its behalf by:



Director: Thibault Flichy



Director: Lawrencia Gichatha

DIRECTORS' REMUNERATION REPORT

FOR THE YEAR ENDED 31 DECEMBER 2024

The Directors' Remuneration Report sets out the policy that the Company has applied to remunerate executive and non-executive directors. The report has been prepared in accordance with the relevant provisions of the Capital Markets Authority (CMA) Code of Corporate Governance and the requirements of the Kenyan Companies Act, 2015 (General) (Amendments) (No.2) Regulations, 2017.

Executive Directors

Executive directors are remunerated in accordance with the Company's remuneration policy. Determination of the pay is based on the established salary scale. Annual objectives are set at the beginning of the year and a performance assessment carried out to determine the bonus and increment. The remuneration package comprises basic salary, pensions and other benefits. There has been no major change relating to directors' remuneration during the year under review.

Non-Executive Directors

Local non-executive/independent directors are paid a fixed annual fee plus a sitting allowance for attending board meetings. Foreign non-executive directors are drawn from TotalEnergies Group's senior staff and are not remunerated for board's meeting attendance.

The fees are approved by shareholders at Annual General Meetings.

Contract of service

In accordance with the Capital Markets Authority regulations on non-executive directors', a third of the Board is elected at every Annual General Meeting by the shareholders for a term of 3 years on rotation basis.

The executive directors have employment contracts with the Company.

The table below shows the executive and the non-executive directors' remuneration in respect of qualifying services for the year ended 31 December 2024. The aggregate directors' emoluments are shown in Note 20 (vi).

31 December 2024

Director	Role/appointment or retirement date	Category	Gross earnings including pension contribution	Annual bonus	Directors' fees	Sitting allowances	Benefits*	Total
			KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Elodie Luce	Chairlady – Appointed on 23 August 2024	Non-executive	-	-	-	-	-	-
Olagoke Aluko	Chairman - Resigned on 23 August 2024	Non-executive	-	-	-	-	-	-
Thibault Flichy	Managing Director - Appointed on 01 September 2024	Executive	13,953	-	-	-	12,961	26,914
Eric Fanchini	Managing Director - Resigned on 01 September 2024	Executive	22,473	5,047	-	-	9,807	37,327
Lawrencia Gichatha	Finance Manager	Executive	20,524	961	-	-	99	21,584
Adele Tura	Strategy and Corporate Affairs Director	Executive	27,527	1,186	-	-	2,477	31,190
Jean- Phillipe Torres		Non-executive	-	-	-	-	-	-
Joseph Karago		Non-executive	-	-	2,000	1,560	-	3,560
Maurice K'Anjejo		Non-executive	-	-	2,000	1,398	-	3,398
Catherine Musakali		Non-executive	-	-	2,000	1,440	-	3,440
Guillame Navez		Non-executive	-	-	-	-	-	-
Totals			84,477	7,194	6,000	4,398	25,344	127,413
Summary								
Cash emoluments			84,477	7,194	6,000	4,398	-	102,069
Non-cash emoluments			-	-	-	-	25,344	25,344
Totals			84,477	7,194	6000	4,398	25,344	127,413

Elodie Luce, Olagoke Aluko, Jean-Phillipe Torres and Guillame Navez are remunerated by TotalEnergies SE the holding company and are not re-charged to the Company. They are not remunerated as board members of TotalEnergies Marketing Kenya PLC.

Thibault Flichy and Eric Fanchini were paid by the parent company. These costs are recharged to TotalEnergies Marketing Kenya PLC in Euros. The recharged amounts are converted into Kenya shillings using the Central Bank of Kenya mean rate as at transaction date for local payroll processing, tax declaration and payments.

*Benefits include house, vehicle, telephone, utilities and domestic employees and are declared in line with the Kenyan tax laws.

DIRECTORS' REMUNERATION REPORT

FOR THE YEAR ENDED 31 DECEMBER 2024

31 December 2023

Director	Role/appointment or retirement date	Category	Gross earnings including pension contribution KShs'000	Annual bonus KShs'000	Directors' fees KShs'000	Sitting allowances KShs'000	Benefits* KShs'000	Total KShs'000
Olagoke Aluko	Chairman	Non-executive	-	-	-	-	-	-
Eric Fanchini	Managing Director	Executive	37,174	5,008	-	-	21,272	63,454
Lawrencia Gichatha	Finance Manager	Executive	17,936	1,656	-	-	99	19,691
Adele Tura	Strategy and Corporate Affairs Director	Executive	24,634	1,702	-	-	163	26,499
Jean- Phillipe Torres		Non-executive	-	-	-	-	-	-
Joseph Karago		Non-executive	-	-	2,000	2,040	-	4,040
Maurice K'Anjejo		Non-executive	-	-	2,000	1,920	-	3,920
Guillame Navez		Non-executive	-	-	-	-	-	-
Catherine Musakali	Appointed on 27 November 2023	Non-executive	-	-	-	-	-	-
Totals			<u>79,744</u>	<u>8,366</u>	<u>4,000</u>	<u>3,960</u>	<u>21,534</u>	<u>117,604</u>
Summary								
Cash emoluments			79,744	8,366	4,000	3,960	-	96,070
Non-cash emoluments			-	-	-	-	21,534	21,534
Totals			<u>79,744</u>	<u>8,366</u>	<u>4,000</u>	<u>3,960</u>	<u>21,534</u>	<u>117,604</u>

Olagoke Aluko, Jean-Phillipe Torres and Guillame Navez are remunerated by TotalEnergies SE the holding company and are not re-charged to the Company. They are not remunerated as board members of TotalEnergies Marketing Kenya PLC.

Eric Fanchini was paid by the parent company. These costs are recharged to TotalEnergies Marketing Kenya PLC in Euros. The recharged amounts are converted into Kenya shillings using the Central Bank of Kenya mean rate as at transaction date for local payroll processing, tax declaration and payments.

*Benefits include house, vehicle, telephone, utilities and domestic employees and are declared in line with the Kenyan tax laws

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF TOTALENERGIES MARKETING KENYA PUBLIC LIMITED COMPANY

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of TotalEnergies Marketing Kenya Public Limited Company (the "Company") set out on pages 109 to 154, which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 December 2024, and of its financial performance and its cash flows for the year then ended, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA code) and other independence requirements applicable

to performing audits of financial statements of the Company and in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits of the Company and in Kenya. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our descriptions of how our audit addressed the matters is provided in that context.

We have fulfilled the responsibilities described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Accounting for amounts receivable from Kenya Petroleum Refineries Limited (KPRL) relating to fuel yield shifts As disclosed in Note 19 to the financial statements, the amounts receivable from KPRL include value of yield shifts that arose up to 2013 when KPRL operations were under toll mode. Subsequently, KPRL changed its mode of operations from Toll Mode to Merchant Mode and then to hospitality services. KPRL has since been acquired by Kenya Pipeline Company (KPC). The recovery of these yield shifts is a matter of discussion between the Company together with other Refinery Users (Oil Marketing Companies (OMCs)), the Ministry of Energy and Petroleum (MoEP), Petroleum Institute of East Africa (PIEA), the Energy and Petroleum Regulatory Authority (EPRA), Kenya Pipeline Company (KPC) and Kenya Petroleum Refineries Limited (KPRL). We focused on this matter because the amount involved is material to the financial statements and had not been fully recovered by year-end. The determination of whether there was sufficient supporting evidence for the continued recognition of these amounts in the financial statements involved robust discussions with management and Board of Directors. We also considered that the disclosures on this matter in Note 19 to the financial statements are significant to the understanding of the Company's financial statements.	Our procedures included, but were not limited, to the following: - We held meetings with management to understand the updates on the matter during the year and the estimated timing of recovery. - We obtained and reviewed the minutes of the ongoing discussions between OMCs, MoEP, PIEA, EPRA, KPC and KPRL. - We obtained and reviewed correspondences between PIEA, KPRL and MoEP for which amounts owing to the refinery users have been discussed and agreed upon and obtained confirmations of these amounts where applicable. - We obtained and reviewed the forensic audit report of the KPRL yield shift numbers commissioned under the direction of the MoEP. - We evaluated the Company's disclosures on this matter in Note 19 to the financial statements

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF TOTAENERGIES MARKETING KENYA PUBLIC LIMITED COMPANY

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Key Audit Matters

Key audit matter	How our audit addressed the key audit matter
Accounting for receivables relating to government's fuel subsidies and recoverable prudent costs As disclosed in Note 19, to the financial statements, included in trade receivables are amounts related to government's fuel subsidies and receivables related to prudent costs incurred in the supply of petroleum products by the Company that are recoverable under the Petroleum (Pricing) Regulations, 2022. The assessment of recoverability and timing of recovery of these amounts involves significant estimates and judgment, we have therefore identified the audit of these amounts as key audit matter. The estimation of the timing of recovery is dependent on the agreement with the various stakeholders and regulators in the Kenyan oil industry and is also based on Petroleum (Pricing) Regulations, 2022. We also considered that the disclosures on this matter in Note 19 to the financial statements are significant to the understanding of the Company's financial statements.	Our procedures included, but were not limited, to the following: a) We held meetings with management to understand the background, mechanism and timing of recovery. b) We obtained and reviewed management workings forming the basis of these receivables against the available supporting documentation. c) We obtained and reviewed the correspondences between the Company and other OMCs, and Petroleum Institute of East Africa (PIEA) and EPRA, and obtained confirmations of these amounts where applicable. d) We evaluated the Company's disclosures on this matter in Note 19 to the financial statements.

Other Information

The directors are responsible for the other information. The other information comprises of the Corporate Information, Report of the Directors' as required by the Kenyan Companies Act, 2015, Statement of Directors' Responsibilities and the Directors' Remuneration Report, other than the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

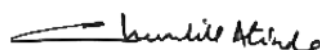
From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current year and are therefore key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER MATTERS PRESCRIBED BY THE KENYAN COMPANIES ACT, 2015

As required by the Kenyan Companies Act, 2015, we report to you, based on our audit, that:

- i) in our opinion, the information given in the report of the directors on pages 99 to 101 is consistent with the financial statements; and,
- ii) in our opinion, the auditable part of directors' remuneration report on pages 103 and 104 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Churchill Atinda Practicing Certificate Number 1425.



For and on behalf of Ernst & Young LLP

Certified Public Accountants

Nairobi, Kenya

30th April 2025

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FINANCIAL STATEMENTS



STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2024

		2024	2023
	Notes	KShs'000	KShs'000
Revenue from contracts with customers		151,487,770	156,432,095
Indirect taxes and duties		<u>(37,274,855)</u>	<u>(35,713,695)</u>
Net revenue from contracts with customers	3	114,212,915	120,718,400
Cost of sales	4	<u>(105,219,189)</u>	<u>(107,882,717)</u>
Gross profit		8,993,726	12,835,683
Other income	5	2,796,836	2,071,216
Operating expenses	6 (a)	(7,506,213)	(8,040,363)
Net allowance for expected credit losses	6 (b)	(475,486)	(433,816)
Net loss on disposal of government securities at FVOCI	6 (c)	(222,285)	-
Finance income	7 (a)	234,214	890,932
Finance costs	7 (b)	(3,830,463)	(2,319,090)
Net foreign exchange gain/(loss)	7 (c)	<u>2,072,802</u>	<u>(385,142)</u>
Profit before tax	8	2,063,131	4,619,420
Tax charge	9 (i)	<u>(575,698)</u>	<u>(1,596,496)</u>
Profit for the year		1,487,433	3,022,924
Other comprehensive income/ (loss)			
Items that may be reclassified subsequently to profit or loss:			
- Net fair value loss on remeasurement of government securities through OCI	16	-	(393,169)
- Reclassification to profit or loss	16	393,169	-
- Related deferred tax		-	-
Movement in expected credit loss on government securities at FVOCI			
- Changes in allowance for expected credit losses	6 (b)	-	189,520
- Reclassification to profit or loss	6 (b)	(189,520)	-
- Related deferred tax	-	-	-
Other comprehensive income, net of tax		203,649	(203,649)
Total comprehensive income for the year		<u>1,691,082</u>	<u>2,819,275</u>
Earnings per share (basic and diluted) (KShs)	10	<u>2.36</u>	<u>4.80</u>

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2024

ASSETS		2024	2023
	Notes	KShs'000	KShs'000
NON-CURRENT ASSETS			
Property, plant and equipment	12	12,811,963	12,193,328
Right-of-use assets	13	1,817,970	1,305,390
Goodwill	14	416,679	416,679
Intangible assets	15	296,876	307,045
Government securities held at FVOCI	16	-	7,743,929
Deferred tax assets	17	689,478	612,209
Total non-current assets		16,032,966	22,578,580
CURRENT ASSETS			
Inventories	18	11,068,362	13,057,279
Tax recoverable	9(iii)	656,966	-
Trade and other receivables	19	25,500,796	29,424,340
Amounts due from related companies	20 (i)	3,235,303	2,377,052
Cash and bank balances	24 (ii)	11,437,183	7,878,221
Total current assets		51,898,610	52,736,892
TOTAL ASSETS		67,931,576	75,315,472
EQUITY AND LIABILITIES			
EQUITY			
Share capital	21	9,974,771	9,974,771
Share premium	22	1,967,520	1,967,520
Fair value reserve		-	(203,649)
Retained earnings		20,765,093	20,486,381
		32,707,384	32,225,023
NON-CURRENT LIABILITIES			
Trade and other payables	23	949,408	798,434
Lease liability	13	1,200,900	700,729
Provisions	23	243,160	304,656
		2,393,468	1,803,819
CURRENT LIABILITIES			
Lease liability	13	207,189	105,807
Trade and other payables	23	29,437,441	26,233,324
Tax payable	9 (iii)	-	319,095
Amounts due to holding company	20 (iii)	2,770,238	7,005,357
Amounts due to related companies	20 (ii)	415,856	2,030,025
Bank overdrafts	24(ii)	-	5,593,022
		32,830,724	41,286,630
TOTAL EQUITY AND LIABILITIES		67,931,576	75,315,472

The financial statements were approved and authorised for issue by the Board of Directors on 29th April 2025 and were signed on its behalf by:



Director – Thibault Flichy



Director – Lawrence Gichatha

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital KShs'000 (Note 21)	Share premium KShs'000 (Note 22)	Retained earnings KShs'000	Fair value reserve KShs'000	Total equity KShs'000
As at 1 January 2023	9,974,771	1,967,520	18,288,158	-	30,230,449
Dividends declared – 2022 (Note 11)	-	-	(824,701)	-	(824,701)
Profit for the year	-	-	3,022,924	-	3,022,924
Other comprehensive income	-	-	-	(203,649)	(203,649)
Total comprehensive income	-	-	3,022,924	(203,649)	2,819,275
As at 31 December 2023	<u>9,974,771</u>	<u>1,967,520</u>	<u>20,486,381</u>	<u>(203,649)</u>	<u>32,225,023</u>
As at 1 January 2024	9,974,771	1,967,520	20,486,381	(203,649)	32,225,023
Dividends declared – 2023 (Note 11)	-	-	(1,208,721)	-	(1,208,721)
Profit for the year	-	-	1,487,433	-	1,487,433
Other comprehensive income	-	-	-	203,649	203,649
Total comprehensive income	-	-	1,487,433	203,649	1,691,082
As at 31 December 2024	<u>9,974,771</u>	<u>1,967,520</u>	<u>20,765,093</u>	<u>-</u>	<u>32,707,384</u>

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES		KShs'000	KShs'000
Cash generated from operations	24 (i)	8,972,061	3,231,317
Tax paid	9 (iii)	(1,629,028)	(1,790,680)
Net cash generated from operating activities		<u>7,343,033</u>	<u>1,440,637</u>
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	12	(2,279,372)	(2,204,427)
Purchase of intangible assets	15	(195,985)	(54,942)
Interest received on government securities at FVOCI		1,359,355	513,979
Interest received on bank deposits	7 (a)	234,214	890,932
Proceeds on disposal of property, plant and equipment		13,278	10,588
Proceeds from disposal of government securities		<u>7,914,813</u>	<u>-</u>
Net cash generated from/ (used in) investing activities		<u>7,046,303</u>	<u>(843,870)</u>
CASH FLOWS FROM FINANCING ACTIVITIES			
Interest payments on borrowings	7 (b)	(3,715,542)	(2,249,975)
Lease liability payments – principal	13	(211,719)	(217,653)
Lease liability payments – interest	13	(109,402)	(72,376)
Dividends paid	11 (a)	<u>(1,200,689)</u>	<u>(819,769)</u>
Net cash used in financing activities		<u>(5,237,352)</u>	<u>(3,359,773)</u>
Net increase/ (decrease) in cash and cash equivalents		9,151,984	(2,763,006)
Effect of exchange rate changes on cash and cash equivalents		-	22,078
Cash and cash equivalents as at 1 January		<u>2,285,199</u>	<u>5,026,127</u>
Cash and cash equivalents as at 31 December	24 (ii)	<u>11,437,183</u>	<u>2,285,199</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

1. ACCOUNTING POLICY INFORMATION

a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Kenyan Companies Act, 2015. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings, which is also the Company's functional currency, and rounded to the nearest thousand (KShs' 000), except where otherwise stated.

The preparation of financial statements in conformity with IFRS Accounting Standards as issued by the International Accounting Standards Board requires the use of estimates and assumptions. It also requires directors to exercise judgment in the process of applying the Company's accounting policies. Although these estimates are based on the directors' best knowledge of current events and circumstances, actual results may differ from those estimates. Note 2 below on 'significant accounting judgments and key sources

of estimation uncertainty' highlights the areas that involve a higher level of judgement, or where the estimates or assumptions used are significant to the financial statements.

For purposes of reporting under the Kenyan Companies Act, 2015, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is represented by the statement of profit or loss and other comprehensive income.

b) New and amended standards, interpretations and improvements

The accounting policies adopted are consistent with those of the previous financial year, except for the following amendments to IFRS Accounting Standards as issued by the International Accounting Standards Board for periods beginning on or after 1 January 2024. The new standards and amendments effective of as of 1 January 2024 are listed below:

New standards or amendments	Effective for annual period beginning on or after
Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants – amendment to IAS 1	1 January 2024
Lease Liability in a Sale and Leaseback – Amendments to IFRS 16	1 January 2024
Disclosures: Supplier Finance Arrangements–Amendments to IAS 7 and IFRS 7	1 January 2024

New standards, amendments and interpretations in issue but not yet effective for the year ended 31 December 2024

Effective for annual periods beginning on or after 1 January 2025

- Lack of exchangeability – Amendments to IAS 21

Effective for annual periods beginning on or after 1 January 2026

- Classification and Measurement of Financial Instruments- Amendments to IFRS 9 and IFRS 7
- Annual Improvements to IFRS Accounting Standards- Volume 11
- Power Purchase Agreements- Amendments to IFRS 9 and IFRS 7

Effective for annual periods beginning on or after 1 January 2027

- IFRS 18- Presentation and Disclosure in Financial Statements
- IFRS 19- Subsidiaries without Public Accountability: Disclosures

Effective date postponed indefinitely

- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture - Amendments to IFRS 10 and IAS 28

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

1. ACCOUNTING POLICY INFORMATION

The standards improvement and amendments that are issued, but not yet effective, up to the date of issuance of the Company's financial statements which are relevant to the Company are discussed below.

The Company intends to adopt these standards, if applicable, when they become effective.

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

It also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes.

In addition, narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

IFRS 18, and the amendments to the other standards, is effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

The Company is currently working to identify all impacts the amendments will have on the financial statements and notes to the financial statements.

c) Revenue from contracts with customers

The Company is in the business of selling of petroleum products and related services. Revenue from contracts with customers is recognised at the time of transfer of control at the point of delivery of the product to the customer or upon collection by the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange of the product or service.

The Company has generally concluded that it is the principal in its revenue arrangements because it typically controls products or services before transferring them to the customer.

Sale of petroleum products

Revenue from sale of petroleum products is recognised at the point in time when control of the product is transferred to the customer, generally on collection of the petroleum products by the transporter or upon collection by the customer at the Company's depot. The normal credit terms are 7 days for retail customers and 30 to 45 days on business-to-business customers upon delivery.

The Company considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated (e.g., warranties, customer loyalty points), currently none. In determining the transaction price for the sale of the products, the Company

considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration payable to the customer (if any).

(i) Variable consideration

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for transferring of products to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved. Some contracts for the sale of petroleum products provide customers with volume rebates. However, there is no right of return. The volume rebates give rise to variable consideration.

• Rights of return

Right of return does not apply for petroleum products since the liability remains with the transporter or the customer as per sales revenue contracts. For non- petroleum products such as solar, the liability remains with the supplier covered by warranties.

• Volume rebates

The Company provides retrospective volume rebates to certain customers once the quantity of products purchased during the period exceeds a threshold specified in the contract. Rebates are offset against amounts payable by the customer. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single-volume threshold and the expected value method for contracts with more than one volume threshold. The selected method that best predicts the amount of variable consideration is primarily driven by the number of volume thresholds contained in the contract. The Company then applies the requirements on constraining estimates of variable consideration and recognises a refund liability for the expected future rebates. In the current year, the rebates were in built in the price structure.

(ii) Significant financing component

The Company has no significant financing components from its customers.

(iii) Non-cash consideration

The Company has no noncash consideration or consideration payable to the customer.

d) Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition-date fair values and the amount of any non-controlling interest in the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired, and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits, respectively;

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1. ACCOUNTING POLICY INFORMATION

- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Company entered into to replace share-based payment arrangements of the acquiree are measured in accordance with IFRS 2 Share-based Payment at the acquisition date; and,
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a gain from a bargain purchase.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Other contingent consideration that is within the scope of IFRS 9 is measured at fair value at each reporting date and changes in fair value are recognised in profit or loss. Contingent consideration that is not within the scope of IFRS 9 is measured at fair value at each reporting date and changes in fair value are recognised in profit or loss.

When a business combination is achieved in stages, the Company's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date (i.e. the date when the Company obtains control) and the resulting gain or loss, if any, is recognised

in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date

e) Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit (CGU) to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit.

Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the gain or loss on disposal.

f) Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use

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1. ACCOUNTING POLICY INFORMATION

assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

- Office premises- 6 years
- Service stations -10-30 years
- Leasehold land- 10-99 years

f) Leases

ii) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate.

Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease contracts is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made.

In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

iii) Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Company as a lessor

Leases in which the Company does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature.

Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Contingent rents are recognised as revenue in the period in which they are earned.

g) Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the property, plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of property, plant and equipment are required to be replaced at intervals, the Company recognises such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are met. All other repair and maintenance costs are recognised in profit or loss as incurred.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual instalments over their estimated useful lives.

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Plant and machinery	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

Capital work-in-progress is stated cost less any accumulated impairment losses, if any.

The Company reviews the estimated useful lives, the methods of depreciation and residual values of property, plant and equipment at the end of each reporting period and adjusts them prospectively, if appropriate. During the financial year, no changes to the useful lives and residual values were identified by the directors.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss when the asset is derecognised.

The impairment policy on non-financial assets is discussed under Note 1 (r).

h) Intangible assets acquired separately and in business combinations

Intangible assets acquired separately are measured on initial recognition at cost. Subsequently, they are reported at cost less accumulated amortisation and accumulated impairment losses, if any.

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost). After initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

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1. ACCOUNTING POLICY INFORMATION

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The useful economic life of intangible assets with a finite useful life is 3 years.

The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category that is consistent with the function of the intangible assets. Intangible assets with indefinite useful lives and intangible assets not yet available for use are not amortised but are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired. The Company did not have any intangible assets with indefinite useful lives.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal.

Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

The impairment policy on non-financial assets is discussed under Note 1 (r).

i) Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification, if not met the asset is reclassified to property, plant and equipment and right-of-use asset and measured at carrying amount.

When the Company is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Company will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell. Property, plant and equipment and intangible assets are not depreciated or amortised once classified as held for sale.

Assets and liabilities classified as held for sale are presented separately as current items in the statement of financial position.

Impairment of non-current assets held for sale

The Company assesses at each reporting date whether there is objective evidence that non-current assets held for sale are impaired. Non-current assets held for sale are deemed to be impaired if fair value less costs to sell is lower than carrying amounts.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the fair value less costs to sell, and is recognised in profit or loss.

The Company recognises a gain in profit or loss for any subsequent increase in fair value less costs to sell of an asset, but not in excess of the cumulative impairment loss that has been previously recognised. The Company also recognises a gain or loss not previously recognised by the date of the sale of a non-current asset at the date of derecognition.

j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined on a weighted average cost basis and comprises purchase price and other costs incurred to bring the inventories to their present location and condition. Net realisable value is the estimate of the selling price in the ordinary course of business less the estimated costs of completion and the estimated costs to make the sale. Specific provision is made for obsolete, slow moving and defective inventories.

k) Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e., the date that the Company commits to purchase or sell the asset.

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1. ACCOUNTING POLICY INFORMATION

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

This category is the most relevant to the Company. The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and,
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost include trade and other receivables, amount due from related companies and bank and cash balances.

Financial assets at fair value through OCI (debt instruments)

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation. The ECL for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the allowance that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the assets.

The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value change recognised in OCI is recycled to profit or loss. The Company's debt instruments at fair value through OCI includes investments in government securities included under non-current assets. Interest income and foreign exchange gains and losses are recognised in profit or loss in the same manner as for financial assets measured at amortised cost as explained in Note 1 (u).

The Company had Government securities held at FVOCI in prior year which were disposed off during the year.

Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Company's statement of financial position) when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of its continuing involvement.

In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors, banks and the economic environment.

For debt instruments at fair value through OCI, the Company applies the general approach in calculating ECLs. The Company's debt instruments at fair value through OCI comprise solely of government bonds which are considered to be low credit risk investments. At every reporting date, the Company evaluates whether there has been a significant increase in credit risk on the financial instrument since initial recognition and recognizes a loss allowance based on either 12-month ECLs or lifetime ECLs. The Company's probabilities of default are based on the credit ratings obtained from credit agencies such as Fitch. A 12-month PD is applied for stage 1 exposures where there has not been significant increase in credit risk since initial recognition. A Lifetime PD is applied to stage 2 exposures where there has been significant increase in credit risk since initial recognition. The days to maturity of the exposure are used to map the appropriate lifetime PD. The Company applies Loss Given Default percentages based on the industry in which the counterparty operates in.

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The Company considers a financial asset in default when contractual payments are 90 days past due, except in very rare circumstances, where despite the amount being outstanding for more than 90 days there is strong evidence to prove that the amount is recoverable. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows. Financial assets are written off either partially or in their entirety only when the Company has stopped pursuing the recovery. This may be due to the high cost associated with recovery efforts rendering it uneconomical to further pursue the borrower or where the Company has no recourse with regards to security and all recovery avenues have been exhausted.

Further disclosures relating to impairment of financial assets are provided in the following notes;

- Disclosures for accounting judgments and key sources of estimation (Note 2)
- Trade receivables (Note 19)
- Government securities held at FVOCI (Note 16)

Financial Liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, borrowings and amounts due to holding company and related companies.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified into two categories;

- Financial liabilities at amortised cost (loans and borrowings)
- Financial liabilities at fair value through profit or loss

Financial liabilities at amortised costs (loans and borrowings)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs profit or loss. This category generally applies to interest-bearing loans and borrowings.

The Company has not designated any financial liability at fair value through profit or loss.

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

l) Foreign currencies

In preparing the financial statements of the Company, transactions in currencies other than Kenyan shillings, the entity's functional currency, i.e. foreign currencies, are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are translated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in other comprehensive income or profit or loss are also recognised in other comprehensive income or profit or loss, respectively).

m) Tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of profit or loss and other comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Current tax relating to items recognised outside profit or loss is recognised outside profit or loss. Current tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

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1. ACCOUNTING POLICY INFORMATION

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable nor accounting profit or loss.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the Company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilize the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Unrecognized deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realized, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amounts of its assets and liabilities.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(iii) Value added tax

Expenses and assets are recognised net of the amount of value added tax, except:

- When the value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable; and,
- When receivables and payables are stated with the amount of value added tax included

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(iv) Uncertain tax position

The Company uses judgement to determine whether each tax treatment should be considered independently or whether some tax treatments should be considered together. The decision is based on which approach provides better predictions of the resolution of the uncertainty. The Company assumes that the taxation authority will examine amounts reported to it and will have full knowledge of all relevant information when doing so. Where the Company concludes that it is probable that a particular tax treatment will be accepted, it determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits or tax rates consistently with the tax treatment included in its income tax filings. If the Company concludes that it is not probable that a particular tax treatment will be accepted, it uses the most likely amount or the expected value of the tax treatment when determining taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates. The method should be based on which method provides better predictions of the resolution of the uncertainty.

n) Employee entitlements

i) Retirement benefit costs

The Company operates two defined contribution pension plans: one registered locally and the other registered offshore for its employees. The assets of the plans are held in separate trustee administered funds. The plans are funded by contributions from both the employees and the Company. Benefits are paid to retiring staff in accordance with the rules of the respective plans.

Contributions to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions. The Company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute.

Contributions by the Company in respect of retirement benefit costs are charged to profit or loss in the year to which they relate.

ii) Leave

Employee entitlements to annual leave are recognised when they are expected to be paid to employees. A provision is made for the estimated liability for annual leave at the reporting date.

iii) Bonus

An accrual is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal and constructive obligation to pay this amount as a result of past service provided by the employee, the obligation can be estimated reliably and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

o) Dividends

Dividends on ordinary and redeemable preference shares are charged to equity in the period in which they are declared.

p) Earnings per share

Earnings per share are calculated by dividing the profit after tax by the weighted average number of ordinary shares and redeemable preference shares outstanding during the year.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

1. ACCOUNTING POLICY INFORMATION

q) Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the asset. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

r) Impairment of non-financial assets

At each reporting date, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use.

Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash generating unit to which the asset belongs. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised as an expense immediately.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

For all assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount or exceed the carrying amount that would have been determined, net of depreciation or amortisation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

Goodwill

Goodwill is tested for impairment annually as at 31 December and when circumstances indicate that the carrying amount may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods. Further details are contained in Note 1 (e) and 2.

s) Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date taking into account the risks and uncertainties surrounding the obligation.

t) Consolidation

Control is achieved when the Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Company controls an investee if, and only if, the Company has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Company has less than a majority of the voting or similar rights of an investee, the Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Company's voting rights and potential voting rights

The Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Company gains control until the date the Company ceases to control the subsidiary.

The Company has two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited. The two subsidiary companies have not been consolidated as they are dormant and insignificant having transferred their assets and liabilities to TotalEnergies Marketing Kenya Plc.

u) Finance income/finance cost

This comprises interest income and interest expense calculated using both the effective interest method and other methods. These are disclosed separately on the face of the income statement for both finance income and finance expense to provide symmetrical and comparable information. In its finance income/expense calculated using the effective interest method, the Company only includes interest on financial instruments in Note 7a & 7b.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

2. ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

Interest income/expense on all trading financial assets/liabilities is recognised as a part of the fair value change in 'Net trading income'.

The Company calculates interest income on financial assets, other than those considered credit-impaired, by applying the EIR to the gross carrying amount of the financial asset.

When a financial asset becomes credit impaired, the Company calculates interest income by applying the EIR to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

2. ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Company's accounting policies, the directors have made estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities within the next financial year.

Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

The key areas of judgement and sources of estimation uncertainty are as set out below:

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value. The carrying amount of goodwill at 31 December 2024 was KShs 416,679,000 (2023: KShs 416,679,000) and no impairment loss was recognised during the year. Further details on goodwill are given in Notes 1 (e) and 14.

Useful lives of property, plant and equipment

The Company reviews the estimated useful lives and residual values of property, plant and equipment at the end of each reporting period. In reviewing the useful lives of property, plant and equipment, the Company considers the remaining period over which an asset is expected to be available for use. Management also looks at the number of production or similar units expected to be obtained from the property, plant and equipment. Judgment and assumptions are required in estimating the remaining useful period and estimates of the number of production or similar units expected to be obtained from the property, plant and equipment. Further details on property, plant and equipment are given in Notes 1 (g) and 12.

Provision for expected credit losses of trade and other receivables and contract assets

The Company uses loss rates determined using transition matrix to estimate probability of default for purposes of calculating ECLs for trade receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, product type, customer type and rating, and coverage by letters of credit and other forms of credit insurance).

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

For trade and other receivables that provisional matrix approach is not applicable, the Company uses counterparty credit ratings to determine the probability of default. The credit ratings are based on latest reports issued by credit rating agencies such as Fitch, Moody's, S&P at the reporting date. In addition, the Company considers forward looking information for staging the balances due from counterparties for purposes of ECL calculations.

The information about the ECLs on the Company's trade receivables is disclosed in Note 19.

Impairment of non-financial assets

At each reporting date, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Impairment exists when the carrying amount of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use.

The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Company is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

In assessing whether there is any indication that the tangible and intangible assets may be impaired, the Company considers the

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

2. ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

following indications:

- i) there are observable indications that the asset's value has declined during the period significantly more than would be expected because of the passage of time or normal use.
- ii) significant changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, market, economic or legal environment in which the entity operates or in the market to which an asset is dedicated.
- iii) market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating an asset's value in use and decrease the asset's recoverable amount materially.
- iv) the carrying amount of the net assets of the entity is more than its market capitalization.
- v) evidence is available of obsolescence or physical damage of an asset.
- vi) significant changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite
- vii) evidence is available from internal reporting that indicates that the economic performance of an asset is, or will be, worse than expected.

Further details on property, plant and equipment are given in Note 12, goodwill in Note 14, and intangible assets in Note 15.

Income taxes

The Company is subject to income taxes in Kenya. Significant judgement is required in determining the Company's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provision in the period in which such determination is made.

Further details on income taxes are disclosed in Notes 9 and 17.

Leases - estimating the incremental borrowing rate

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use assets in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease (for example, when leases are not in the Company's functional currency).

The Company's incremental borrowing rate is estimated at the Group level and is dependent on the duration of the lease. The Company's discounting rates are calculated using the Midswap rate of the Group and the country specific premium. Management used rates vary from 7.8% -7.9% depending on the individual leases contract

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

3. NET REVENUE FROM CONTRACTS WITH CUSTOMERS

The major business of the Company is the sale of petroleum products, with other income comprising less than 5% of the total income. Net sales by business channel are shown below: -

(i) Business channels

	2024	2023
	KShs'000	KShs'000
General trade	33,498,009	33,234,789
Network	70,218,312	77,248,293
Aviation	3,963,437	2,154,773
Export and bulk	6,533,157	8,080,545
Total net sales	<u>114,212,915</u>	<u>120,718,400</u>

(ii) Geographical analysis

Local sales	107,679,758	112,637,855
Export sales	6,533,157	8,080,545
Total net sales	<u>114,212,915</u>	<u>120,718,400</u>

All revenue is recognized at a point in time.

4. COST OF SALES

Product purchases	98,698,081	101,283,745
Other variable costs*	6,521,108	6,598,972
	<u>105,219,189</u>	<u>107,882,717</u>

*Other variable costs majorly include primary and secondary fuel transport costs

5. OTHER INCOME

	2024	2023
	KShs'000	KShs'000
Rental income	1,262,601	1,218,774
Commission income	165,425	166,514
Interest from government securities	1,359,355	557,118
Sundry income*	9,455	128,810
	<u>2,796,836</u>	<u>2,071,216</u>

*Sundry income mainly includes gain on disposal of assets as per the Company's policy

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

6 (a) OPERATING EXPENSES

	2024	2023
	KShs'000	KShs'000
Directors' emoluments – fees [Note 20 (vi)]	10,398	7,960
- other cash emoluments [Note 20 (vi)]	91,671	88,110
Payroll and staff costs [Note 6 (a) (i)]	1,971,011	1,902,488
Depreciation on property, plant and equipment (Note 12)	1,580,121	1,763,273
Depreciation on right-of-use assets (Note 13)	269,613	217,844
Amortisation of intangible assets (Note 15)	282,710	45,000
Repairs and maintenance	769,509	757,588
General assistance [Note 20 (iv)]	725,399	961,828
Utilities	413,455	431,763
Expense relating to variable leases and short-term leases	275,375	278,353
Other expenses*	321,055	298,872
Legal and other professional fees	8,468	614,643
Advertising and promotion	513,860	404,310
Travelling	162,880	150,458
Insurance	96,971	105,002
Auditors' remuneration		
-Statutory audit	12,717	11,871
-Other non-audit services	1,000	1,000
	7,506,213	8,040,363

*Other expenses relate mainly to expensed reverse VAT, bank charges, and seminar and conference costs.

(i) PAYROLL AND STAFF COSTS

	2024	2023
	KShs'000	KShs'000
Wages and salaries	1,186,800	1,238,873
Pension costs – defined contribution plan and NSSF	182,914	175,398
Staff medical costs	138,101	117,963
Staff training costs	55,290	46,116
Leave provision	(10,857)	6,068
Bonus provision	9,605	21,234
Staff motor vehicle, mileage and other costs	409,158	296,836
Total personnel expenses	1,971,011	1,902,488
Average number of employees (permanent staff)	363	365

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

6 (b) ALLOWANCE FOR EXPECTED CREDIT LOSSES

	2024	2023
	KShs'000	KShs'000
Trade receivables	643,251	188,113
Other receivables	21,755	56,183
Government securities held at FVOCI	(189,520)	189,520
	<u>475,486</u>	<u>433,816</u>

6. (c) NET LOSS ON DISPOSAL OF GOVERNMENT SECURITIES AT FVOCI

Gain on disposal of government securities at FVOCI	(170,884)	-
Fair value loss reclassified to profit or loss	393,169	-
	<u>222,285</u>	<u>-</u>

7. (a) FINANCE INCOME

Interest income on bank deposits	<u>234,214</u>	<u>890,932</u>
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(b) FINANCE COSTS

Interest on short term borrowings	3,715,542	2,249,975
Interest expense on lease liability (Note 13)	114,921	69,115
	<u>3,830,463</u>	<u>2,319,090</u>

(c) NET FOREIGN EXCHANGE GAIN/ (LOSS)

Realised foreign exchange gain	1,642,410	132,300
Unrealised foreign exchange gain/(loss)	430,392	(517,442)
Net foreign exchange gain/ (loss)	<u>2,072,802</u>	<u>(385,142)</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

8. PROFIT BEFORE TAX

The profit before tax is arrived at after charging:

	2024	2023
	KShs'000	KShs'000
Payroll and staff costs [Note 6 (a) (i)]	1,971,011	1,902,488
Depreciation on property, plant and equipment (Note 12)	1,580,121	1,763,272
Depreciation on right-of-use assets (Note 13)	269,613	217,844
Amortization of intangible assets (Note 15)	282,710	45,000
Directors' emoluments		
-Fees [Note 6 (a)]	10,398	7,960
-Other emoluments [(Note 6 (a)]	91,671	88,110
-Non-cash emoluments [Note 20 (vi)]	25,344	21,534
-Auditors' remuneration [(Note 6 (a)]		
-Statutory audit	12,717	11,871
-Other non-audit services	1,000	1,000
Net foreign exchange loss [Note 7 (c)]	-	385,142
And after crediting:		
Net foreign exchange gain [Note 7 (c)]	2,072,802	-

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

9. TAX

(i) Tax charge

	2024	2023
	KShs'000	KShs'000
Current income tax:		
- Current income tax charge	652,967	1,821,937
- Adjustments in respect of current income tax for previous years	-	(18,775)
Deferred tax:		
- Relating to origination and reversal of temporary differences [Note 17 (ii)]	34,898	(206,666)
- Adjustments in respect of deferred tax for previous years	(112,167)	-
	<u>575,698</u>	<u>1,596,496</u>

(ii) Reconciliation of tax charge to expected tax based on accounting profit

Accounting profit before tax	2,063,131	4,619,420
Tax at the applicable rate of 30%	618,939	1,385,826
Tax effect of expenses not deductible for tax*	68,926	229,445
- Adjustments in respect of current income tax for previous years	-	(18,775)
- Adjustments in respect of deferred tax for previous years	(112,167)	-
Tax charge	<u>575,698</u>	<u>1,596,496</u>

*Tax effect of expenses not deductible for tax mainly relate to depreciation on ineligible assets, staff related expenses not allowable for tax and donations.

(iii) Tax recoverable/ (payable)

	2024	2023
	KShs'000	KShs'000
Balance at 1 January	(319,095)	(306,613)
Adjustments in respect of tax assessment for previous years	-	18,775
Charge to profit or loss	(652,967)	(1,821,937)
Payments during the year	1,629,028	1,790,680
Balance at 31 December	<u>656,966</u>	<u>(319,095)</u>

Corporation tax for the year has been computed at 30% (2023:30%).

Deferred tax has been computed at 30% (2023:30%) this being the rate that the deferred tax assets and liabilities would expect to crystallize at.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

10. EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit after tax attributable to shareholders by the weighted average number of ordinary and redeemable preference shares in issue during the year, as shown below:

	2024	2023
	KShs'000	KShs'000
Profit after tax	<u>1,487,433</u>	<u>3,022,924</u>
Basic earnings per share		
Weighted average number of ordinary and redeemable preference shares used in the calculation of basic earnings per share (in thousands of shares)	<u>629,542</u>	<u>629,542</u>
Basic and diluted earnings per share (KShs)	<u>2.36</u>	<u>4.80</u>

Diluted earnings per share

The diluted earnings per share is the same as basic earnings per share as there were no dilutive potential instruments outstanding at the end of the reporting year.

11. DIVIDENDS

a) Dividends payable

	2024	2023
	KShs'000	KShs'000
The movement in dividends payable is as follows:		
At 1 January	4,974	42
Final dividend declared 2023	1,208,721	824,701
Dividend paid	<u>(1,200,689)</u>	<u>(819,769)</u>
At 31 December	<u>13,006</u>	<u>4,974</u>

b) Dividends declared/proposed in respect of the year

Proposed for approval at the Annual General Meeting (not recognised as a liability as at 31 December):

Dividends per share on declared/ proposed dividends for the year (based on number of shares per Note 21)

<u>1,208,721</u>	<u>1,208,721</u>
<u>KShs 1.92</u>	<u>KShs 1.92</u>

In respect of the current year, the directors propose that a first and final dividend of KShs 1.92 (2023: KShs 1.92) per share amounting to KShs 1,209 million (2023: KShs 1,209 million) be paid to the shareholders.

The dividend is subject to approval by shareholders of the Company at the Annual General Meeting and has not been included as a liability in these financial statements.

The dividends payable as at 31 December 2024 is included in trade and other payables.

Withholding tax

Payment of dividends is subject to withholding tax at a rate of 15% for non-resident shareholders of the Company and 5% for resident shareholders. For resident shareholders of the Company, withholding tax is only deductible where the shareholding is below 12.5%.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

12. PROPERTY, PLANT AND EQUIPMENT

i) Year ended 31 December 2024

	Land	Buildings	Property, plant and machinery	Furniture, fittings and equipment	Capitalwork-in-progress*	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
COST						
At 1 January 2024	223,124	7,621,630	21,924,856	943,471	594,762	31,307,843
Additions	-	271,786	1,597,425	126,514	283,647	2,279,372
Transfers*	-	135,559	356,164	11,618	(579,897)	(76,556)
Disposals**	-	(18,039)	(30,590)	(5,572)	-	(54,201)
At 31 December 2024	<u>223,124</u>	<u>8,010,936</u>	<u>23,847,855</u>	<u>1,076,031</u>	<u>298,512</u>	<u>33,456,458</u>
DEPRECIATION						
At 1 January 2024	-	4,037,803	14,279,747	796,965	-	19,114,515
Charge for the year	-	359,474	1,140,123	80,524	-	1,580,121
Disposals **	-	(17,847)	(26,806)	(5,488)	-	(50,141)
At 31 December 2024	<u>-</u>	<u>4,379,430</u>	<u>15,393,064</u>	<u>872,001</u>	<u>-</u>	<u>20,644,495</u>
NET CARRYING AMOUNT						
At 31 December 2024	<u>223,124</u>	<u>3,631,506</u>	<u>8,454,791</u>	<u>204,030</u>	<u>298,512</u>	<u>12,811,963</u>

No items of property, plant and equipment have been pledged as security for liabilities.

Commitments to acquire property, plant and equipment as at year end are included in Note 25 (d)

*Transfers from capital-work-in progress that have qualified as ready to use assets to various items of property, plant and equipment. The amount of KShs 76,556,000 relates to transfers to intangible assets. Refer to Note 15.

** Assets held at a net book value of 4,060,000 were disposed at a value of KShs 13,279,000

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

12. PROPERTY, PLANT AND EQUIPMENT

(ii) Year ended 31 December 2023

	Land	Buildings	Property, plant and machinery	Furniture, fittings and equipment	Capital work-in-progress*	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
COST						
At 1 January 2023	223,124	7,353,232	20,489,856	855,199	134,603	29,056,014
Additions	-	262,117	1,291,565	63,371	587,374	2,204,427
Transfers*	-	1,185	100,869	25,161	(127,215)	-
Reclassification from assets held for sale**	-	9,762	87,850	481	-	98,093
Disposals	-	(4,666)	(45,284)	(741)	-	(50,691)
At 31 December 2023	<u>223,124</u>	<u>7,621,630</u>	<u>21,924,856</u>	<u>943,471</u>	<u>594,762</u>	<u>31,307,843</u>
DEPRECIATION						
At 1 January 2023	-	3,690,956	12,902,722	729,881	-	17,323,559
Charge for the year	-	349,650	1,346,278	67,345	-	1,763,273
Reclassification from assets held for sale	-	1,805	73,483	480	-	75,768
Disposals	-	(4,608)	(42,736)	(741)	-	(48,085)
At 31 December 2023	<u>-</u>	<u>4,037,803</u>	<u>14,279,747</u>	<u>796,965</u>	<u>-</u>	<u>19,114,515</u>
NET CARRYING AMOUNT						
At 31 December 2023	<u>223,124</u>	<u>3,583,827</u>	<u>7,645,109</u>	<u>146,506</u>	<u>594,762</u>	<u>12,193,328</u>

No items of property, plant and equipment have been pledged as security for liabilities.

*Transfers from capital-work-in progress that have qualified as ready to use assets to various items of property, plant and equipment

**Transfers from non- current assets held for sale at a net book value of 22,324,000.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

12. PROPERTY, PLANT AND EQUIPMENT

(iii) Capital work-in-progress

The capital work-in-progress relates mainly to construction work (e.g. replacement of civil works and remodelling of stations) and technical installations being undertaken by the Company.

There were no borrowing costs capitalised during the year ended 31 December 2024 (2023: Nil).

Based on an impairment review performed by the directors as at 31 December 2024, no indications of impairment of property, plant and equipment were identified (2023: none).

Commitments to acquire property, plant and equipment as at year end are included in Note 26 (e).

(iv) Impact of the Enactment of the Land Registration Act No. 3 2012 on the Company's Land Holding Status

The revised Constitution, enacted on 27 August 2010, introduced significant changes in the landholding by non-citizens. The Constitution no longer allows foreigners and foreign bodies to own freehold land and leasehold land in excess of 99 years. Freehold land and leasehold land of more than 99 years owned by foreigners and foreign bodies automatically became 99-year leases upon enactment of the required legislation under Articles 65 (4) of the revised

constitution. These changes in the landholding took effect on 2 May 2012 upon the enactment of the Land Registration Act No. 3 of 2012.

As per the definition in Article 65 (3) of the Constitution, the Company is a non-citizen, since it is not wholly owned by Kenyan citizens, and hence the status of its freehold land changes to 99 years lease.

The Company has assessed the impact of the amended land laws and concluded that they do not impact significantly on these financial statements. Under the International financial reporting standards BC78 (IFRS 16) Leases, a long-term lease of land (for example, a 99-year lease), the present value of the lease payments is likely to represent substantially all of the fair value of the land. The Company currently accounts for its land previously classified as freehold in a similar manner to accounting for the purchase of the land by applying international accounting standards (IAS 16) Property, Plant and Equipment, rather than by applying IFRS 16.

The Company is awaiting for the National Land Commission to issue guidelines that will operationalise the provisions of the constitution and the revised land laws. The Company will continue to reassess the impact of the revised land laws on the financial statements as the guidelines are issued.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

13. LEASES

Company as a lessee

The Company has lease contracts for the land for service stations and office premises used in its operations. The lease of office premises has a lease term of six years, while the lease terms for the stations is between ten to thirty years. The Company's obligations under its leases are secured by the lessor's title to the leased assets. Generally, the Company is restricted from assigning and subleasing the leased assets. The lease contracts include extension and termination options.

Set out below is the carrying amount of right-of-use assets recognised and the movements during the year:

	Service stations	Land and building	Lease hold land	Total
	KShs'000	KShs'000	KShs'000	KShs'000
At 1 January 2023	1,188,159	80	313,035	1,501,274
Additions	19,920	-	-	19,920
Reclassification from assets held for sale*	-	-	2,040	2,040
Depreciation expense	(205,890)	(76)	(11,878)	(217,844)
At 31 December 2023	1,002,189	4	303,197	1,305,390
Additions	752,289	-	-	807,753
Modification	55,464	-	-	55,464
Termination	(25,559)	-	-	(25,559)
Depreciation expense	(260,643)	(2)	(8,969)	(269,613)
At 31 December 2024	1,523,740	2	294,228	1,817,970

*Transfers from non-current assets held for sale at a net book value of KShs 2,040,000

Set out below are the caring amounts of lease liabilities and the movements during the period:

	2024	2023
	KShs'000	KShs'000
As at 1 January	806,536	1,007,530
Additions	752,289	19,920
Modification	55,464	-
Accretion of interest [Note 7 (b)]	114,921	69,115
Payments- principal	(211,719)	(217,653)
Payments- interest	(109,402)	(72,376)
At 31 December	1,408,089	806,536
Current portion	207,189	105,807
Non-current portion	1,200,900	700,729
	1,408,089	806,536

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

13. LEASES

The following are the amounts recognised in profit or loss:

	2024	2023
	KShs 000	KShs 000
Depreciation expense on right-of-use assets [Note 6 (a)]	269,613	217,844
Interest expense on lease liability [Note 7 (b)]	114,921	69,115
Expense relating to variable leases (included in administrative expenses) [Note 6 (a)]	174,987	173,984
Expense relating to short term leases [Note 6 (a)]	100,388	104,369
Total amount recognised in profit or loss	<u>659,909</u>	<u>565,312</u>

The Company had total cash outflows for leases of KShs 321,121,000 in 2024 (2023: KShs 290,029,000), KShs 109,402,000 was for repayment of interest, KShs 211,719,000 being repayment of principal (2023: KShs 72,376,000 was for repayment of interest, KShs 217,653,000 being repayment of principal).

The Company has lease contracts that include an extension option. The option is negotiated by management to provide flexibility in managing the leased-asset portfolio and align with the Company's business needs. Management exercises significant judgement in determining whether the extension option is reasonably certain to be exercised. The extension option has been included in the lease term.

Company as a lessor

The Company has entered into sales agreements with the dealers to run service stations. These sales agreements have terms of between 5 to 20 years. The agreements include a clause to enable upward revision of the rental charge on an annual basis according to prevailing market conditions. Rental income recognised during the year is KShs 1,262,601,000 (2023: KShs 1,218,774,000) (Note 5).

Future minimum rentals receivable under non-cancellable operating leases as at 31 December are as follows:

	2024	2023
	KShs'000	KShs'000
Maturing within one year	437,365	397,500
Maturing over one year to five years	2,383,640	2,126,623
Maturing after five years	2,502,822	2,275,487
Operating lease commitments	<u>5,323,827</u>	<u>4,799,610</u>

14. GOODWILL

Cost

Balance at beginning and end of year	528,879	528,879
Accumulated impairment losses		
Balance at beginning and end of year	(112,200)	(112,200)
Carrying amount	<u>416,679</u>	<u>416,679</u>
The goodwill is analysed below:		
a) Goodwill arising from acquisition of Elf Oil Kenya Limited		
Cost	448,804	448,804
Accumulated impairment losses	(112,200)	(112,200)
	<u>336,604</u>	<u>336,604</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

14. GOODWILL

a) Goodwill arising from acquisition of Elf Oil Kenya Limited

Goodwill amounting to KShs 448,804,000 arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001. With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of TotalEnergies Marketing Kenya Plc and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to TotalEnergies Marketing Kenya Plc.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value-in-use calculation which uses cash flow projections based on annual network business financial budgets and a long-term business plan approved by management covering a ten-year period.

The Company has used a ten-year period in line with the group financial reporting manual.

The calculation of value in use is most sensitive to the following assumptions:

Throughput volumes

The revenue comprises of both fuel and non-fuel revenue. Fuel revenue is comprised of white products (WP), LPG and Lubricants.

Sales volume growth for both fuel and non- fuel revenues are projected to be driven by GDP growth and the Company's long term growth plan. Overall, these are projected to grow at between 3% to 10% over the next 10 years in 2025 and beyond. Management has also taken into consideration the impact of competition and creation of new stations in the country.

Unit margins

The unit margins of different product lines are protected through competitive pricing. Unit margins for WP fuels are projected to remain relatively constant as they are regulated and are based on Energy and Petroleum Regulatory authority (EPRA) set margins. In addition to competitive pricing, unit margins for other products are projected to register a marginal growth over the forecast period.

Discount rate

Discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity. The cost of equity is derived from the expected return on investment by the Company's investors. The cost of debt is based on the interest-bearing borrowings the Company is obliged to service. Risk is incorporated by applying individual beta factors. The beta factors are evaluated annually based on publicly available market data.

The projected cash flows have been reassessed to compare the assumptions at initial recognition to the current performance of the cash generating units. The recoverable amount of the network service stations as a cash-generating unit is determined based on a value-in-use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2023: 11% per annum).

At 31 December 2024, no impairment loss was assessed (2023: nil).

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2024	2023
	KShs'000	KShs'000
Goodwill - Cost	<u>80,075</u>	<u>80,075</u>

Goodwill amounting to KShs 80,075,000 arose from the acquisition of a subsidiary, Total Marketing Kenya Limited, with effect from 1 November 2009. The operations of Total Marketing Kenya Limited were merged with those of TotalEnergies Marketing Kenya Plc and this was achieved through a business sale agreement which resulted in the transfer of all Total Marketing Kenya Limited business, assets and liabilities to TotalEnergies Marketing Kenya Plc.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to the following cash generating unit:

Network service stations' operations – cash flows and profits from acquired stations. The recoverable amount of the network service stations as a cash-generating unit is determined based on a value-in-use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2023: 11% per annum). The Company has used a ten-year period in line with its ten-year long-term strategic plan.

The calculation of value in use is most sensitive to the following assumptions:

Throughput volumes

The revenue comprises of both fuel and non-fuel revenue. Fuel revenue is comprised of white products (WP), LPG and Lubricants. Sales volume growth for both fuel and non- fuel revenues are projected to be driven by GDP growth and the Company's long term growth plan. Overall, these are projected to grow at between 3% to 10% over the next 10 years in 2024 and beyond. Management has also taken into consideration the impact of competition and creation of new stations in the country.

Unit margins

The unit margins of different product lines are protected through competitive pricing. Unit margins for WP fuels are projected to remain relatively constant as they are regulated and are based on Energy and Petroleum Regulatory authority (EPRA) set margins. Unit margins for other products are projected to register a marginal growth over the forecast period.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

14. GOODWILL

Discount rate

Discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity. The cost of equity is derived from the expected return on investment by the Company's investors. The cost of debt is based on the interest-bearing borrowings the Company is obliged to service. Risk is incorporated by applying individual beta factors. The beta factors are evaluated annually based on publicly available market data.

The projected cash flows have been reassessed to compare the assumptions at initial recognition to the current performance of the cash generating units.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region and, their intention to focus the Company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

At 31 December 2024, no impairment loss was assessed (2023: nil).

The two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited are dormant and no longer operational having transferred their assets and liabilities to TotalEnergies Marketing Kenya Plc.

15. INTANGIBLE ASSETS

	2024	2023
	KShs'000	KShs'000
COST		
At 1 January	783,667	728,725
Additions	195,985	54,942
Transfers from capital work-in-progress (Note 12) *	76,556	-
At 31 December	<u>1,056,208</u>	<u>783,667</u>
AMORTISATION		
At 1 January	476,622	431,622
Charge for the year	282,710	45,000
At 31 December	<u>759,332</u>	<u>476,622</u>
NET CARRYING AMOUNT		
At 31 December	<u>296,876</u>	<u>307,045</u>

The intangible assets relate to accounting, payroll and other computer software acquired by the Company.

*Transfers from capital-work-in progress that have qualified as ready to use assets to intangible assets.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

16. GOVERNMENT SECURITIES HELD AT FVOCI

	2024	2023
	KShs'000	KShs'000
Government securities-FVOCI	-	7,743,929
The change in the carrying amount of Government securities at FVOCI is as shown below.		
As at 1 January	7,743,929	-
Additions	-	8,164,002
Disposal	(7,743,929)	-
Changes in fair value	-	(393,169)
Amortisation of premium	-	(26,904)
As at 31 December	<u>-</u>	<u>7,743,929</u>

The Government securities relate to fuel subsidy receivable from the government that was converted to treasury bonds in 2023. The treasury bonds were disposed off during the year.

17. DEFERRED TAX ASSETS

(i) The net deferred tax asset is attributable to the following:

	2024	2023
	KShs'000	KShs'000
Accelerated depreciation	216,511	216,087
Legal costs provision	72,948	91,397
Allowance for expected credit losses	516,161	230,005
Unrealised exchange gain	(129,117)	61,813
Leases	(34,696)	(45,380)
Inventory provision	23,376	26,589
Provision for LPG cylinder loss	-	342
Provision for retirement benefits	2,275	5,438
Leave provision	11,630	8,374
Bonus provision	10,390	13,272
Lubes deviation charges	-	4,272
Net deferred tax assets	<u>689,478</u>	<u>612,209</u>

(ii) Movement on the deferred tax account is as follows:

At 1 January	612,209	405,543
Deferred tax credit recognized in profit or loss [Note 9 (i)]	(34,898)	206,666
Adjustments in respect of deferred tax for previous years	112,167	-
At 31 December	<u>689,478</u>	<u>612,209</u>

Deferred tax is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2023 - 30%).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

18. INVENTORIES

	2024	2023
	KShs'000	KShs'000
Refined products	7,105,904	8,205,582
Raw materials	3,715,967	4,639,560
Consumables and accessories	246,491	212,137
	11,068,362	13,057,279

As part of the Company's policy, management evaluates the net realisable values of all inventories and writes down inventories to their net realisable values, if necessary, in the books of account to ensure that inventories are fairly stated and reported as per the requirements of the IFRS Accounting Standards as issued by the International Accounting Standards Board.

As at 31 December 2024, there was a reduction in the provision for inventories by KShs 10,709,000 (2023: KShs 3,287,000).

19. TRADE AND OTHER RECEIVABLES

	2024	2023
	KShs'000	KShs'000
Trade receivables*	25,025,619	26,729,489
Allowance for expected credit loss [Note 28(ii)]	(1,644,813)	(999,348)
	23,380,806	25,730,141
Other receivables and prepayments**	2,019,654	2,229,140
Allowance for expected credit loss	(75,724)	(56,183)
	1,943,930	2,172,957
Recoverable taxes***	176,060	1,521,242
	25,500,796	29,424,340

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

19. TRADE AND OTHER RECEIVABLES

****Other receivables and prepayments** relate to amounts receivable from KPRL, amounts advanced to and recoverable from staff and other advance payments. Other receivables are non-interest bearing and are generally on terms of 60- 90 days.

*****Recoverable taxes** relate to advance import duties on petroleum products and value added tax.

An amount of KShs 458,463,000, previously classified as trade receivables in the prior year, has been reclassified to other receivables and prepayments. This reclassification pertains to amounts recoverable from staff and other advance payments made by the Company.

***Government's fuel subsidies and receivables related to prudent costs incurred in the supply of petroleum products**

Included in trade receivables are government's fuel subsidies and prudent costs incurred in the supply of petroleum products by the Company that are recoverable under the Petroleum (Pricing) Regulations, 2022.

The recovery mechanism of these receivables under the Petroleum (Pricing) Regulations, 2022, is in the normal course of operations of the Company's business. The timing, however, is determined by ongoing discussions between Oil Marketing Companies, EPRA and the Ministry of Energy and Petroleum. Based on Management assessment the amounts are fully recoverable, and no further adjustment is required.

***Amounts receivable from Kenya Petroleum Refineries Limited (KPRL)**

Included in other receivables are amounts receivable from KPRL related to the value of fuel products and yield shifts of fuel owed to the Company by KPRL. The classification to other receivables was necessitated by ongoing discussions on the modalities of the recovery of the amounts as discussed below.

The amounts arose prior to 2013. In 2012, KPRL changed its mode of operations from Toll Mode to Merchant Mode and then to hospitality services where it receives, stores and delivers fuel products on behalf of its clients. At the time of the change to Merchant Mode,

KPRL had yield shift balances and fuel inventories owing to the Oil Marketing Companies (OMCs).

Subsequently, in 2013, OMCs and KPRL, under the direction of Ministry of Energy and Petroleum, agreed to carry out a forensic audit of the fuel inventory balances including yield shifts with KPRL.

As part of the forensic audit procedures, KPRL confirmed to the Company their fuel balances and yield shifts which were then reconciled to the books of account and the balances reported in the forensic audit report.

In October 2023, Kenya Pipeline Company (KPC) acquired KPRL through 100% transfer of shares from National Treasury making KPRL a subsidiary of KPC. As at 31 December 2024, the Company had taken appropriate measures to recover the value of this receivable. These measures include ongoing discussions with KPRL, the Ministry of Energy and Petroleum and the Energy and Petroleum Regulatory Authority (EPRA) to agree on the modalities of how and when the value of the yield shifts and fuel inventories at KPRL will be refunded. In addition, the Oil Marketers, through Supplycor, an independent entity organised by the OMCs to advance their interests, mandated Petroleum Institute of East Africa (PIEA) as the coordinating body to pursue the recovery of these amounts. PIEA appointed a lawyer, under which the firm engages the authorities on behalf of the Oil Marketers.

As at 31 December 2024, the Company is confident that these amounts relating to yield shifts and fuel inventories are fully recoverable. Meetings were held with KPRL, Ministry of Energy and Petroleum, Petroleum Institute of East Africa (PIEA) and Oil Marketers and the payment modality agreed upon. The settlement of these amounts to the Oil Marketers is underway.

The carrying amount of Government subsidies and receivables related to prudent costs incurred in the supply of petroleum products and amounts receivable from KPRL have not been separately disclosed since there are ongoing discussions involving several other parties and doing so may compromise the Company's capacity to recover the full amount of the receivable.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

19. TRADE AND OTHER RECEIVABLES

Allowance for expected credit losses

As at 31 December 2024, trade receivables of KShs 1,642,599,000 (2023: KShs 999,348,000) were impaired and fully provided for.

Set out below is the movement in the allowance for expected credit losses of trade and other receivables:

	2024	2023
	KShs'000	KShs'000
At 1 January	1,055,531	811,235
Increase in ECL on trade receivables [Note 6(b)]	645,466	188,113
Increase in ECL on other receivables [Note 6(b)]	19,540	56,183
At 31 December	<u>1,720,537</u>	<u>1,055,531</u>

The expected credit losses on trade and other receivables are also presented as follows:

	2024	2023
	KShs'000	KShs'000
Trade receivables	1,644,813	999,348
Other receivables	75,724	56,183
At 31 December	<u>1,720,537</u>	<u>1,055,531</u>

Further details in the provision for impairment on trade receivables are disclosed in Note 28 (ii).

20. RELATED PARTY DISCLOSURES

The parent Company is TotalEnergies Marketing Afrique while the ultimate holding company is TotalEnergies SE, both incorporated in France.

There are other companies which are related to TotalEnergies Marketing Kenya Plc through common shareholding.

Outstanding balances arising from sale and purchase of goods and services to/from related companies at the year-end are as follows:

(i) Amounts due from related companies

	2024	2023
	KShs'000	KShs'000
TotalEnergies Aviation	525,940	138,045
TotalEnergies Marketing Uganda	913,532	1,533,497
Gapco Kenya Limited	1,542,255	507,359
TotalEnergies Marketing Afrique	36,743	16,157
TotalEnergies Marketing Tanzania	199,599	156,876
Other related companies*	17,234	25,118
	<u>3,235,303</u>	<u>2,377,052</u>

*Other related companies are subsidiaries of TotalEnergies Marketing Afrique.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

20. RELATED PARTY DISCLOSURES

(ii) Amounts due to related companies

	2024	2023
	KShs'000	KShs'000
Total Marketing Services	286,792	634,933
Gapco Kenya Limited	2,761	1,339,002
TotalEnergies Supply MS SA	3,805	5,404
Others*	122,498	50,686
	<u>415,856</u>	<u>2,030,025</u>

* Other related companies are subsidiaries of TotalEnergies Marketing Afrique.

(iii) Amounts due to holding company

	2024	2023
	KShs'000	KShs'000
TotalEnergies Marketing Afrique	<u>2,770,238</u>	<u>7,005,357</u>

(iv) Transactions with related companies

Purchases of petroleum products from the holding company	6,605,665	5,997,630
Purchases of petroleum products from other related companies	3,894,277	3,007,518
Revenue on sale of petroleum products to related companies	9,163,208	7,077,172
General assistance (Note 6)	725,399	961,828

(v) Key management compensation

The remuneration of directors and other members of key management were as follows:

	2024	2023
	KShs'000	KShs'000
Salaries and other short-term employment benefits	290,164	240,998
Post-employment benefits	18,207	13,466
	<u>308,371</u>	<u>254,464</u>

(vi) Directors' remuneration

Fees for services as a director	10,398	7,960
Other emoluments		
Salaries and other short-term employment benefits		
-Cash emoluments including pension	91,671	88,110
Non-cash emoluments-	25,344	21,534
	<u>117,015</u>	<u>109,644</u>
	<u>127,413</u>	<u>117,604</u>

Non-cash emoluments mainly relate to house, vehicle, telephone, utilities and domestic employees.

Terms and conditions of transactions with related parties

Outstanding balances at year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees or commitments received or provided for any related party receivables or payables. This assessment is undertaken each financial year through examining the financial position of the related companies and the market in which the related companies operate.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

21. SHARE CAPITAL

	2024	2023
	KShs'000	KShs'000
Authorised ordinary shares		
181,630,000 ordinary shares of KShs 5 each	<u>908,150</u>	<u>908,150</u>
Authorised redeemable preference shares		
123,478,388 shares of KShs 31.58 each	<u>3,899,447</u>	<u>3,899,447</u>
Authorised redeemable preference shares		
330,999,364 shares of KShs 15.71 each	<u>5,200,000</u>	<u>5,200,000</u>
Issued ordinary share capital	875,324	875,324
Issued redeemable preference share capital	<u>9,099,447</u>	<u>9,099,447</u>
	<u>9,974,771</u>	<u>9,974,771</u>
Issued capital comprises:		
175,064,706 fully paid ordinary shares of KShs 5 each	875,324	875,324
123,478,388 fully paid redeemable preference shares of KShs 31.58 each	3,899,447	3,899,447
330,999,364 fully paid redeemable preference shares of KShs 15.71 each	<u>5,200,000</u>	<u>5,200,000</u>
	<u>9,974,771</u>	<u>9,974,771</u>

	2024		2023	
Fully paid ordinary and preference shares	Number of Share '000	Share capital KShs'000	Number of shares'000	shares capital KShs'000
Ordinary shares	175,065	875,324	175,065	875,324
Redeemable preference shares	<u>454,477</u>	<u>9,099,447</u>	<u>454,477</u>	<u>9,099,447</u>
At 31 December	<u>629,542</u>	<u>9,974,771</u>	<u>629,542</u>	<u>9,974,771</u>

The fully paid ordinary shares, which have a par value of KShs 5, carry one vote per share and carry a right to dividends.

The redeemable non-cumulative preference shares, which have issue prices of KShs 31.58 and KShs 15.71, do not have any voting rights but have the same rights to dividends as the ordinary shares. The right to redemption of the redeemable preference shares is at the discretion of the Company hence they have been classified as equity.

22. SHARE PREMIUM

	2024	2023
	KShs'000	KShs'000
As at 1 January and 31 December	<u>1,967,520</u>	<u>1,967,520</u>

This is a non-distributable reserve as per the requirements of the Kenyan Companies Act, 2015.

The share premium is the excess of the cash received for ordinary shares above the par value of KShs 5.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

23. TRADE AND OTHER PAYABLES

	2024	2023
	KShs'000	KShs'000
Trade payables	27,465,492	24,387,436
Other payables and accruals*	3,164,517	2,948,978
Total payables	30,630,009	27,336,414
Classified as:		
Non-current – trade payables**	949,408	798,434
Non-current – provisions	243,160	304,656
Current – trade and other payables	29,437,441	26,233,324
	30,630,009	27,336,414
PROVISIONS FOR LEGAL MATTERS		
At beginning of year	304,656	299,975
Movement during the year	(61,496)	4,681
At end of year	243,160	304,656
Categorized as:		
Current portion	-	-
Non-current portion	243,160	304,656

In the ordinary course of its business, the Company is involved in a certain number of litigation proceedings. The Company is also subject to a number of claims and lawsuits which arise in the ordinary course of its business. The amount of provisions made is based on the Company's assessment of the basis for the claims and the level of risk on a case-by-case basis.

Terms and conditions of the trade and other payables

Trade payables are non-interest bearing and are normally settled on a 30-day terms. Interest is only charged on trade payables due to purchase of petroleum products at rates set by the Government-to-Government and Open Tender Supply (OTS) agreements. Other payables are non-interest bearing and have an average term of six months.

*Other payables and accruals relate mainly relates to accruals for goods received and not invoiced, LPG cylinder deposits and supplier's retention.

**Non-current trade payables mainly relate to LPG cylinder deposits.

The Company writes back, to other income, any cylinder deposits that is more than 7 years.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

24. NOTES TO THE STATEMENT OF CASH FLOWS

(i) Reconciliation of profit before tax to cash generated from operations.

		2024	2023
		KShs'000	KShs'000
	Notes		
Profit before tax		2,063,131	4,619,420
Adjustments for:			
Unrealised foreign exchange (gain)/losses	7 (a)	(430,392)	517,442
Finance income	7 (a)	(234,214)	(890,932)
Finance costs	7 (b)	3,830,463	2,319,090
Interest income on government securities held at FVOCI	5	(1,359,355)	(557,118)
Increase in allowance for expected credit losses	6 (b)	665,006	433,816
Increase in allowance for expected credit losses-Bonds	6(b)	(189,520)	-
Movement in provisions for legal matters	23	(61,496)	4,681
Movement in other provisions relating to inventories	18	(10,709)	3,287
Movement in leave provision	6(a)(i)	10,857	6,068
Movement in bonus provision	6(a)(i)	(9,605)	21,234
Depreciation on property, plant and equipment	12	1,580,121	1,763,273
Depreciation on right-of-use assets	13	269,614	217,844
Right-of-use assets write off on lease termination	13	25,559	-
Amortisation of intangible assets	15	282,710	45,000
Gain on disposal of property, plant and equipment		(9,218)	(7,981)
Gain on disposal of government securities	6 (c)	(170,884)	-
Fair value loss reclassified to profit or loss	6 (c)	393,169	-
Operating profit before working capital changes		6,645,237	8,495,124
Increase/(decrease) in inventories		1,999,626	(1,170,423)
Increase/(decrease) in trade and other receivables		3,169,584	(11,581,327)
Increase in trade and other payables		3,839,330	6,448,293
(Decrease)/increase in amounts due to holding company		(4,245,740)	1,930,285
Increase in amounts due from related companies		(821,065)	(1,256,440)
(Decrease)/ increase in amounts due to related companies		(1,614,911)	365,805
Cash generated from operations		<u>8,972,061</u>	<u>3,231,317</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

24. NOTES TO THE STATEMENT OF CASH FLOWS

(ii) Analysis of cash and cash equivalents

	2024	2023
	KShs'000	KShs'000
Bank overdraft	-	(5,593,022)
Cash in bank	11,437,025	7,877,786
Cash in hand	158	435
Cash and cash equivalents	<u>11,437,183</u>	<u>2,285,199</u>

For the purposes of the statement of cash flows, cash and cash equivalents includes cash in hand and in banks, short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired. The Company included its bank overdrafts as part of cash and cash equivalents. This is because these bank overdrafts are repayable on demand and form an integral part of the Company's cash management.

Financial overdraft – from Total Treasury

The Company received an overdraft from a related company, TotalEnergies Treasury, whose interest is pegged to the secured overnight financing rate (SOFR) plus a margin. No collateral is held for this facility. As at 31 December 2024, the unutilized overdraft from TotalEnergies Treasury is disclosed in Note 28 (iii).

Bank overdraft – from local banks

Bank overdraft facilities are held with various financial institutions and are unsecured. The facilities are operated within designated limits and under the terms and conditions stipulated by the financial institutions. The facilities interest rates are pegged on the Central Bank Base Rate or T-Bill Rates plus a margin. As at 31 December 2024, the Company had not utilized the available bank overdraft facility. The facility is available as disclosed in Note 28 (iii).

The expected credit loss relating to bank balances is immaterial.

25. CONTINGENT LIABILITIES AND COMMITMENTS

(a) Legal matters

The Company is involved in a number of legal proceedings which are yet to be concluded upon. Management has evaluated the pending cases and determined that no material liabilities are likely to arise from these cases which arose in the normal course of business. The Company has an in-house Legal Department that assessed the court cases in arriving at the above conclusion.

(b) Commitments

	2024	2023
	KShs'000	KShs'000
Total commitments given	<u>1,749,590</u>	<u>1,812,555</u>
Total commitments received	<u>1,846,401</u>	<u>1,807,298</u>

Commitments given include primarily customs bonds. The bonds are held in the ordinary course of business. No losses are anticipated in respect of these contingent liabilities. Commitments received include primarily customer guarantees. Commitments received/given are all held with local banks.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

25. CONTINGENT LIABILITIES AND COMMITMENTS

(c) Contingent liability relating to parent company

An amount of KShs 308 million (USD 2,427,388) exists as at 31 December 2024 (2023: KShs 381 million (USD 2,427,388)) for an unsettled invoice from the parent company, TotalEnergies Marketing Afrique, and has not been booked in the Company's books as the goods were not received by the Company. The amount relates to shipping costs of crude oil imported by the Company from TotalEnergies Marketing Afrique that was rejected by Kenya Petroleum Refinery Limited (KPRL). The ultimate liability lies with KPRL and not with the Company. Management is keenly following up on the matter and is of the view that the ultimate resolution of this matter will not have any impact on the Company's financial position or liquidity.

(d) Capital commitments

	2024	2023
	KShs'000	KShs'000
Authorised and contracted for	704,000	504,224
Authorised but not contracted for	3,327,457	2,151,914

Capital commitments relates to the approved capital expenditures to be carried out in the following year.

26. RETIREMENT BENEFIT PLANS

The Company operates a defined contribution retirement plan for all qualifying employees. The assets of the plan are held separately from those of the Company in funds under the control of trustees. Where employees leave the plan prior to full vesting of the contributions, the contributions payable by the Company are reduced by the amount of forfeited contributions.

Also, the Company contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute. Contributions to this scheme during the year amounted to KShs 8,362,310 (2023: KShs 4,970,160).

The total expense recognised in profit or loss for the year of KShs 182,914,411 (2023: KShs 175,398,025) (Note 6) represents contributions payable to the plan by the Company at rates specified in the rules of the plan.

27. CAPITAL MANAGEMENT

The Company manages its capital to ensure that it is able to continue as a going concern while maximizing the return to shareholders through the optimisation of the debt and equity balance. The Company's overall strategy remains unchanged from 2023.

The capital structure of the Company consists of equity attributable to equity holders, comprising issued capital, share premium as disclosed in Notes 21 and 22 and retained earnings.

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company's financial liabilities comprise trade and other payables, amounts due to holding company, amounts due to related companies and short-term borrowings. The main purpose of these financial liabilities is to finance the Company's operations and provide guarantees to support its operations.

The Company's financial assets include trade and other receivables, amounts due from related companies and cash and cash equivalents that are derived directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's Group corporate treasury function provides services

to the business, co-ordinates access to domestic financial markets, monitors and manages the financial risks relating to the operations of the Company through internal risk reports which analyze exposures by degree and magnitude of risks.

The Company's treasury function reports monthly to the Group's treasury, a section of the Group that monitors risks and policies implemented to mitigate risk exposures. The Group's treasury reviews and agrees policies for managing each of these risks which are summarized below.

i) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk that affects the Company is foreign currency risk and interest rate risk.

Financial instruments affected by market risk include trade and other receivables, bank balances, trade and other payables, short term borrowings and deposits with financial institutions.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a foreign currency) and certain monetary assets and liabilities denominated in foreign currencies mainly trade and other receivables, bank balances, short term borrowings, trade and other payables and amounts due to and due from related companies.

To manage the foreign currency risk, the Company maintains bank accounts in foreign currencies, mainly US dollars and Euro, to facilitate transactions in foreign currency. The Company also negotiates with its bankers to get favourable exchange rates when converting foreign currencies to the Kenya shilling. The Company also purchases some of products in US Dollars and mainly buys US Dollars via spot deals.

There has been no change to the Company's exposure to market risks or the manner in which it measures and manages the risk.

The main currency exposure relates to the fluctuation of the Kenya Shillings exchange rates against the US Dollar and Euro.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

i) Market risk

Foreign currency risk

The carrying amounts of the Company's foreign currency denominated monetary assets and liabilities at the end of the reporting period are as follows:

	EUR	USD	Total
31 December 2024	KShs'000	KShs'000	KShs'000
Assets			
Trade and other receivables	-	1,811,772	1,811,772
Amounts due from related companies	-	1,027,447	1,027,447
Bank balances	<u>2,421</u>	<u>957,589</u>	<u>960,010</u>
Total assets	<u>2,421</u>	<u>3,796,808</u>	<u>3,799,229</u>
Liabilities			
Trade and other payables	(28,848)	(1,312,683)	(1,341,530)
Amounts due to holding and related companies	<u>(513,866)</u>	<u>(1,024,425)</u>	<u>(1,538,291)</u>
Total liabilities	<u>(542,714)</u>	<u>(2,337,108)</u>	<u>(2,879,821)</u>
Net exposure	<u>(540,293)</u>	<u>1,459,701</u>	<u>919,408</u>
31 December 2023			
Assets			
Trade and other receivables	208,755	515,879	724,634
Amounts due from related companies	-	1,838,266	1,838,266
Bank balances	<u>74,266</u>	<u>531,099</u>	<u>605,365</u>
Total assets	<u>283,021</u>	<u>2,885,244</u>	<u>3,168,265</u>
Liabilities			
Trade and other payables	(82,389)	279,897	197,508
Amounts due to holding and related companies	<u>(1,894,305)</u>	<u>(6,183,121)</u>	<u>(8,077,426)</u>
Total liabilities	<u>(1,976,694)</u>	<u>(5,903,224)</u>	<u>(7,879,918)</u>
Net exposure	<u>(1,693,673)</u>	<u>(3,017,980)</u>	<u>(4,711,653)</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

i) Market risk

Foreign currency risk

The following sensitivity analysis shows how profit and equity would (decrease)/ increase if the Kenya Shilling had depreciated against the other currencies by 5% at the end of the reporting period with all other variables held constant. The reverse would also occur if the Kenya Shilling appreciated with all other variables held constant.

The 5% sensitivity is considered the most reasonable estimate by management on basis of movement of the US Dollar and Euro against the Kenyan Shilling during the year.

The US Dollar impact is mainly attributable to the exposure on outstanding US Dollar trade and other receivables, bank balances, amounts due to and from related companies and trade and other payables at the year-end. The Euro impact is mainly attributable to the exposure on outstanding Euro bank and trade payables balances at the year-end.

The sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year-end exposure does not reflect the exposure during the year.

	Profit or loss before tax		Equity	
	2024	2023	2024	2023
	KShs'000	KShs'000	KShs'000	KShs'000
USD impact	+/- 72,985	+/- 150,899	+/- 51,090	+/- 105,629
Euro impact	+/- 27,015	+/- 84,684	+/- 18,910	+/- 59,279

ii) Credit risk

Credit risk refers to the risk of financial loss to the Company arising from a default by counterparty on its contractual obligations. The Company's policy requires that it deals only with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available. If not available, the Company uses other publicly available financial information and its own trading records to rate its major customers. The Company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee.

Trade receivables

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the customers' ability to service the credit advanced to them and, where appropriate, credit guarantee is requested.

The Company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The Company defines counterparties as having similar characteristics if they are related entities. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The Company used the simplified approach in calculating ECL for trade receivables that did not contain a significant financing component. The Company applied the practical expedient to calculate ECL using a provision matrix.

Cash deposits

Credit risk from balances with banks is managed by the Company's treasury department in accordance with the Company's policy. Investments of surplus funds are made only with approved banks and within credit limits assigned to each bank. Bank credit limits are reviewed by the Company's Board of Directors on an annual basis. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through a bank's potential failure to make payments

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

ii) Credit risk

The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2024 and 31 December 2023 is the carrying amounts of its financial assets as illustrated below.

The Company's maximum exposure to credit risk as at 31 December 2024 and 31 December 2023 is analysed in the table below:

31 December 2024

	Total
	KShs'000
Amounts due from related companies	3,235,303
Trade receivables	
Network	3,016,277
Non-network	20,364,529
	23,380,806
Other receivables	1,928,294
Bank balances	11,437,025
Financial guarantees given (cash deposits)	1,509,552
	41,490,980
31 December 2023	
Amounts due from related companies	2,377,052
Trade receivables	
Network	3,272,268
Non-network	22,457,873
	25,730,141
Other receivables	2,141,304
Government securities held at FVOCI	7,743,929
Bank balances	7,877,786
Financial guarantees given (cash deposits)	1,812,555
	47,682,767

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

ii) Credit risk

Bank guarantees and cash deposits are considered an integral part of trade receivables and considered in the calculation of impairment. As at 31 December 2024, 28% (2023: 28%) of the trade receivables are covered by bank guarantees and cash deposits. These credit enhancements obtained by the Company resulted in a decrease in the expected credit loss of KShs 177,166,000 as at 31 December 2024 (2023: KShs 99,642,000).

Set out below is the information about the credit risk exposure on the Company's trade receivables using a provision matrix:

31-Dec-24	Trade receivables days past due					
	Current days	< 30 days	30-60 days	61-90 days	> 91 Days	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Expected credit loss rate (%)	0.16%	4.00%	8.11%	5.26%	10.48%	
Estimated total gross carrying amount at default	7,812,297	1,887,063	973,488	512,674	13,840,097	25,025,619
Expected credit loss	12,298	75,549	78,943	26,946	1,451,078	1,644,813

31-Dec-23	Trade receivables days past due					
	Current days	< 30 days	30-60 days	61-90 days	> 91 Days	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Expected credit loss rate (%)	0.02%	1.73%	1.46%	3.93%	58.64%	
Estimated total gross carrying amount at default	21,445,295	2,325,379	1,100,752	274,792	1,583,271	26,729,489
Expected credit loss	3,747	40,268	16,023	10,807	928,503	999,348

An increase/(decrease) in the gross carrying amounts of the trade receivables impacts on the movement in the ECL amounts with a consideration of the relevant probability of defaults (PDs) used in the ECL computation.

Collateral held on trade receivables

The Company holds collateral against credit advanced to customers in the form of cash deposits and bank guarantees. Estimates of fair value are based on the value of collateral assessed at the time of advancing the credit and generally are not updated except when a receivable is individually assessed as impaired.

Collateral is usually not held against bank balances and amounts due from related companies, and no such collateral was held at 31 December 2024

Management assessed that the fair value of the collaterals – cash deposits and bank guarantees approximate their carrying amounts largely due to the short-term maturities of these instruments.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

ii) Credit risk

Collateral held on trade receivables

An estimate of the fair value of collateral held against financial assets is shown below:

Fair value of collateral held against trade receivables as at 31 December 2024 was:

	2024	2023
	KShs'000	KShs'000
Cash deposit collateral		
Network	626,575	970,075
Non-network	882,977	481,800
Bank guarantees collateral		
Network	238,242	205,700
Non-network	1,626,854	1,539,907
Total	3,374,648	3,197,482

The maximum exposure to credit risk for trade receivables is KShs 23,380,806,000 (2023: KShs 25,730,141,000) as disclosed in Note 19. The net exposure after considering the effect of the collateral balances shown above is KShs 20,006,158,000 (2023: KShs 22,532,659,000).

There is no collateral held against cash and cash equivalents, other receivables and amounts due from related companies.

Financial guarantees given are managed by the Company's treasury department in accordance with the Company's policy. Counterparty credit limits are reviewed by the Company's Board of Directors on an annual basis and may be updated throughout the year subject to approval of the Company's Finance Committee. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through a counterparty's potential failure to make payments. The corresponding expected credit loss is considered to be immaterial.

iii) Liquidity risk

This is the risk that the Company will encounter difficulties in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet the Company's obligations.

The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Included in financing facilities section of this note, is a listing of additional undrawn facilities that the Company has at its disposal to further reduce liquidity risk.

	2024	2023
	KShs'000	KShs'000
Unsecured overdraft, including financial overdraft from Total Treasury, payable on call and reviewed annually - Amount used	-	5,584,154
Amount unused – TotalEnergies Treasury	5,714,100	6,895,845
Amount unused – local banks	12,016,359	10,497,179

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

28. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

The following table analyses the Company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date.

At 31 December 2024	On demand	Up to 1 month	01-03 months	4-12 months	> 1 year	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Trade and other payables	-	3,274,112	10,818,961	4,202,828	3,184,332	21,480,233
Amounts due to holding and related companies	-	3,186,094	-	-	-	3,186,094
Lease liability	-	-	-	218,196	1,816,401	2,034,597
	-	6,460,206	10,818,961	4,421,024	5,000,733	26,700,924
Contractual capital commitments	-	704,000	-	-	-	704,000
Financial guarantees received	-	-	-	1,846,401	-	1,846,401
Total liquidity position	-	7,164,206	10,818,961	6,267,424	5,000,733	29,251,325

At 31 December 2023	On demand	Up to 1 month	01-03 months	4-12 months	> 1 year	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Trade and other payables	-	10,946,768	8,234,606	5,261,535	947,741	25,390,650
Amounts due to holding and related companies	-	2,457,621	2,061,642	3,848,901	667,219	9,035,383
Lease liability	-	-	-	184,481	810,415	994,895
Bank overdrafts	5,593,022	-	-	-	-	5,593,022
	5,593,022	13,404,389	10,296,248	9,294,917	2,425,275	41,013,950
Contractual capital commitments	-	504,224	-	-	-	504,224
Financial guarantees received	-	-	-	1,807,298	-	1,807,298
Total liquidity position	5,593,022	13,908,613	10,296,248	11,102,215	2,425,275	43,325,472

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

29. FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Company's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly;
- Level 3 - unobservable inputs for the asset or liability.

As at 31 December 2024, the Company had disposed off the government securities held at fair value through OCI in 2023.

The following table shows an analysis of financial instruments recorded at fair value by level of their fair value hierarchy:

31 December 2024	Level 1
	KShs'000
Assets measured at fair value on a recurring basis	
Debt instruments at fair value through OCI	
Government debt securities	-
31 December 2023	
Assets measured at fair value on a recurring basis	
Debt instruments at fair value through OCI	
Government debt securities	7,743,929

Management assessed that the fair value of financial instruments including trade and other receivables, amounts due from related companies, cash and cash equivalents, current – trade and other payables, amounts due to holding company, amounts due to related companies and short-term borrowings approximate their carrying amounts largely due to the short-term maturities of these instruments. For non-current – trade payables, the directors have made an assessment of the time value of money which was concluded to be immaterial, as such the carrying amounts are considered to be the best approximate of the fair value.

30. INCORPORATION

TotalEnergies marketing Kenya Plc is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act, 2015. The parent company is TotalEnergies Marketing Afrique while the ultimate holding company is TotalEnergies SE, both incorporated in France.

31. EVENTS AFTER THE REPORTING PERIOD

The Directors are not aware of any matter or circumstances arising since the end of the financial year as at the date of approval of the financial statements for issue, not otherwise dealt with in the financial statements, which would significantly affect the financial position of the results of its operation as laid out in these financial statements

APPENDIX I

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER	2024	2023	2022	2021	2020
	KShs'000'	KShs'000'	KShs'000'	KShs'000'	KShs'000'
ASSETS					
Non-current assets					
Property, plant, equipment and leases	14,629,933	13,498,718	13,233,730	13,317,926	12,695,408
Goodwill	416,679	416,679	416,679	416,679	416,679
Intangible assets	296,876	307,045	297,103	222,465	230,731
Deferred tax asset	689,478	612,209	405,543	393,864	308,343
Financial asset-Government bonds	-	7,743,929			
Total non-current assets	16,032,966	22,578,580	14,353,055	14,350,934	13,651,161
Current assets					
Inventories	11,068,362	13,057,279	11,890,143	7,747,934	6,436,314
Trade and other receivables	29,393,065	31,801,395	27,179,637	14,806,406	13,283,383
Cash and cash equivalents	11,437,183	7,878,221	19,595,935	10,100,456	9,591,950
Total current assets	51,898,610	52,736,896	58,665,715	32,654,796	29,311,647
Assets classified as held for sale	-	-	24,364	24,364	24,364
	51,898,610	52,736,896	58,690,079	32,679,160	29,336,011
TOTAL ASSETS	67,931,576	75,315,476	73,043,134	47,030,094	42,987,172
EQUITY AND LIABILITIES					
Equity					
Share capital	9,974,771	9,974,771	9,974,771	9,974,771	9,974,771
Share premium	1,967,520	1,967,520	1,967,520	1,967,520	1,967,520
Fair value reserve	-	(203,649)			
Retained earnings	20,765,093	20,486,381	18,288,158	16,668,532	14,918,006
Total equity	32,707,384	32,225,023	30,230,449	28,610,823	26,860,297
Non-current liabilities					
Trade and other payables	2,393,468	1,803,819	1,846,318	2,239,805	1,839,746
Total Non-current liabilities	2,393,468	1,803,819	1,846,318	2,239,805	1,839,746
Current liabilities					
Trade and other payables	32,830,724	35,693,612	26,396,559	16,179,466	14,287,129
Short term loans and bank overdrafts	-	5,593,022	14,569,808		
Total current liabilities	32,830,724	41,286,634	40,966,367	16,179,466	14,287,129
TOTAL EQUITY AND LIABILITIES	67,931,576	75,315,476	73,043,134	47,030,094	42,987,172

APPENDIX II

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER	2024 KShs'000'	2023 KShs'000'	2022 KShs'000'	2021 KShs'000'	2020 KShs'000'
Gross sales	151,487,770	156,432,095	141,346,899	110,161,215	97,351,821
Indirect taxes and duties	(37,274,855)	(35,713,695)	(38,544,483)	(35,450,751)	(31,920,643)
Net sales	114,212,915	120,718,400	102,802,416	74,710,464	65,431,178
Cost of sales	(105,219,189)	(107,882,718)	(93,222,522)	(65,909,440)	(56,374,062)
Gross profit	8,993,726	12,835,683	9,579,894	8,801,024	9,057,116
Operating expenses and other income	(5,407,148)	(6,402,963)	(5,571,111)	(4,685,662)	(4,214,951)
Finance (costs)/income and net foreign exchange (loss)/gain	(1,523,447)	(1,813,300)	(205,789)	(122,443)	(57,591)
Profit/(loss) before tax	2,063,131	4,619,420	3,802,994	3,992,919	4,784,574
Taxation	(575,698)	(1,596,496)	(1,358,667)	(1,254,011)	(1,488,042)
Profit/(loss) for the year	1,487,433	3,022,924	2,444,327	2,738,908	3,296,532

TOTALENERGIES MARKETING KENYA PLC

I/We....., of, being a Member/Members of the above Company, hereby appoint: of.....ID No.....as my/our proxy, to vote for me/us and on my/our behalf at the Virtual Annual General Meeting of the Company to be held electronically on Friday, 27th June 2025 and at any adjournment thereof.

As witness by my/our hand thisday of 2025

Signed Signed

I/We direct my/our proxy to vote on the following resolutions by marking the appropriate box with an 'X'. If no indication is given, my/our proxy will vote or withhold his or her vote at his or her discretion and I/We authorize my/our proxy to vote (or withhold his or her vote) as he or she thinks fit in relation to any other matter which is properly put before the meeting.

Please clearly mark the box below to instruct your proxy how to vote

Resolution	For	Against	Withheld
To adopt the minutes of the Seventieth (70th) Annual General Meeting held on 27th June 2024.			
To adopt the Audited Financial Statements for the year ended 31st December 2024 together with the Chairman's Statement and the reports of the Directors and the Auditors.			
To approve the payment of a first and final dividend of Kshs. 1.92 per share in respect of the Financial Year ended 31st December 2024.			
To approve the Directors' Remuneration Report as detailed in the Annual Report for the Financial Year ended 31st December 2024.			
To re-elect Mr. Jean Philippe Torres as a Director of the Company.			
To re-elect Mr. Maurice Odhiambo K'Anjejo as a Director of the Company.			
To appoint a Director of the Company.			
To appoint Board Audit Committee comprising the following Members: -			
a) Mr. Maurice Odhiambo K'Anjejo			
b) Ms. Catherine Musakali			
c)Ms. Fernanda Schröder			
To re-appoint Messrs Ernst & Young LLP as Auditors of the Company and authorize the Board to fix the Auditor's Remuneration for the ensuing Financial Year.			
To approve by a Special Resolution, the following policies and procedures of the Company for adoption and implementation:			
a) Stakeholder Engagement Policy and Procedure; and			
b) Corporate Disclosure Policy and Procedure			

ELECTRONIC COMMUNICATIONS PREFERENCE FORM (Please complete in Block Capitals)

Full Name of Member(s):

Address

CDSC No Mobile Number.....

I/We hereby give my/our consent for use of the mobile number provided for purposes of the AGM.

Signature (s) (i)..... (ii).....

- In accordance with Section 298 of the Companies Act, 2015, a Member entitled to attend and vote is entitled to appoint a proxy to attend, to speak and to vote on his/her behalf and a proxy need not be a member of the Company.
- In the case of a member being a Limited Company, this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
- A duly completed proxy Form should be emailed to totalenergiesagm@image.co.ke or hand delivered to Image Registrars Ltd, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Nairobi so as to be received not less than 48 hours before the time of holding the meeting i.e., 25th June 2025 at 9.00 a.m. (EAT) or any adjournment thereof.

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The Excellium logo is written in a red, italicized, sans-serif font. A yellow swoosh underline is positioned beneath the 'e' and 'x'.

Choose Excellium, QualityChoose
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